Adani Energy Sol (ADANIENSOL)

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Call: Aug 2023

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CIN: L40300GJ2013PLC077803
Registered Office: Adani Corporate House, Shantigram, Near Vaishn o Devi Circle, S. G. Highway, Khodiyar, Ahmedabad – 382 421
4th August, 2023
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400001 National Stock Exchange of India Limited
Exchange plaza,
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: 539254 Scrip Code: ADANITRANS
Dear Sir,
Sub: Transcript of Earnings call pertai ning to the Unaudited Financial Results
of the Company for Q1 FY 24
In
continuation to our intimation dated 31st July, 2023, please find below web
link of transcript of the Earnings Call on Unaudited Financial Results
(Standalone and Consolidated) of the Company for the quarter ended
30th June, 2023.
Weblink to access above transcript is as under:
https://www.adanitransmission.com/-
/media/Project/Transmission/Investor/documents/Results-Conference-Call-
Transcripts/AESL_Q1FY24_Earnings-Call-Transcript.pdf
The said transcript is a lso attached.
Kindly take the same on your records.
Yours faithfully,
For Adani Energy Solutions Limited
(formerly known as Adani Transmission Limited)
Jaladhi Shukla
Company Secretary
Encl – as above .

"Adani Energy Solutions Limited Q1 FY -24 Earnings
Conference Call"
August 01, 2023

MANAGEMENT : MR. ANIL SARDANA – MD - AESL
MR. KANDAR P PATEL – CEO - DISTRIBUTION
MR. BIMAL DAYAL – CEO - TRANSMISSION
MR. ROHIT SONI – CFO - AESL
MR. KUNJAL MEHTA – CFO - AEML
MR. VIJIL JAIN – LEAD IR - AESL

Moderator : Ladies and gentlemen good day and welcome to the Adani Energy Solutions Limited Q1 FY24 Earnings Conference Call hosted by Emkay Global Financial Services . As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Abhineet Anand from Emkay Global Financial Services . Thank you and over to you sir.
Abhinee t Anand : Thanks, Lizan and good afternoon to everybody. I'd first like to thank the management for giving us this opportunity to host the call . Today we have with us the top management represented by Mr. Anil Sardana – MD, Mr. Kandar p Patel – CEO , Distribution , Mr. Bimal Dayal – CEO , Transmission , Mr. Rohit Soni – CFO ASEL , Mr. Kunjal Mehta – CFO , AEM L and Vijil Jain – Lead IR. I will hand it over to Mr. Sardana. Over to you sir.
Anil Sardana: Thank you Abhi . Thank you so much. Dear analysts , friends and investors who are there on the call, welcome to Q 1 FY24 Call. Let me start with the name change so that we can then build on that. You would have got the press notes , so therefore many of the inputs that you already have with you , we will be h appy to further take different details of that during the conversation today . We had shared some time back that Adani Transmission which started in 2015 expanded quite well between 2015 and the current times when it became the largest private sector transm ission Company in India. Besides that, from 2018 August we added the first distribution area to Adani Transmission and then subsequently in 2020 we added another distribution area of Mundra. So , over a period of time the Company added the transmission and distribution business and in the recent times it saw the opportunity to grow into smart meters , into meeting some of the energy requirements of open access and captive customers. In addition to that we started to see as to how t he energy requirements will pan out over a period of time. It dawned on us that there are going to be areas which will cause tremendous spurt in power demand , particularly backed by Government of India policies related to manufacturing and manufacture d in India or Make in India program as it is called and in that we saw advent of some of the large brands and customers in the areas such as data centers , semiconductor , manufacturing , aircraft , component manufacturing , manufacturing in the value chain related to renewables , manufacturing in the value chain related to change in molecules from hydrocarbons to green hydrogen and different renditions. So , it was clear that now the demand for energy will not just necessarily be electron but also molecules. And also , we need to be mindful of the fact that while the distribution business could grow but the state-owned enterprises are not going to let go that so easily.
So, we decided two-pronged approach – One was that we will apply for second license which we did in t hree areas which you are all aware. But just to fill you up , the two are the contiguous area to our existing DISCOMS which is Navi Mumbai contiguous to our Mumbai license and Saurashtra area contiguous to our license in Mundra area. And the third one is wh ere based on different studies we added to our portfolio , the request for second license in the western UP which is from the Ghaziabad all the way to J ewar -Bulandsh ehar area. So , considering the fact

that distribution business had already got added in 2018 and ‘20 and then we started applying for second license and that we were offering en

ergy solutions both in terms of meeting the open access and the requirements related to captive customers as also w e recently added smart metering portfolio. We decided that the name does not manifest the activities that we were performing. We had outgrown the name Adani Transmission and for that reason we deliberated and based on consensus , adapted Adani Energy Soluti ons Limited as the name which will manifest the current as well as future business of trading and pursuing electron as well as molecules. So , friends that is what we did during the recent times. From July 27th this Company is going to be titled Adani Energ y Solutions Limited and therefore we are happy to have you on the call for this Company .
Coming to the other part let me now go into the next important area that as a team we have been pursuing which is the ESG part. Amongst the ESG , of course looking at inclusively .
Anil Sardana: Okay , so moving on the ESG front and being inclusive we focused on the safety aspe cts and despite a business which is cross country that is something that we take pride in terms of various

initiatives and various aspects of safety that we constantly prowl on and that will continue to be one of our key focus of ESG. However , moving on to the acronym the way it describes itself the environmental social and the governance aspects are key to our current operations. We have decided that as an institution , Adani Energy Solutions Limited will continue to aim to be within the top 20 global compa nies in its utility business with regard to its scorecard. And therefore , several aspects in each of these three heads have been taken up to benchmark levels and that is reflective on the recognition that we have got from different quarters. But it will be important for me to mention that amongst them some of the scores done by international agencies have been very heartening. In the last quarter the FT AC score has improved to 4, up from the slightly lower scores than 3. So, that's a major movement upwards and that actually takes us to the top echelons of utility companies globally.

I will not typically talk about the other rewards and awards but mention one si milar aspect which is the study done by BFC on behalf of Government of India where through McKinsey they did the rating of different DISCOMS in India. And I'm happy to bring to your notice that Adani Electricity Mumbai DISCOM was rated India's number one power utility. That's the hallmark of how we are pursuing t he agenda on different aspects related to environmental , social and governance criteria. And in addition to that of course to make sure that our commitment to bulk sourcing of green electron clearly again is shown in the fact that we have now exceeded beyo nd 30% which was our commitment. So , the commitment that we gave in the sustainability link bonds has already been met and we are happy that we will continue to take similar strides and soon cross 50% in the commitment year that we have conveyed before .

Moving on to the operational aspects very quickly , I will not take much time because you have already got the press note . But mention the fact that we continue to grow well. We continue to register and perform solid with regard to the existing assets , both i n the transmission and distribution side. We have demonstrated availability which has earned us every nickel and dime

of incentives that we have to earn. And also , we have now reached very close to our target numbers of 2022 which was 20 ,000 circuit kilome tres. Already 19 ,778 circuit kilometre is either operational or under execution and very soon the balance part will also get added to the portfolio. We are toying that this kind of growth will continue in the transmission because there is so much of opport unity in the days ahead in terms of pipeline. We're sitting with already one or

der which
is 20,000 crores which is Rs. 200,000 million and therefore we are in a very comfortable situation to make sure that the future orders are backed with thresholds of re turns being met. That will be the key criteria of how we will pursue business in days ahead though of course the growth will continue to look up.

On the financial aspects , you've got the details with regard to the fact that we have had the first dividend outgo from Adani Electricity to ATS which in fact is one of the reasons why the tax outgo of dividend tax was there and therefore that was one area that in fact in a si milar basis suppressed the A TL, PAT number. Otherwise on ground the performance has been as good. The cash profits from both the businesses continue to give us enough meat for us to continue our growth without increasing the debt burden and making sure that we maintain our net debt to EBITDA within the discipline that we have talked about and therefore continue to be investment grade a nd that is what we will continue to do even in the days ahead and make sure that we stay steadfast with regard to that promise.

On the smart meters , you would have noticed our early success. We already have orders worth 4.6 million smart meters with close to about Rs . 58 billion orders in hand. More than double of that is where we already have the pole position of being declared lowest, but we are wai ting for the orders . We will share with you as and when those orders get confirmed. So, smart meters will continue to be one of our key build ups. So , as you see today , we have four build ups in terms of growth. One is of course the transmission line where we have healthy orders in hand and a good growth pipeline. The second one is in retail distribution where we have the ongoing CAPEX which will continue of similar levels as we have been doing from last few years. And in addition to that we have th ose thre e licenses that we look up to . That's the second vertical. The third one will be the smart metering where all the works related to putting those smart meters making sure that we have the head end and the back end managed with our experience in our distribu tion area and also gradually analyze the data as we stack it together for longer period of time for us to then do the analytical work around that and with the permission of the clients then do upselling , cross selling opportunities across using that data. So, that's the third and the fourth one is the energy solutions where we will do work around the customers where we can provide them promissory estoppel much lower than the cost of the grid and take the onus of meeting 24 /7 requirements including some of t he green electrons in terms of meeting their RPO obligation or enhanced obligation as they would want. In addition to that , some of the guzzling areas like cooling solutions , we will provide from annals because we have a very strong input that the country will add close to about 100 gigawatt on account of cooling solutions up till 2030 which is a huge demand and away from the cliche aircon concept s, we will be able to provide the solutions by actually the flow consumed by customer on managed service basis. So, we have started doing that with some of the builders' community in Navi Mumbai and we are also doing

some of the projects in Ahmedabad along with Adani Realty. So , these projects in terms of complete aircon solutions on a district level basis will also improve the various hazards related to fire , greenhouse gas emissions etc . and therefore will make us more benign and add to various credits under the UN FCC CDM program .

So, those are various aspects I wanted touch base and all in all good quarter to have got our act quickly as also new name with the enhanced wingspan as you would have noticed and therefore the Company is well poised to now work to mak

ing sure that we are able to offer comprehensive energy solutions , both in bulk electron , trading or movement as well as reta il electron and gradually into the overall energy paradigm. So , I'll stop here and look forward t o your questions and based on that we will be able to perhaps disseminate whatever I may have missed out. Thank you and once again welcome you all. Thank you.

Moderator: Thank you. Ladies and gentlemen , we will now begin with the question -and-answer sessi on. The first question is from the line of Abhin eet Anand from Emkay Global.

Abhineet Anand: Thanks a lot for the detailed st ock that you gave. I just wanted to understand the transmission side, over the next 1-1.5 years if you take , what type of bids are going to be there and slightly then longest term apart from this 1.5 years what's your view on a slightly next 5-7 years? What could be the CAPEX on an all-India basis I'm talking about?

Bimal Dayal: Hi and good afternoon, everybody. I just want to take a step back before answering your question here. Maybe add a little more color to what Sa rdanaji said regarding the quarter. Just a quick high-level input that we clocked 99.77 in our operational performance which added an incentive income of around 26 cro res this year. It's a great news that not only we are growing we are maintaining our assets not only for the period but keeping a horizon of almost 50 years and nothing short . In terms of network addition, w e added 550 km circuit kilometers during the quarter and reached a mark of 19 ,778 circuit kilometers . I think if you actually look at one of the things which is important to bring up is that we are continuing to grow faster than the market. I think our internal estimate is that in the first quarter the o verall market grew by 1% and we grew by 4% in Quarter 1 as well. I think this is one thing which we keep on monitoring and that is something to do with a little bit of the past . The current situation is that we have a healthy pipeline and in the upcoming quarters we would be commissioning some five important lines including KVTL which is Kharg har-Vikhroli, the WKTL and MP 2 Package and K havda and Karur which will add another 3 ,000 kilometers . So, the business looks absolutely robust. Now to answer your question , I think these are very interesting times for the sector itself. On one side we have the reforms kicking in and a lot of excitement in distribution including smart meters. There is the consumption kicker which is taking place as well as our economy grows and also an interesting global story of energy substitution as well. Now linking both these two is transmission and if you look at the 2030 requirement, we would probably be evacuating 500 gigawatt s of only green power as well. I think I'm ta lking about the paper which came out in November last year itself. In short term we are looking at a bidding pipeline of 45 ,000 crores . This year maybe in 18 months' time we would be peeping into 70 ,000-75,000 crores of only the

central bidding which will take place as well. I think there are various estimations going around let's say 2030 horizon , anywhere between 2,50,000 crores only at the central level would be needed to be invested in transmission and I'm not talking about the state level estimation wh ich would be needed to strengthen the grid. So , all in all , a very busy schedule from all quarters within the sector as well and we are fairly excited about it. Hope this answers your question.

Abhineet Anand: So, one of the things that I wanted to unders tand is incrementally we are adding more RE. So, does that as an investment per megawatt or gigawatt what it could be for a transmission guy because of the fact that PLS are low in REs does that increases the opportunity for transmission which we are not s eeing , this INR 2.4 trillion that you t

alked about has been by the central agencies. But do you think that it's slightly understated because of the fact that the amount of capacity that will add per gigawatt per circuit kilometre should be slightly more?

Bimal Dayal: Yes.
Anil Sarda na: It is not that straight that you could calculate the impact because from the RE plant you actually get into a pooling station and typically at the pooling station you are able to utilize the capacities in such a way that the trunk routes are able to g et the power supply from either RE or from other sources. So , with the result the utilization of SX is from the pool station onwards which is what costs more is much better. So, eventually the way the planners are working is that at the key pooling station s they are trying to interject different formats of power and not just restricted to RE but yes from the RE station to the pooling station. In any case the lines have to be built by now under the new concept has to be built by the RE developers themselves. And therefore , they will have to make that as a part of the delivered electrons to the p ooling station . While the transmission line under GNA , the new concept that the government has evolved. The transmission lines are going to get added because GNA means that any consumer can have the access and a choice to source electrons from anywhere they want and that is the promissory estoppel and therefore a lot more lines will have to be added into the system. But we are still quite some time away from those times. At the current stage it will suffice to say yes , the transmission line cost could get bit impacted but not to the extent that the concept will suggest that the RE is going to keep the transmission line begging for 50% to 60% of the time. No that is not t he way the transmission system is designed.
Abhineet Anand: Just last one from me , we have been hearing some issues around the supply side say transformers etc. because there hasn't been much capacity manufacturing capacity on the transformer side and there is a good amount of lines et c. to be added. So , if you can comment something on that.
Anil Sardana: Well in any growing economy there'll be times when there could be gap between demand and planning to get those supplies into the system. So, yes, you wi ll in a protem basis and particularly because there are various kind of embargoes on import from outside due to Make in India programs etc. So , you would see some phases in between when you will have pressure on the fact that the demands are not forthcoming or are not available at a competitive price. But that's always a welcome situation for the simple reason that eventually if those who are mak ing in the

country today will get confidence and trust that their products will have offtake and therefore , they will expand capacities that's the most welcome situation that one is looking forward to. I guess it's only a temporary phase. We have seen such phases come in the past also, but they soon get corrected , so that's a good part. So , we will see more capacities getting added in India.
Moderator: The next question is from the line of Sha bab Thadani from Arkkam Capital .
Shabab Thadani: Just one quick question on the dividend from the electricity business , what was the quantum of that and is that intended to get paid annually just based on the excess available with the distribution account ?
Anil Sardana: The dividend amount was 245 crore s.
Bimal Dayal: Total is 350 Cr.
Anil Sardana: You are asking total ?
Shabab Thadani: 350 was the total of which you get 74% , is that right?
Anil Sardana: That's correct. 74.9% , 25.1% is of QIA.
Shabab Thadani: And the intention is to keep paying out excess available amounts from the distribution account on an annual basis or it will be more frequently done?
Anil Sardana: One can alwa

ys assume that the intention will be to have dividends from our subsidiaries regularly.
Moderator: The next question is from the line of Ni khil from Bernstein.
Nikhil: My first question is on regulated returns which have been in debate for som e time as the C ERC approach paper has come. Just wanted to hear the views if any further updates or views the management has on that.
Kandarp Patel : So, the CERC has come out with the terms and condition for tariff for next control period and there they have suggested various options as far as return on capital and return on equity is concerned. But Nikhil you would appreciate that th ese debate s continues to happen even if you see last two controlled periods draft regulation , the same was the approach and eventually as long as investment is required into power sector , they would not like to tweak much about rate of return on the investment.
Nikhil: My second question is then on new opp ortunities and distribution. Apologies if I missed it earlier. So , there are some places whereas I understand Adani Energy is looking to approach a parallel licensing model. Just wanted to understand if any new opportunities are coming as a franchisee or a licensee model in this area.

Kandarp Patel : So, Nikhil you might be aware that as Mr. Sa rdana mentioned in the opening remarks , we have already applied for three geographies, one in Navi Mumbai which is adjacent to our existing license area in Mumbai , the second is Mu ndra Taluka which is adjacent to our existing license at Mu ndra and third we have applied for Gautam Budh Nagar district along with the G haziabad Municipal Corporation and all the three applications are at various stage of approval. So , this is the update as far as second license is concerned. We have also evaluated many other areas in the country, but we would take a step one by one. So , we would first like to get the license and start operation here in this license area and meanwhile we will think of expanding into other areas as well. As far as opportunities in distribution is concerned , currently there is nothing on the horizon as far as privatization is concerned. So , Government of India and Mo P wanted to privatize few union territories. They have done bidding for Dadra Nagar Ha veli and that has been handed over Torrent. But subsequently the Pondicherry has not progressed further and therefore we are relying more on a second license route rather than a privatization route.

Nikhil: My last question then is on the funding part , if there has been any update on that side , either on the QIP or any plans to issue dollar bond etc . would be great if you could share that .

Rohit Soni : The QIP is still work in progress. So , we are still working on the documents kind of thing. So , we will update once we have clarity from the investment community. On the fundraising , I think we had closures of major of project C APEXs which we had done , last year the constructi on facility worth $1.1 billion against that we are drawing . The new projects which we have won in the last 5 to 6 months , they are under various stages of closure. I would say mostly all would be done at the SPV level. We are not looking at any major raise s on the de bt side at the parent level.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Anil Sardana for his closing comments.

Anil Sardana: Thank you so much for your participation and appreciate your joining us for the Q 1 call. Have a safe time and we look forward to seeing you for Q 2 FY24 call. Take care. Thank you so much.

Moderator: Thank you members of the management team . Ladies and gentlemen on behalf of Emkay Global Financial Services , that con cludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

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9th November , 2023

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400001 National Stock Exchange of India Limited
Exchange plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: 539254 Scrip Code: ADANIENSOL

Dear Sir,

Su
b: Transcript of Earnings call pertaining to the Unaudited Financial Results
of the Company for Q 2 FY 24

In continuation to our intimation dated 6th November , 2023, please find below
web link of transcript of the Earnings Call on Unaudited Financial Results
(Standalone and Consolidated) of the Company for the quarter and half year
ended 30th September , 2023.

W
eblink to access above transcript is as under:
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ttps://www.adanienergysolutions.com/ -
/media/Project/Transmission/Investor/documents/Results- Conference-Call-
Transcripts/AESL_Q2FY24_Earnings-Call- Transcript.pdf

T
he said transcript is also attached.
Kindly take the same on your records.

Tha
nking you,

Y
ours faithfully,
For Adani Energy Solutions Limited
(formerly known as Adani Transmission Limited)

J
aladhi Shukla
Company Secretary

Encl: As ab ove

“Adani Energy Solutions Limited
Q2 FY -24 Investor Update Call ”
November 07 , 2023

MANAGEMENT : MR. BIMAL DAYAL – CEO – TRANSMISSION
MR. KAPIL SHARMA – CEO – AEML
MR. ROHIT SONI – CFO – AESL
MR. KUNJAL MEHTA – CFO – AEML
MR. VIJIL JAIN – HEAD IR – AESL

Moderator : Ladies and gentlemen, good day and welcome to Adani Energy Solutions Q2 FY202 4 Investor Update Call . I now hand the conference over to Mr. Bimal Dayal , CEO, Transmission, Mr. Kapil Sharma, CEO, AEML, Mr. Rohit Soni, CFO, AESL, Mr. Kunjal Mehta , CFO, AEML, Mr. Vijil Jain, Head, IR AESL. Over to you Sir!
Bimal Dayal : Thank you and good morning, all. Good afternoon to some of you logged in from a different time zone . Welcome to all the analysts and investors who have joined us for this Q2 FY2024 update call. I hope that you all are doing well . I am sure you would have gone through the press release and the presentation that has been uploaded on our website . Let me start with an operational update followed by a financial update for the period ending September 30 , 2023.
Now, I would categorize this quarter as a strong and a steady quarter for AESL and while I run through the bullets here you would realize why I am s aying this as well . On operational parameters it was a strong quarter with an average system availability of more than 99.68% , which actually led to an incentive income for the company of Rs. 26 Crores during the quarter . The company added 219 circuit kilometers during the quarter and reached a mark of 19 ,862 circuit kilometers . Two important things which happened this quarter from a transmission business perspective are we have fully commissioned two important lines which we dedicated to the nation, which are WKTL lines, Warora - Kurnool, and Karur transmissions lines as well. Both have been fully charged and we are very proud of this achievement because only WKTL line is a whopping 756 circuit kilometers , it is the largest inter -regional line , which is a 765 kV line. On Karur it is a 1,000 MVA capacity and is helping a green evacuation of 400 KV system in Tamil Nadu. A very important two lines while we did that, we have also commissioned Kharghar -Vikhroli 74 circuit kilomet ers 1,500 MVA capacity which is now helping Mumbai wherein 400 KV is coming close to the the M umbai for let us say alternate power supply as well . In terms of network addition and growth , a comparative number here is that country level we added 1% on YTD basis , AESL network growth was 5% in first half adding 769 circuit kilometers during this period . In terms of capacity addition , while country level growth was 2% YTD , AESL capacity growth was 15% in the first half. Also, in terms of our under -construction pipeline we are on track, and we will make significant progress in coming quarters . As you will know we have been talking about some of the projects which are MP-II package , the Khavda -Bhuj line and WRSR . I am very happy to state that the progress on these lines is going well and the WRSR line. These projects together will add more than 1 ,300 circuit kilometers to the operational portfolio . While this is something which is on the table, we are very buoyant about the upcoming transmission project pipeline which is upward of Rs.1,26,971 Crores spanning around 12 to 24 months . A lot of bidding is going to take place and I am sure you will be aware of this .

On the transmission business segment, it translates into the financials of almost 8% operational revenue growth which we achieved equaling Rs.941 Crores of operational revenue in Q2. T he revenue growth seen in the transmission business was partially driven by commissioning these lines and incentive income as well . In terms of EBITDA growth in the quarter we achieved 9% growth with EBITDA reaching an absolute number of Rs.907 Crores. Q2 PAT, as you will have noticed for transmission business stands at Rs.259 Crores, which is an increase of 8.5% . From profit ability point of view, we focus ed more on cash profit which came in at

Rs.501 Crores in Q2, which was 4% higher from the corresponding quarter . That was around the transmission business .

Let me touch on the distribution business a little . First the operational update and then the financial update, then I will run into the consolidated n umbers and then we will open for question and answers as well . At AEML the Mumbai DISCOM ensure s supply reliability of 99.99% really a n umber which we are proud of scoring well on all reliability parameters including SAIDI and SAIFI . The strong demand moment um continued in Q2 with energy demand improving by plus 9% year-on-year to around 2 ,446 million units . We have managed to keep the distribution losses at a record low which comes in at 5.81% against 6% in Q2 of FY2023. T he distribution losses fell steeply due t o seasonal factors like higher billing and days amongst others . The collection efficiency stands at a whopping 79.2% . Another great aspect which I think we have been sharing transparently with everyone , which we are proud of is the share of RE procurement in A EML increased to 38% which is unique , no distribution company can boast of such n umbers. By the end of September, we were at 38% as committed under the July 2021 SLB issuance . Received LOA now for smart meters, there is lot of excitement around this line of business . We have received LOA from Maharashtra , Andhra Pradesh, and Bihar totaling 14.76 million smart meters with a contract value of Rs.174 billion during the quarter . We stand excited about this line of business coming alive soon . Our total smart metering under construction pipeline stands at 19.4 million smart meters consisting of eight projects with a contract value of Rs.232 billion. On the distribution financial side once again a very steady performance as well . The distribution segment revenue stands at the absolute number of Rs.2,480 Crores in Q2, which increased by 15% year-on-year on account of higher units sold and customer acquisitions . The distribution business continues to deliver strong performance with double digit growth in revenue and operational EBITDA. The distribution PAT was Rs.25 Crores, which is up due to one-time bookings which were made during the last year of the same quarter as well , hence it stands at 155% up year-on-year as well. So that was a snapshot of the distribution business and the financials of distribution as well.

A quick comment on consolidated financials as well . Our consolidated revenue, as you would have noted stands at Rs.3 ,421 Crores in Q2 witnessed a double -digit growth of 13% on account of the newly commissioned projects and higher cons umption in AEML as well . On a consolidated basis our EBITDA increased to Rs.1,443 Crores in Q2, an increase of 6% year-on-year. O ur PBT of Rs.370 Crores was 48% higher year -on-year from a lower base and consequently our PAT ended 46% higher at Rs.284 Crores translating from a higher PBT as well. This give s you a snapshot and highlight of the transmission business , the distribution business, and the consolidated financials . I will take a pause here and look forward to your questions and interaction during the next one hour . Thank you very much . Over to you for your questions please.

Moderator : Thank you very much. We will now begin the question -and-answer session . Ladies and gentlemen , we will wait for a moment while the question que ue assembles . The first question is from the line of Mohit Kumar from ICICI Securities . Please go ahead.

Mohit Kumar: Good morning, Sir. Few questions on my side , first on the transmission pipeline you just spoke about 1.27 trillion when do you expect the entire pipeline to get materialized or in the sense when do you expect it to get completed and is all the R FQ and R FP have floated already ?

Bimal Dayal : Yes, thanks Mohit for your question .

Your question is about liquidation of these 1 ,26,971 numbers which I quoted as the transmission pipeline . Let me back off a little . The source of all this is the doc ument which came out in November and December last year highlighting the 500 -gigawatt ambition which the MOP has laid down for green evacuation . Consequently , a lot of transmission lines need to be added and I think the total number there was by 2030 the number was almost Rs.250000 Crores . What we see is in the next 12 to 24 months we will be seeing liquidation of this Rs.1,26,000 odd Crores of pipeline . As we speak the bidding, and the reverse auction is going o n primarily two very heavyweight evacuations which are lined up. One is the Rajasthan corridor and the second is evacuation for Khavda which is almost 30 -gigawatt , the country 's largest corridor, which is coming up , we are proudly participating both from our solar side and the transmission side as well . I think there is a small number which is left wherein the RFPs have not been issued but most of the RFP s have been issued as well and we strongly feel that a lot of this bidding will take place in next three to six months and I think we will see a lot of movement and conversion of this into orders as well. This quarter is certainly going to be very heavy with reverse options coming up as well, so I hope this answers yo ur question, Mohit.

Mohit Kumar: Yes, that helps Sir. My second question , is on Bhadla -Fatehgarh , I think the largest HVDC line is up for bidding what is the timeline and are we bidding for the same and then the related

question is that are you facing any issues or contemplating any issues from sourcing the HVDC equipment , we understand that all the factories are full across the world ?

Bimal Dayal : So look we are very interested in such corridors and such projects as well because from the groups perspective one of the things which we have demonstrated is an unparalleled project execution capabilities right from , let us say KVTL or WKTL or the India 's or Southeast Asia' s first HVDC line which we brought up as well which we are maintaining so we are pretty much the only one in this segment , so yes we are very keen and also rightfully capable to execute this project . Well, there is no secret that there is a d earth of suppliers in 765 and above segment as well ; however, we are pretty much working on all quarters including strategic discussions with some of them now to secure our equipment and hence I do not think I would like to raise a red flag on this one . The only thing I would like to say is to sum up, yes, we are interested , yes, we are very excited about it as well and yes, we are working to make sure that if we are successful, we will really deliver this on time with finesse , which we are known for .

Mohit Kumar: Sir, the third question is how is the progress on HVDC execution , which we are building up in Mumbai and how much cap ex you have incurred till date?

Bimal Dayal : You mean the H VDC Mumbai line which is under con struction ?

Mohit Kumar: Yes Sir .

Rohit Soni: So HVDC Mumbai project is running on track what we communicated . We are looking for it to being commissioned in 2025 – 2026. Our total capex what we had committed is close to around Rs.6,600 Crores to Rs.7 ,000 Crores. Again, our current spending is close to Rs.1,100 Crores to Rs.1,200 Crores what we already spent . Most of the equipment has been ordered . It is more of scheduling of those equipments which needs to be delivered from Indian sites and from international sites, so you will see more heavy spending coming in the next 18 months to deliver this pro ject on track .

Mohit Kumar: Understood . Thank you, Sir .

Moderator : Thank you. The next question is from the line of Abhiram Iyer from Deutsche Bank . Please go ahead.

Abhiram Iye

r : Congrats for a good set of results . My first question was on the change in regulatory capital balance so we booked a reversal of about Rs.300 Crores in Q1 and then now this is down to Rs.180 Crores can you just help me understand why we sort of now under collecting back

again with respect to what we had collected in 1Q that is question one , question two is more in lines of AEML debt could you provide us a gross debt number including all working capital loans and what is the cash balance at AEML , additionally is there any plans to provide support to the AEML bonds currently and what is your view on the current sort of rating outlook and how will it be resolved by ?

Bimal Dayal : Yes sure. I will request Kunjal to respond .

Kunjal Mehta: Sure, so the first question was with respect to the regulatory asset base, the amount currently stands at Rs.7,870 Crores. N ow if you look at it you see the reduction that is primarily on account of the depreciation which was provided in the first six months and as you would know the capitalization or the addition to the regulatory asset base does not happen in the first half. The first half is generally during the monsoon so we do not add any asset base to the regulatory asset base and therefore you will see that the capita lization has happened only of Rs.200 odd Crores and the reduction on account of the normal depreciation is slightly higher by about Rs.300 Crores so therefore you feel that there is a reduction in the regulatory asset base at the end of September but once the monsoon are over the capitalization will peak and therefore there will be a significant increase in the regulated asset base . We are working toward s a capitalization o r the addition of the regulated asset base in the range of about Rs.1,200 odd Crores by the end of this financial year and this will significantly increase the regulated asset base by March 2024 , so it is only a timing difference that you are seeing a reduction in the regulated asset base , otherwise the regulated asset base by the end of the financial year would also increase in line with what we have already committed . Second was with respect to the gross debt and the cash balance that we have , so basically there has been no increase in the debt balance or any additional borrowing which AEML has done . The company currently has a gross debt of Rs.11 ,367 Crores which includes a subordinated debt from the shareholder that is QIS, without the QIS debt the total gross debt is Rs.9,350 Crores.

We do not have any working capital, so the gross debt is Rs.9,350 Crores. T he cash balance that the company has is Rs.1,183 Crores so the net debt is Rs.8,167 Crores that is $1 ,300 million of two bonds and $140 million of cash so equivalent to $1 ,160 million of net debt that the company has .

Abhiram Iyer: Understood and with respect to as I asked is there any current plans to support the bonds in the market given by their pricing at, I believe that they do not current ly reflect what A EML should be priced at , is there any plans from the company in that sense ?

Kunjal Mehta : So, we will come out with the plans as and when it is approv ed. Currently there are no such plans, but the company does note that the yields are not fairly priced so the management will work towards correcting the fair price . Currently there are no such announcements .

Abhiram Iyer: Understood and one last question this is more on Adani Energy Solutions as a whole given that you have already sort of gotten approval from the shareholders for an equity r aise and sort of indicated by the wider group that this is going to be completed towards the end of this year are there any changes to the timeline now , is this mooted equity ra ise going to happen next year now ?

Rohit Soni : Abhiram thanks for that . I would say the plan is on so the only way which we are thinking is what is the right timing and what are the instr uments to be used so this was more from enabling where we said we are looking at a billion dollar of raise so I think we are still working on it, so the time what we have given by year end that still holds good from our perspective and just to give assurance the current growth what we have the equity support 100% exists for it because we are generating enough cash from the transmission segment also and from the distribution segment . Given the pipeline is going to be a bit healthier than what we had anticipated so to prepare oursel ves for the higher capex growth plan which comes as opportunity we thought that equity r aise would help us for us to grow further but the current pipeline projects what we have they are fully supported with the equity what we have in the business .

Abhiram Iyer: Understood perfectly . Thanks.

Moderator : Thank you. The next question is from the line of Prapti from Alliance Bernstein . Please go ahead.

Prapti: Yes, thank you . Just I wanted to check with you on your credit ratings I understand that Adani Electricity is on a negative outlook by both the rating agencies so wanted to get some sense on what kind of conversations the compa ny has had with the rating agency and what are they looking at to resolve this outlook back to stable hope fully and if there are any time lines around that that is my first question , secondly I do recall in a couple of quarters back when we had met there was this mention of a potential US private placement for as a part of your debt management plan so are there any updates around that would ap preciate your response on these? T hank you .

Rohit Soni: Prapti thanks for your questions so the first one on the rating I think we h ave been actively communicating in fact I would say we are over communicating with the agencies given the last six to seven months through which we have been , so the engagements happen at multiple levels and if you see we have gone through the whole grind of the rating agencies both domestic as well as international . Our rating s stay intact . The only thing which got changed was the outlook predominantly stemming out of two reasons one is the noise around the wider portfolio that is part A and part B given the noise around it there can be any possible cost

increase on some of the loans which the company might have to tie up in the days to come and given those two reasons the rating agenc y had put on a negative outlook. We have been actively engaging with them . I think the last six months have been, I would say, learning from our perspective and from the market . The last three months I would say lot of positive development . I think active engagements are on . We should shortly see certain positive developments but that is more coming out of what the noise gets suppressed kind of things so that is the part on the rating side . We are ac tively engaging in fact over engagement is happening at this point of time that is part A. I think part two was US private placement yes, we were, and we are looking for a private placement of $360 million of transmission assets which were commissioned in the last three to four years . That is a size of $360 million , transactions and paperwork all are underway, w e are just working which would be the right opportunistic time for us to conclude the deal so the homework and the paperwork is happening at the back end so we are still working if we can get it early next year that is what

we are working so the work is still in progress .
Prapti: Thank you . Just this one followup on the part A of the question , is there any trigger or any event that these rating agencies are waiting for say for instance completion

of this US private
placement they will check the cost of fu nding or for that matter even Adani Green sort of refinancing that happens , is this something that these rating agencies are waiting for before revising the outlook or there could be various other elements as well invol ved in this?
Rohit Soni : No Prapti there is nothing of that sort I will again reiterate all our financing happens at cash flow generating SPV s and they all are ringfenced , so there is nothing which they are waiting at this point of time . I think it is more on the noise what we have on the outlook side that is the only part . The US PP I do not think there is any rate for which they are looking because all whatever we have done they either fixed price coupons they are self-contained by themselves, so I do not think we are waiting anything at this point of time for .
Prapti: Thank you so much .
Moderator : Thank you. The next question is from the line of Bharanidhar from Avendus Spark . Please go ahead.
Bharanidhar: Good morning . So, I just wanted to find out because in the initial remark s you spoke about Rs. 1.27 lakh opportunity in the next 12 to 24 months even the National Committee on Tran smission is talking about Rs.70,000 Crores kind of a pipeline in the near term but if we see the actual projects that has been awarded it is closer to Rs.10,000 Crores to Rs. 15,000 Crores kind of a number on an average per year so just wanted to find out what are the reasons

why actually on the ground projects getting awarded are on a much lower level , what are the challenges for this awarding activity ?
Bimal Dayal : Yes, thanks Bharanidhar for this question . Once again I will take a step back and I think if you go back through quarters you will realize that there was hardly any bidding that was taking place and I think at that time one of the mature corridors of Rajasthan was actually stuck because of the GI B issues which actually got cleared I think if my memory serves me right around Q1 or Q2 calendar quarter this year post that we started to see a lot of traction . At the moment as we speak even, I think today and tomorrow there is bidding and reverse auction taking place as w ell for one of the Rajasthan corridors as well, so I think as I mentioned earlier that this backlog is being cleared in a very fast manner as well . Let me give you the signi ficance and the reason why I believe this backlog will be cleared off as well . As you would know that Rajasthan corridor needs lot of upgradation and lot of evacuation as well and on Gujarat side , the Khavda project evacuation is almost getting ready at the moment in next let us say quarter or two and you will realize that the generation would possibly start as well . Once it starts I think we will see very heavy numbers coming in and I do not think this time we will actually miss out on evacuation that the transmission lines are no w ready and we have the farms ready as well so I think in next one quarter you will certainly see the large bids coming out as well so I am not too worried about month, year or two . Yes, whatever has happened is a smaller number but what is going to happen in the next two quarters there will be a lot of catching up that will take place as well so there are big ones lined up including HVDC as well .
Bharanidhar: That is very clear so if I were to just ask about the potential on this H VDC line this is this Bhadla -Fatehgarh line, right ?
Bimal Dayal : That is right so there is one H VDC line there and two coming up in Khavd a phase five .
Bharanidhar: What would be the name of that Sir?
Bimal Dayal : This is phase 5A and C if I am not mistaken . These are fairly heavy projects in Khavd a.
Bharanidhar: So, this Bhadla -Fatehgarh and two in Khavda put together how much would be the total size Sir, would it be each Rs

.10,000 Crores kind of number ?
Bimal Dayal : Bhadla is Rs.12,000 Crores , I think phase 5 A is Rs. 24,000 Crores and C is Rs.12,000 Crores as well.
Bharanidhar: That is very helpful. A ll the best and thank you very much.

Moderator : Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities . Please go ahead.
Nikhil Abhyankar : Thank you, Sir . Thanks for the opportunity . Sir, my question is regarding the smart metering so what is the current order like the bid ding pipeline that we have which are the large tenders

that we are expecting to open up in this f iscal?
Bimal Dayal : Thanks . I will request Kunjal to respond .
Kunjal Mehta: Sure, so basically as already communicated so the total smart metering pipeline that we have is around 19 million met ers and that roughly works out to around total contract value of about 232 million . The total size which is there is around 23 million quantities of smart meters which are available out of which we have already signed or are selected as one under the 19 million meters .
Nikhil Abhyankar: Sir I was asking for incremental order inflows going forward ?
Kunjal Mehta : So basically, see this is a bid process and as and when the bids are won the incremental so the total pie which is available across India is about 25 Crores meters so that is huge pipeline out of which we have around close to 2 Crores meters .
Nikhil Abhyankar : Sir out of this 232 billion worth of order that we have so what is the expected capex for these and when should we expect the revenues to start coming in ?
Kunjal Mehta : Sure, so the capex part is dependent on various types of technology and various types of the topography that is included in it . The typical size of the project as well as the entire architecture that we deploy on smart meters is dependent on it , so it is very difficult to quote a particular number as to what would be the capex size but suffice to say that the entire smart meter in process is significantly value accretive to A ESL and roughly in that range of around 15% to 20 % incremental returns are expected from smart metering.
Nikhil Abhyankar: A lot of smart metering orders have been given out in the past one to one-and-a-half year s so do you expect to face any sourcing issues for such a large number of meters and are we also comp lying with the 65% local value addition norms do we expect to meet that ?
Kunjal Mehta : Smart metering is not a very, very technology this thing so basically the entire technology and entire infrastructure which is there is locally available in India so we will be able to comply with whatever requirements are there . The metering technology has been prevalent in India since several times . There could be certain pieces of communication which we could

need to be imported but that also is evolving, and we will be able to meet the requirements of whatever Mak e in India or the local requirements are there . The more important thing which is there is that the entire backhand o r the supply chain has now evolved and there is an entire ecosystem which will cater to this demand of completing the smart metering. On your earlier question as to when the revenue will arise, the most important part of this project is that the cash to capex cycle is very limited . We do not have to wait for 24 months or 36 months f or the entire project to get completed and then start earning the revenue . The revenue will start earning as and when the meters are installed so it is more like a churning of a working capital deployment which is required or the capital which is required so in three months to four months time as and when the capex is incurred we will immediately start earning the revenue so that is the beauty of this p

roject is that the cash to capex cycle is very, very limited unlike other projects or other in fra projects.
Nikhil Abhyankar: Have you started ordering for these meters already ?
Bimal Dayal : Yes, we have started ordering so the first project that we won was in the West region which is in South Mumbai, t he other project is in the Assam , for both these projects we have started ordering for the entire meter requirement .
Nikhil Abhyankar: Just a final question on parallel licensing so any update on that ?
Kapil Sharma : Yes, Nikhil so the application which we have made to ME RC for Navi Mumbai and UPRC for Gautam Buddha Nagar there are certain additional requirement which commission asked us to submit which we have submitted recently so now they will be processing our applications at both the states .
Nikhil Abhyankar: Thank you and all the best and wish you a Happy Diwali.
Moderator : Thank you. The next question is from the line of Love Sharma from JP Morgan . Please go ahead.
Love Sharma: Thanks everybody for the time . I just have a couple of questions . If you could just highlight on the capex side what is the total capex we are looking to do at Adani Transmission for the entire this year and how much has been spen t in the first half and excluding A EML and secondly related to that would be on the funding side has there been any new facilities or any new funding which you have arranged on the de bt side to take care of the capex requirements and aside to that would be the go to market of the construction facility if you could just highlight how much is the availability there and if you are lookin g to add something more to that? T hanks .

Bimal Dayal : Yes, Rohit please go ahead .
Rohit Soni: Love t hanks a lot . Good to hear from you again so I think capex you asked three set of questions . I think on capex the guidelines what we have been giving is every year we look between 55 to 60 billion capex that is there for us, so we have been on track for it and our first half numbers are also in line with those numbers . I think we have done close to around 25 billion capex so far and that is the capex number . The second part is funding I would say very good quarter from funding perspective, so we have been able to do the financial closure for HVDC line which is under construction in Mumbai. The first draw down happened in this quarter so that has happened significantly . Then there were four more projects for which we were working on financial closures which got concluded in this quarter of which for two projects we have been able to draw the funds also to the tune of Rs. 750 Crores across $ 80 million to $ 85 million so that is on the financial closure and funding so that is working pretty well. The third part of what you said was go to market facility which you are referring to the construction facility . If you take the construction facility what we have done was a $700 million construction facility revolving up to 1.1 of which I think two transmission lines which were WRSS and Lakadia -Banaskantha LBTL lines were commissioned last year . I think we used $170 million of the construction facility line for them so those lines are operational , this is what we do on the USPP those limits can be vacated out. KVTL, I thin k Mr. Dayal Ji mentioned about it that kV line has been connected to the grid . We are just waiting for the legal circuit to be completed . With that the KV TL project should also be done . We are targeting that to happen in this quarter so with that the third line also gets constructed so all the funds will be available for the HVDC construction . Currently $300 million is what is the first branch of it . I think that will take care of most of the requirements for this year and early next year, so the go-to-market facilities are operating well for us .

The funding has also
happened . This is a very positive from this thing and they have been in line with what we expected so that is where we stand now.
Love Sharma: Great thank s Rohit. T hanks . I appreciate it . So just to confirm the go to market facility or the construction facility the current availability is how much again ?
Rohit Soni: For KVTL we have the balance I think it was close around $230 million that is available for KVTL. We have drawn I would say between $80 million to $85 million . The balance would be taken out or the re might be saving to that extent . The HVDC is a $300 million tranche one that fund is available . Post the takeout the balance Q2 would be available so a total of $700 million go to market facility is available for HVDC.
Love Sharma: Understand got it and then just one more question on the facilities or the financial closure of the lines which you mentioned I believe those are the facilities in the onshore loan market ?

Rohit Soni: Correct so we we have drawn those funds from the onshore markets, so we have not done any offshore . Offshore we done the construction facility and we done the onsho re. Post the completion we have been communicating earlier also as the derisking strategy from management post the completion period and say one year of history . If we look at go -to-market facilities or take out a long term ultra bond where the interest is fixed so tha t the return to the shareholder, the cash flows and everything are known, and they minimize the risk kind of things so that would happen . That is the part of the normal cycle which we will do it so that is the reason why we have these private placement discussions going on . Post that again say year or year -and-a-half later we will again look at similar kinds of facilities to be done .
Love Sharma: Could you share the pricing on this from the on shore project loans which you would have raised and what kind of pricing internal have you got?
Bimal Dayal : I would say at market if you were looking at exact number it ranges between say 9 .5% to 10% kind of number .
Love Sharma: AEML I believe you have not released the Q1 results yet is there any timeline as to when you you could expect Q1 and Q2 from AEML ?
Rohit Soni : Say again Love . We could not hear the last AEML ?
Love Sharma: What I meant for the AEML Adani Mumbai I believe I could not see the Q1 and Q2 numbers on the website is there a timeline as to when you would be releasing those ?
Kunjal Mehta : Between today and tomorrow we will release it.
Love Sharma: Great. Thank you.
Moderator : Thank you. The next question is from the line of Abhiram Iyer from Deutsche Bank . Please go ahead.
Abhiram Iyer: Sorry just a followup question on the H VDC line is this still structurally under AEML as of now or has this been shifted already ?
Rohit Soni : The structure is still the same Abhiram.

Abhiram Iyer: Got it and the plan is still to complete the construction under AEML and then shift it later ?
Rohit Soni : Yes, that would be decided at that point in time.

Abhiram Iyer: Got it understood .
Moderator : Thank you. The next question is from the line of Sharon Chen from Bloomberg . Please go ahead.
Sharon Chen: Congratulations on a good set of results and thanks for taking my question . Just to clarify on the capex guidance, can you break down this year' s capex guidance by transmission , smart meters and also distribution and given you have talked a lot about the strong pipeline do you expect c apex to increase from next year? T hank you .
Rohit Soni : Sharon I think the annual capex guidance what we had said $55 billion to $60 billion , if could take broad numbers for this current year you should be looking at between say $45 billion to

$50 billion coming on the transmission segment . If you take AEML which is a distribution segment that stays between $10 billion to $13 billion that is part B and smart meter I think commissioning and deployment just started in this current year so I think it will be a small number even product so that that would progress it up . We have got a 30-month window for construction so that would happen predominantly in the next year and then year later to it . You have asked what is likely to happen going forward . I think with the HVDC line which connects Mumbai that is going to be a big capital investment of say Rs. 6,500 Crores to Rs.7,000 odd Crores so that would see more spending coming on that line in the next couple of years so you might see a bit elevated cap ex spending but more or less in line with the guidance what we have been communicating earlier so that is why we stand here.
Sharon Chen: Great. Thank you.
Moderator : Thank you. As there are no further questions , I would now like to hand over the conference to Mr. Bimal Dayal for closing comments . Please go-ahead Sir.
Bimal Dayal : Thank you very much for all your questions and thank you for joining in on this call . We really remain excited about what we are doing , excited about t he sector we are in and the growth and the participation in the coming tenders as well so there is a lot happening as you will know . With this I would only say that eyes down for the coming quarter and as you would know that we are also entering into this festive season as well, so I d o not want to miss an opportunity to wish you and all your loved ones a Happy Diwali and a Merry Christmas . Stay safe. Thank you very much once again for joining in. T hank you.
Moderator : Thank you very much Sir. On behalf of Adani Energy Solution s that concludes this conference. Thank you for joining us . You may now disconnect your lines.

Call: Feb 2024

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1st February, 2024
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Sub: Transcript of Earnings call pertaining to the Unaudited Financial Results
of the Company for Q3 FY 24
In
continuation to our intimation dated 29th January, 2024, please find below
web link of transcript of the Earnings Call on Unaudited Financial Results
(Standalone and Consolidated) of the Company for the quarter and nine months
ended 31st December, 2023.
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T
he said transcript is also attached.
Kindly take the same on your records.
Tha
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For Adani Energy Solutions Limited
(formerly known as Adani Transmission Limited)
J
aladhi Shukla
Company Secretary
Encl – As above

“Adani Energy Solutions Limited
Q3 FY-24 Earnings Conference Call ”
January 29, 202 4

Management: Mr. Anil Sardana – MD – AESL
Mr. Kandarp Patel – CEO – AEML
Mr. Rohit Soni – CFO – AESL
Mr. Kunjal Mehta – CFO – AEML
Mr. Vijil Jain – Head IR – AESL

Moderator: Ladies and gentlemen, good day and welcome to the Adani Energy Solutions Limited Q3 FY24 Earnings Call . As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
From the management, we have with us : Mr. Anil Sardana, Managing Director, Mr. Kandarp Patel , Chief Executive Officer, Mr. Rohit Soni, Chief Financial Officer, Mr. Kunjal Mehta, Chief Financial Officer, AEML, and Mr. Vij il Jain, Head, Investor Relations.
I now hand the conference over to Mr. Anil Sardana. Thank you and over to you, sir.
Anil Sardana : Thank you and good afternoon to all the analyst friends. Welcome to Q3 analyst call. You would have got the press details and the other details as submitted to the Stock Exchange. And let me continue from the fact that like every quarter, the company achieved good progress during the quarter with commissioning of additional transmission lines and by virtue of that, it continued to get and register robust growth.
That's visible in the way that the cash profit registered during the quarter is about INR786 crores. The revenue is up by virtue of the fact that one could register additional assets and so did the direct costs by virtue of which the Operational EBITDA numbers have shown a growth of 10% year on year.
I must quickly add that in each of these assets, one has seen the COVID times and therefore, the change in law with regard to the COVID months, which is eight months as permitted by Government of India through official circulars and the balance period as w as relevant in different states has not been accounted for in respect of the added IDC or change in law.
These are all subjects for which , petitions will be bundled as we now move into the other quarters and therefore, one would see the advent of those additional approvals as they will come by from time to time from respective regulators.
Now, amongst these formidable parts was the Kharghar -Vikhroli line, a matter of great pride that for the first time, Mumbai has seen 400 KV grid getting energized by Adani Energy Solutions and this by no means was an easy line to execute because it is from those denser areas as also challenges of height restriction , besides the fact that all the other lines as you must be aware by some of the other transmission players are still languishing for quite some time. But we could achieve this, and the line is ver y much now energized.
The next one was the first line from Khav da. This is the 765 KV double circuit line , all the way connecting to Bhuj area and the fascinating part is that , it is today carrying electrons from the first solar fields that have started to get energized.

Now, naturally for us, the schedule for this was somewhere end of January 2 024, but we could commission it ahead of schedule and we have been able to carry the electrons for the generators.
In addition to that, some of the other orders that the company captured in terms of smart metering continued to take us to robust positions with regard to how we are positioning ourselves in an area which eventually dovetails well with our aspirations of private distribution or the second license or the parallel distribu tion networks as we would want to eventually get into. So, those are some of the highlights and to that extent, the details are there with you.
It will be nice to get your questions and by virtue of that, I am sure we will tend to answer and

provide you more details. So, instead of going further, I would stop here and request that we can have the quest

ions from your end and you will use that oppor tunity to deliberate more on some of the aspects that I may not have covered. Thank you.
Moderator: Thank you. The first question is from the line of Koundinya Nimmagadda from Jefferies. Please go ahead.
Koundinya Nimmagadda: Yes. Hi, sir. Thanks for the opportunity. Sir, my first question is on the under -construction pipeline for Adani Energy. So, what is the current asset base that you have, and which is expected to be commissioned in the next three -four years if you can provide some color on that target pipe line there and commissioning for FY 24, 25 and 26, please?
Kandarp Patel : Yes. So, the current pipeline which is under execution is about INR 17,000 crores , covering eight projects and we would complete all these projects by December 25.
Koundinya Nimmagadda: And how much of that would be commissioned in FY 24 and FY 25, sir, of the 170 billion?
Rohit Soni : So, there are two projects which will be completed in the next three to six months. The MP2, which is partially commissioned and KVTL, which has been connected, would be declared fully commissioned. So, these two projects will be completed in the next one and two quarters.
Koundinya Nimmagadda: Understood, sir. And sir, on the smart metering side, that's my second question. So, how does the current big pipeline look like? And you also in your presentation spoke of about 135 million of total opportunity size. So, what extent of that is covered in the big pipeline and what is it that is yet to be tapped? If you can throw some color on that, please.
Kandarp Patel : So, currently, the order in hand is about 2.1 crores meters, which is roughly a capex of about INR 17,000 crores to INR 18,000 crores. And these we will complete in next 24-month time. So, in next two financial years, the current pipeline will get concluded.
There is a bidding process that is going on in various states and we expect that similar number of amount s of order will get added into the current one. We will also conclude these orders in 24 months from the date when we get that order.

Koundinya Nimmagadda: Understood, sir. So, essentially, okay, understood. And sir, lastly, of the 1.1 trillion transmission bid pipeline, which you spoke of in the presentation, what extent of that is in the tendering stage and what is it that is still under discussion? So, if you can provide some color, please.
Kandarp Patel : So, the bidding pipeline for transmission project is expected to about INR1.1 lakh crores capex. And that we expect this bidding to happen in next six to twelve month.
Koundinya Nimmagadda: Sir, yes, okay. This is all in the bidding stage itself. And what extent of, I mean, incrementally, what is it that has been approved by NCT and yet to enter bidding stage, sir?
Kandarp Patel : So, already everything has been approved by NCT and notified for bidding . After NCT approval , the MOP issues a notification for bidding. The notification has already been issued for INR 81,000 crores project, for which bidding is likely to get complete by April or May this year.
Koundinya Nimmagadda: Got it, sir. Thank you very much. I'll come back in the queue for more questions.
Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead. Mohit, the line for you has been unmuted. You may proceed with your question. As there's no response from the current participant, we will move to the next participant, which is the question from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.
Abhiram Iyer: Hi. Thank you for taking my questions. My first question was with respect to what, could you just let us know what's the current debt and cash positions at, Adani Energy Solutions Consolidated and at Adani Electricity Mumbai?
Rohit Soni: Abhiram, you want s

pecific for AEML, am I right?
Abhiram Iyer: If you can give both, Consol and AEML, that would be useful?
Rohit Soni : Okay. So, we'll give the AEML first.
Abhiram Iyer: Yes.
Kunjal Mehta : So, AEML basically, as you would know, did a buyback of $ 120 million of bond during the last quarter. With that, the total debt, which is outstanding, is US$ 1,180 million, which is the senior debt, which is outstanding. And it had a cash of roughly around US$ 150 million in its books. So, roughly around US$ 1000 million or INR. 7,800 Crores of net debt AEML had in its books as of 31st December.
Abhiram Iyer: Got it. This includes all working capital, right? INR 7,800 crores.
Kunjal Mehta : Working capital was INR 650 odd crores. So, add to it the working capital debt also.
Abhiram Iyer: Okay. INR 650 crores is working capital. Okay.
Kunjal Mehta : So, in total, INR 7,600 net debt of AEML.

Abhiram Iyer: Got it.
Rohit Soni : And you asked, Abhiram, on the second part of that. I think at an AES L consolidated level, so we are sitting at a gross debt of close to around INR 30,000 crores as on quarter 3 end. And if we talk cash, we're looking at close to around INR 5,100 crores of cash in the business, in various assets and the thing.
So, if we're looking at net debt, it's close to around INR 25,000 crores. Because of the bond buyback, INR 1,000 crores got erased . And we have not considered the sub -debt and working capital in it.
Abhiram Iyer: Perfect. Thank you. The other question that I had was on the reversal of the tariff buildup, basically the AEML's regulatory balance account. From what I can see is it's been declining. We saw big reversal in Q1, but then Q2 and Q3 have been smaller and smaller. So, that overall, till now, it's been around INR500 crores out of the nearly INR2,000 crores of balance that was built up by the end of FY24.
So, if you recall our previous conversations, you had mentioned that it might take around two years to bring down this balance. Are we now expecting this to go longer? Or is this a temporary sort of slowdown, which is expected to correct again back from Q4 or even FY25 onwards?
Kunjal Mehta : No, no. So, there is no question of slowdown or reduction of this thing. What the regulator has said is that around INR1,500 -odd crores would be recovered over a 24 -month period, of which we have closely recovered INR500 -odd crores by 31st December. The balance INR200 -odd-crores will come between Q4. That will take care around INR700 -odd-crores would be recovered by 31st March, and the balance INR800 crores would be recovered during April ‘24 to ‘25.
So, INR500 -odd-crores has been recovered, which is in line with the regulatory order. So, there is no slowdown as far as the recovery of the regulated or the power sector of the asset is concerned.
Abhiram Iyer: Understood, understood.
Kandarp Patel : Abhiram just to add to what Kunjal said, we recovered this regulatory gap through tariff that we charge to our customers. And you must have seen the increase in sales that AEML has been able to achieve. So, as we go forward, because of increased sales, the recovery will also increase accor dingly.
Abhiram Iyer: Understood, understood. Perfect. That makes sense. Thank you very much.
Moderator: Thank you. We have the next question from Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Thank you for taking my question. My first question is, could you share some colour around the fiscal year -to-date TBCB projects that have been awarded by value, and what is the discipline that you are seeing by Power Grid and other major players, includin g yourself? And do you see

IRRs for projects? When so far this year have, they improved versus last fiscal? So, that's my first question.

Rohit Soni: Sorry, Can you repeat the question. The line was bit unclear.
Sumit Kishore: I asked whether fiscal year -to-date, if you could speak about the TBCB project by value, what has been awarded so far, this fiscal? And what is the big discipline that you're seeing in this pick up in TBCB project awards? And do you see IRRs for project wins that have happened so far, this fiscal, whether they have improved versus last year? So, basically, I wanted an overview on the competitive dynamics in the space and some colour on the projects that have been awarded so far this year.
Kandarp Patel : Yes, so, Sumit , the INR 61,000 -odd-crores bid has been done in the last one year. And there we saw intense competition. The reason probably was that prior to this last one year, the bidding that happened in previous years, the quantum was relatively smaller. But as we go forward, the kind of projects that are coming up for bidding, as we discussed, about INR 1.1 lakh crores bid that is going to happen in next six -twelve month s.
So, we expect that the expectation or the competition will not be that intense, because every player has a significant work already in their kitty. Another important thing that you should note here is that now the project which is coming under bidding are quite a big size projec t and also that bidding is going to happen very quickly, almost simultaneously for most of the projects.
Therefore, we expect that there will not be a pressure on IRR for the project that we bid.
Sumit Kishore: Okay. So, out of the INR 61,000 crores projects which have been awarded right in the last one year, how much has Adani Transmission won? Adani Energy Solutions I mean?
Kandarp Patel : Out of 61,000, we have won about 10,000.
Sumit Kishore: Okay. And in your assessment, Power Grid would be more than INR25,000 crores?
Kandarp Patel : Yes. Power Grid is around 50-55% share of this 61,000.

Sumit Kishore: Okay. But that 61,000 would include that Leh Ladakh, which was given on nomination basis, or that is outside? That is only TBCB…
Kandarp Patel : That is outside.
Sumit Kishore: That is outside. Okay. Okay. So, given the intense, so Power Grid is offering is competing quite aggressively. Do you get a sense that, power grid is ready to take a bit of compromise on IRRs at this point? Because their works in hand had been going slower earlier, when the number of opportunities available were lower. So, are you getting a sense that power grid is competing quite aggressively?

Kandarp Patel : So, Kishore, I can't comment what probably power grid would do. But the kind of advantage that we have is that since we are into transmission, distribution, as well as smart metering, we have ability to fund the investment in the sector which is giving us a good IRR. And looking at current market situation, we don't see any reason why any player, including power grid, will become super aggressive in getting the project s.
Sumit Kishore: Got it. My second question is in relation to your smart meter, capex plans are quite intense. So, can you share some color on your smart meter procurement for the capex that you have lined up? Have you made any tie ups or partnered with any prominent playe rs to procure your smart meter requirement?
Kandarp Patel : Kishore, in smart metering, there are essentially three, in fact, four important segments of a capex that you do. One is obviously a meter , second is communication , third one is the software, which is HES and MDM and fourth is your cloud services. Now, you must have noted from our various communications that we have a strategic alliance or tie up or a JV for communications, software, as well as cloud services.
Now, as far as meter supply is concerned, the total capacity of meter manufacturing in India is in excess of 12 crores per annum. Now, even after this ki

nd of spurt in demand, we feel that there is a sufficient meter manufacturing capacity. And we are essentially having a kind of understanding or agreement with the Tier 1 meter manufacturer.
So, namely those are Schneider , Genus and H BL, where we are sourcing meter from them. And the rate that we have been able to get are competitive looking to the market conditions.
Sumit Kishore: Okay. That's very good to know. Thank you so much for answering my questions.
Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good afternoon, sir. My first question is on the, what is the timeline for the smart meeting rollout? Is it fair to say that entire 21,000 or 2.1 crores smart meter will get installed over the next three to four years? Is that a fair understanding? And the related question is, how do you intend to fund this outlay? Is it you'll fund all the projects SPV by SPV depending on the discom ?
Kandarp Patel : So, Mohit, contractually, we have to implement the entire metering solution within 27 months from the date of the agreement. Now, but the internal plan of us is to implement within 24 months. And we have lined up our entire implementation plan, including procurement and sourcing in such a way that we are in a position to achieve that kind of a timeline.
Mohit Kumar: And my question is, are the d iscom ready? And how do you intend to fund this outlay?
Management: So, yes, the important thing to make sure that we implement this at a very good pace is to involve and execute this discom right from the beginning. So, that is the kind of practice that we have been doing that the moment we get that concession, we actually start interacting with the discom

and also let them know as to on which part they will have to take a decision. Because it is essentially integration of two systems. Eventually, I will have to integrate my entire solution in that billing system. There, I require support from their side. And it is important that discom is geared up and we are making sure that they are given all the input to take the right decision.
Mohit Kumar: Okay. How do you intend to fund the outlay, sir?
Kunjal Mehta : Sure. So, the most important part on smart metering thing is that the revenue to cap excise service is significantly lower. So, what I mean is that we do not have to wait for the entire 27 months or 30 months to get completed to fund the entire project for 27 months and then the revenue starts accruing.
The way it is that once a particular size of smart meters, say 5% of the smart meters have been installed, we start earning revenues also into it. So, the funding becomes self -funded assets or self-funded to that extent. And then with a smaller debt tie -up, I can fund t he entire 21 million

smart meters which we have planned currently.
So, here we are not talking of to first raise debt of say 70 -75% and then do 30% of equity. That is not what our goal. Essentially, what we are looking at is 30% equity, say 30 -35% of self -funded assets and 20 -25% of the debt to tie -up.
And then we will be able to do it on a self -funded asset. So, that is how we are looking at financing this entire smart meter financing.
Mohit Kumar: Understood. My second question is on the bidding pipeline. So, there is a strong bidding pipeline and I think we were not bidding actively in most of these. Can we expect us to be more active compared to our recent past experience? And the stated question is, given the huge pipeline, are you seeing the constraint emerging in power equipment space? The fact that there is no transformer available, reactor not available, H VDC industries are full with orders. Please comment on that.
Kandarp Patel : Yes. So, Mohit , you will see us active in the bidding, but not because that, but not at the co

st of
compromised ROE. We believe that we will be able to get a good amount of share without compromising IRR. As far as your second question is concerned, yes, obviously, there is a constraint looking to the kind of capex that is expected in the country. But the good thing that we have already done is that we have a strategic tie -up with a major equipment supplier. And we work closely with them not only in our transmission business, but also other businesses where we buy a lot of equipment, electrical equipment. So, we are fairly in a better place as compared to other players in terms of relationship with the suppliers.
Mohit Kumar: My last question is, what are the capex in nine -month FY24 and across the businesses?
Rohit Soni: So, Mohit, I mean, if you take the capex spend, what we have, being more or less in the guidance, what we have said. So, if you take for the nine months, we have spent close to around INR 3,500

crores on the capex side, which is a guidance of INR5,000 to INR6,000 crores of the capex what we do on a yearly basis. So, we are on track for that.
Mohit Kumar: Understood, sir. Thank you. Best of luck. Thank you.
Moderator: Thank you. The next question is from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.
Abhiram Iyer: Hi, thank you for taking a follow -up. Could you let me know what's the status of the equity raise that was approved last year? I mean, the last time we discussed it, you mentioned waiting for an opportune time, and I agree that internal accruals are enough for new projects, but is this still on track or has this been shelf off for the moment?
Rohit Soni : Abhiram, I think last time when we had done, the resolution we had done is that we are enabling clause to support the growth of AESL. So, the including discussions are still going on. I wouldn't say it has been put off the shelf, but the current capex pipe line and the bid pipeline, what we have, that is equally supported by the cash flows, what we have from the business.
Equity rates and discussions are still ongoing. We don't have anything concrete to tell you yet, which has been concluded, but discussions are going on at a larger level.
Abhiram Iyer: Understood. So, no specific timeline. It's still the company deciding on when it is best for them to do it.
Rohit Soni : Correct. So, we are just working on what is the timing, what would be the value side. So, all those discussions are going on.
Abhiram Iyer: Thank you.
Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question, you may please press star and one. The next question is from the line of Dhruv Muchhal from HDFC Asset Management.
Please go ahead.
Dhruv Muchhal: Yes, sir. Thank you so much. So, in your earlier call, you had mentioned that the capex target for the transmission business is about INR4000 - INR4500 crores. So, do you stick to the guidance, or do you see any upward division to it for the next year, I think?
Rohit Soni : I think, Dhruv, the guidance, what we gave is the basis, the construction activity which is undergoing. So, we stick to the guidance. So, those numbers still hold good, what we said. A nine-month data also talked about the same thing and the 12 -month data would also speak to the same numbers. What we see is the bidding pipeline is getting bigger and base is that what would be our plan to get to the more capex, what needs to be done, that is the area where we are working. But for the next one to two years, the capex numbers, what we have said, would hold to the numbers.

Dhruv Muchhal: Okay. Sure, sir. And one bookkeeping kind of question is on your slide 46, you know, you have given the Kharghar -Vikhroli asset base, it is about INR13 billion. And if I look at the same number in the previous quarter's

presentation, it was about INR. 18 -19 billion.
So, just wondering, is it changed because the assets got constructed and now you have the actual number or the earlier number was an estimate?
Rohit Soni : So, I would say the number is still provisional, but we might see certain capex reduction on the Kharghar -Vikhroli. So, just got commissioned five to ten days before the quarter close. So, the final numbers will be trued up once they are done, say three to six months for the claims and the counterclaims and the pensions will be closed.
So, we will true up the number as we come closer to it. So, we say it would be in that range.
Dhruv Muchhal: So, the 13 is currently provisional, I should say…
Management: Correct. Correct
Dhruv Muchhal: Okay, sir. Thank you so much and all the best. Thanks.
Moderator: Thank you. The next question is from the line of Megha from Stone Harbour. Please go ahead.
Megha: Hi, thanks for taking my question. My question was on your international rating. So, S&P has changed the outlook from negative to stable. Can you throw some light on your discussions with Moody's and is there any sense on what action are they taking on the ratings? What has been the progress in terms of your dialogue with Moody's? Thanks.
Kunjal Mehta : So, the company continues to engage with all its stakeholders including the rating agencies and with respect to the continuous engagements and with respect to all the positive outcomes which we are seeing, S&P has now restored back the rating outlook which it had done last year. So, and we continue to engage with Moody's and the other agencies and at the right time, I think all the agencies would also upgrade their ratings.
Megha: Thank you.
Moderator: Thank you. Participants, if you wish to ask questions, you may please press star and one. To ask a question, ladies and gentlemen, you may please press star and one. We have the next question from the line of Nikhil from Bernstein. Please go ahead.
Nikhil: Hi. Thank you for the opportunity. I just had one question on the distribution business side. Any opportunities ongoing or in the pipeline that you could update us on would be helpful.
Kandarp Patel : So, you must have noted from the presentation and the other material that you had, we have already applied for a second license in respect of three geographies. One for Mundra Taluka which is adjacent to our existing distribution company in Mundra SEZ, that is about 1 ,000 square

kilometres . Another one is Navi Mumbai where we have applied for a second license that is also about 1 ,100 square kilometres .
And the third one that we have applied is in Uttar Pradesh where we have applied for a Ghaziabad operation along with that District of Je war where new Airport and other development is happening so, these are the three areas where we have applied for a license. In Mundra, Gujarat Electricity Regulatory Commission has intrinsically approved.
Now, the next step, they will have to issue a fresh public notice and conduct a public hearing.
We expect that public hearing to get notified shortly. And once that is done, then they will issue us a license. In MERC and UP ERC, the process is a bit slow. But we expect that once Gujarat order is out, probably that will also pick up a pace.
Nikhil: All right. Understood. Thank you. And one follow -up question on that. In these areas of the second licensee, the company would be building the parallel infrastructure completely and not using the existing setup. Am I correct to understand that, especiall y in places like Navi Mumbai, etc.?
Kandarp Patel : Yes, your understanding is correct. In fact, that's a legal obligation as per the current statute.
Nikhil: Got it. Understood. Thank you. Those were my questions.
Moderator: Thank you. We have no further questions, ladies and gentlemen. I w

ould now like to hand the conference over to Mr. Rohit Soni for closing comments. Over to you, sir.
Rohit Soni: Yes. Good evening to all of you. I think I'm very thankful to all of you for joining this call and hearing us out for 45 minutes. So, it's been a very good quarter from the business side. We keep updating you as the business progresses. It's a big pipeline wh ich is coming up on all the four sections in which we operate – transmission, distribution, smart meters, and district cooling solution.
We thank you for your support and wishing you a very happy New Year as the year has started.
Thanks a lot.

Moderator: Thank you. On behalf of Adani Energy Solutions Limited, that concludes this conference call. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

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6th May, 2024
BSE Limited
P J Towers,
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Mumbai – 400001 National Stock Exchange of India Limited
Exchange plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: 539254 Scrip Code: ADANIENSOL
Dear Sir,
Sub
: Transcript of Earnings call pertaining to the A udited Financial Results of
the Company for Q4 FY 24
In continuation to our intimation dated 30th April, 2024 , please find below web
link of transcript of the Earnings Call on Audited Financial Results (Standalone
and Consolidated) of the Company for the quarter and year ended 31
st March, 2024.
W
eblink to access above transcript is as under:
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/media/Project/Transmission/Investor/documents/Results- Conference-Call-
Transcripts/AESL_Q4FY24_Earnings-Call-Transcript.pdf
T
he said transcript is also attached.
Kindly take the same on your records.
Tha
nking you,
You
rs faithfully,
For Adani Energy Solutions Limited
(formerly known as Adani Transmission Limited)
J
aladhi Shukla
Company Secretary
Encl: As above

"Adani Energy Solutions Limited
Q4 FY-24 Earnings Conference Call "
May 02, 202 4

Management: Mr. Anil Sardana – MD – AESL
Mr. Kandarp Patel – CEO – AESL
Mr. Kunjal Mehta – CFO – AESL

Moderator: Ladies and gentlemen, good day and welcome to the Adani Energy Solutions Limited Q4 FY24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kunjal Mehta. Thank you and over to you, sir.
Kunjal Mehta: Hello all. Good afternoon and our best wishes to all the participants and thank you for joining Adani Energy Solutions Q4 results.
We have released the investor materials on our website, and you must have read it. At the very start, I am very pleased to share that AESL has received an ESG score of 25.3 from Sustainalytics in their recent assessment, which placed the company among the top 20 global electric utilities and helped us surplus the global and the industry av erages. We are also happy to share one more another important development in our Mumbai DISCOM, which is Adani Electricity Mumbai, which again got ranked number one utility in India in the integrated rankings of all the DISCOMs evaluated by Ministry of Power and McKinsey . This is the second time in a row that the Electricity Mumbai got ranked as number one among all the DISCOMs throughout the country.
We had a strong quarter as far as the operational results are concerned, both in the transmission as well as in the distribution sector. In terms of our performance, we continue to achieve system availability of 99.6% in our transmission business and that led to the normal incentive income that we always get, and we achieved an incentive income of about INR 104 crores. We are also happy to share that we have operationalized 1 ,244 circuit kilomet ers and because of which our total circuit kilomet ers now is around 20,509 circuit kilomet ers. So, this being very special for us as we achieved a strategic milestone of 20,000 circuit kilomet ers.
The company also made certain strides in completing certain important projects, the most important one being the 400 KV Kharg har-Vikhroli line, which is an important line to reduce the congestion in the city of Mumbai. We also adde d or completed the line of the W arora - Kurnool line, 765 KV K havda -Bhuj line , which will enable about one gigawatt of renewable power from the K havda region. These are the few important projects that got completed during the year.
In terms of electricity, Mumbai, the number of units sold ended up being 9.4% higher on a year - on-year basis and the most important achievement that the Mumbai DISCOM achieved was in terms of the distribution losses. Last year , the distribution losses were around 5.93% , or lower than 6%. We further reduced it down to 5.29% which is the lowest in the histor y of Adani Electricity, Mumbai.
In terms of the financial updates, during the financial year 2024, the company achieved a revenue growth of 17% and we crossed the mark of INR 14,200 crore in terms of the full year revenue based on the various lines that got completed during the financial year. The full year operational EBITDA grew by 7% and just around INR 5,695 crore , that is the operational EBITDA that the company achieved. The comparable P AT after excluding one -time items has also grown 12%.

If you exclude the one -time items which were there during the last year, the comparable PAT has grown around 12%.
We continue to remain buoyant with respect to our transmission businesses. We have an under - construction project pipeline of INR 17,000 crores which is well on track to get completed during the next financial year and we have around INR 1.1 la

kh crores of transmission bidding pipeline
which is going to come up during this and next financial year . In terms of the distribution business, the regulated asset base of Mumbai continues to grow from INR 5,500 which was at the time of acquisition in 2018, to INR 8,500 by the end of this financial year.
The emerging and important business, which is the smart meter ing business, we now have close to around 22.8 million smart meter projects already won , which takes a total contract value of around INR 27,000 crores. In this line of business, we have already started the implementation of smart meters in the BEST regions and work is in full swing at other project locations in Maharashtra , Bihar, Assam, Uttarakhand, and Andhra Pradesh .
With that, I will take a pause and happy to take certain questions which anyone has with respect

to the company or with respect to the financial results.
Moderator: We have our first question from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.
Apoorva Bahadur: Hi, sir. Thank you for the opportunity. Sir, I wanted to check with you regarding the INR 1.1 trillion pipeline that you just mentioned for bidding. First, how much did it used to be? I mean, has there been any positive movement over the last one year or six months or so? Secondly, does it also include the three HVDC projects which CTUIL had identified as a part of the 500-gigawatt renewable plan? I mean, those lines will be sort of added later.
Kunjal Mehta: Your first question was with respect to whether this INR 1.1 trillion includes the HVDC lines?
Apoorva Bahadur: Yes, sir, the three HVDC lines.
Kunjal Mehta: Yes, yes. So, INR 1.1 trillion includes the three HVDC lines. We believe that in next three months all these projects would get started for bidding. I think post the elections; all these bids would open .
Apoorva Bahadur: Okay. And how much did this INR 1.1 trillion used to be, say, six months back or one year back? Are we seeing any positive movement over here?
Kunjal Mehta: This used to be around INR 40,000 to INR 50,000 about a year back or probably even less than that. But now the things would start moving much faster and we would see more projects coming up into the pipeline.
Apoorva Bahadur: Okay, even beyond the INR 1.1 trillion?

Kunjal Mehta: There could be a possibility of even beyond INR 1.1 trillion . Currently, we have a strong visibility of INR 1.1 trillion primarily on account of the three HVDC projects, which itself comprises of around INR 50,000 odd crores.
Apoorva Bahadur: Okay. And, sir, what's the update on your Mumbai HVDC line? How far have we progressed and when do we expect the commissioning?
Kunjal Mehta: The HVDC project, implementation, and construction is going on. We are looking to complete the project during, Q1 or Q2 of the next financial year.
Apoorva Bahadur: FY '26?
Kunjal Mehta: Yes, in the Q1 and Q2 of FY '26.
Apoorva Bahadur: Understood. Also, just one wanted to check on the global and macro picture , I mean, so globally we are seeing that there's a transmission equipment shortage, especially on the transformer side. So, are you seeing anything on this in India? And if it is, then how are we sort of factoring that in our plans, or can the manufacturing capacity be ramped up quickly?
Kunjal Mehta: So, you are right. Because of the significant bids which are coming up and the huge demand across the transmission and the distribution sector, there are constraint s and challenges with respect to the supply chain. But because of the tie -up and the long -term tie -up which we generally have with most of our large key players, we do not see significant challenge over there with respect to the key components.
Therefore, in most of the key projects or key components that we have, we have already tied up with the la

rge players for all the projects that we currently have .
Apoorva Bahadur: So, key component would be your transformer substations?
Kunjal Mehta: Correct.
Apoorva Bahadur: Okay. Fair enough. Thank you. Thank you so much for that. I'll get back in the queue.
Moderator: Thank you, sir. We have our next question from the line of Nikhil from Alliance Bernstein . Please go ahead.
Nikhil: Thank you for taking my question. My first question is on the pipeline and other construction capex. So, I wanted to understand from a pipeline of INR 1.1 lakh crores, what is the typical market share you think which should be achievable for Adani Energy Solutions ? And secondly, even in terms of ballpark capex for the transmission business, what should be pencilled in the coming years for the transmission business?
Kunjal Mehta: We are targeting this INR 1.1 lakh crore tendering , our share would be in the range of around 20-25 percenta ge. And most importantly we are looking at those projects which a re very critical for the Khavda renewable sector, for the evacuation of the renewable power .

In terms of the capex guidance for the next financial year looking at in the range of around INR 6,000 odd crores which includes around INR 1,200 to INR 1,500 odd crores for the distribution business in Mumbai, and rest would be for the transmission business .

But as smart meter project s are also underway, there could be an addition to the above capex –
I mean as and when we start deploying the smart meter s on a full -fledged basis.
Nikhil: Got it . That's helpful. The second question I had , was regarding the competitive intensity in TBCB projects. So, last year, there were rumours of higher intensity in terms of competition for bidding for those projects. Do you see any of that easing, improving returns on ongoing tenders? Do you see that happening?
Kunjal Mehta: No, certainly. The competition continues to be there. But the most important part is , there are very few players in the market who can do certain types of the projects or certain high -value projects especially certain niche projects like HVDC.
And given that background in certain types of the projects there are very few players who bid for these types of projects. For smaller projects, I mean, in the range of around INR 500 odd crores where we generally do not tend to participate, the re could be higher competition, b ut as the projects become more deeper, wider , more niche than you have very few players currently in the industry.
Nikhil: Understood. Any indicative returns you could guide on equity IR Rs that one can expect in these kinds of projects?
Kunjal Mehta: We benchmark ourselves in the range of say around 14-15 odd percentage when we start for bidding to protect our returns and margins. Those are certain benchmarks that we use for transmission projects and that philo sophy is true even for smart meter businesses. Hence , there are certain benchmarks IRRs which we target for both these businesses beyond which we do not participate into those projects.
Nikhil: Got it. That's helpful. A couple of more questions. One is - any traction on intrastate transmission TBC B projects or is there still some time away ?
Kunjal Mehta: We have not seen much traction as far as intrastate is concerned. I mean, not very large projects on that side.
Nikhil: Got it. And the last question, if I may squeeze in, regarding transmission equipment as was discussed earlier, would you say transformers especially higher voltage transformers is that the key or the biggest bottleneck in executing projects faster or is some other equipment?
Kunjal Mehta: No. Both transformers and the substations continue to be the key important factor in our supply chain management. Yes, there are supply chain management issues around because of the huge demand, which is there

in the transmission side, and that we will continue to see. But how you manage those supply chain that's the critical aspect that we have been able to do in all our projects.

Nikhil: Understood. That's very helpful. Thank you for answering my questions.
Moderator: Thank you, sir. We have our next question from the line of Shivang Chauhan from Barclays . Please go ahead.
Shivang Chauhan: Hi. Thank you for the opportunity. My first question is on the status of Dahanu Thermal power plant. So, it was like carving out from the AEML. Should we provide some light on that?
Kunjal Mehta: As we had indicated earlier the intention of the company is to carve out ASAP. There are processes involved and once those processes are completed, we will then be able to make the necessary announcement with respect to the Dahanu Power plant.
Shivang Chauhan: Got it. Thank you. Another one would be related to bonds. So, any further pl ans on tenders after the earlier USD 120 billion exercise?
Kunjal Mehta: That depends on liquidity positions of the company and post the capex and the business requirement of AEML. And the last bond was on account of liquidation of past regulatory receipts that the company had because of which the company was able to do the bond. But once we have again liquidity available, then we will not shy aw ay from doing the bond tender if necessary and if available.
Shivang Chauhan: Got it. Also, any funding plans for the USD market for either of the subsidiaries?
Kunjal Mehta: I would put it slightly differently. I would say Adani Energy Solutions has access to both the dollar bond market as well as the rupee market and as well as the bank market, which it uses either for this under construction project or for its capex requirement. Therefore, at the right time, we tap these markets for our capital requirements. So, if there could be a need in rupee bonds, we would tap the rupee bond s and if the need is in the dollar bond s, we could tap the dollar bond s.
Moderator: Thank you, sir. We have our next question from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Thank you so much and congrats on good numbers. My first question is on the opportunity that you talked about INR 1.1 trillion. How much of that is towards Khavda side?
Kunjal Mehta: Khavda would be in the region of, say, around INR 30,000 to 40,000 crores.

Puneet Gulati: And do you expect that entire INR 1.1 trillion to be tendered out over the next one year or do
you foresee any risk of slip pages there?
Kunjal Mehta: Yes. This is the pipeline which we have identified. I mean, this is over the next 12-15 months ,
which we think. There could be a possibility that 12 months could extend to, say, 15 months or
around that. And the key important thing is the event which we are looking is once the elections
are completed, then the state , the central governments and NCT would be more comfortable
coming out with the bids.

Puneet Gulati: Right. But from a full year perspective, if you look at 12 months from June 2024, do you think
the entire INR1.1 trillion has a fair bit of probability of being tendered out?
Kunjal Mehta: So, I would say -- you can say 12 to 15 months would be a fair estimate to complete it.
Puneet Gulati: Understood. Yes, that's all from me. Thank you so much.
Moderator: Thank you, sir. We have our next question from the line of Yunyun Bai from Barings . Please go
ahead.
Yunyun Bai: Sorry , my question has been asked. I have no more question for now. Thank you.
Moderator: Thank you. We have our next question from the line of Koundinya Nimmagadda from Jefferies .
Please go ahead.
Koundinya Nimmagadda: Yes, hi, sir. Thanks for the opportunity. S ir, my first question is on the bid pipeline, the INR1.1
lakh

crores that you spoke of. I'm assuming all of this is approved by NCT . Please correct me if
I'm wrong on that. And specific to that also on the HVDC project, if my understanding is correct,
the first HVDC project was supposed to be bided out about in September last year, and it keeps
getting pushed out every time. So, any specific reasons that you would like to highlight here on
the visibility part as well?
Kunjal Mehta: No. As I told earlier, this is, of course, delayed. Earlier it was planned to get completed in
September. It got pushed to financial year end. We were looking it to bid out by March.
Thereafter, this event of election got announced, and therefore, it has got delayed because of
these two months.
Now, there cannot be any project where bidding can start. So, we strongly expect that by around
July-August, the strong bidding pipeline will reoccur to be bid out in an aggressive manner,
especially these HVDC lines .
Koundinya Nimmagadda: And s ir, specific to the company, we all understand that last year the competitive intensity has
been a bit higher, and therefore, your market share has come off a touch. So, you did allude to
the fact that you're targeting 20% share. So, do you see any risks or any challenges in achieving
this share because your share has dropped a bit for the past year? So just trying to understand
what is your outlook on that front?
Kunjal Mehta: Outlook in the sense of winning those bids?
Koundinya Nimmagadda: Yes, winning those bids. I mean, how confident are you or do you still prefer IRRs over market
share? I mean, what is the thought process?
Kunjal Mehta: Yes, you are right. We will continue to benchmark our bidding process purely based on IRRs.
That's the key thing which we will look for in any of these bids. Unless those bids come at those
desired IRRs, we would not aggressively participate into it. But at the same time, it is very
important for us to understand is that these HVDC projects are high return assets, especially
given the nature of projects and the complexities involved, and especially t he size of these

projects. So, therefore, we are also at the same time confident of the 20% share which we have
projected on that.
Koundinya Nimmagadda: Sure, sir. So, my second question is on the smart metering business. So, of the INR 27,000 crores
capex, what is the potential top -line that you can see? And what is the outlook? I mean, how do
you think it will pan out maybe over the next two, three years, if you can give some color on
that, please?
Kunjal Mehta: This INR 27,000 crores, that is the contract value or revenue potential itself. Now, it would be
spread out over, as you know, the entire listing is spread out over a period of 10 years. The
project value is spread out over the entire 10 -year period. The capex for that would get incurred
during the next, say, 25 to 30 months or so. So, in that region, it would be spread out. And
INR27,000 crores would be recognized over the next 90 months or 9 -10 years over which the
contract would be done.
Koundinya Nimmagadda: Understood, sir. And, sir, what are the kind of IRRs you are seeing here? And, if you can throw

some color on that execution, because we understand that, you know, it's a bit manpower intensive . So, if you can speak a little bit about that front on the resource availability as well.
Kunjal Mehta: On smart meter business, the key components are, of course, the meters and then the important part is the communication and the networking infrastructure that has to be laid or to be deployed along with the infrastructure. In case of smart meter, what we have done is that we have tied up with almost all the key components in terms of the meters, in terms of the lease lines, in terms of the communication lines. We have tied up with a company called Esyasoft , which is a market leader in

the networking and the infrastructure of this whole electronic smart metering thing is concerned.
They have experience of doing this in other regions in India. We have a tie -up with them. We have a tie -up with Airtel for our communication infrastructure. We have long -term tie -ups for our cybersecurity as well as tie -up for the cloud part. So, the supply part of it has now been fully completed and fully integrated. Now, we are looking during the next 12 to 18 months, we would aggressively look to start depl oying all these meters for the contracts that we have won.
So, that's how this thing is going to pan out . Most important is that Adani Electricity or Adani Energy Solutions is the only company currently in India or the private player in India which has an experience of running a distribution company and actually installing smart meters and making those smart meters work. In our Mumbai DISCO M, we currently have around 5 lakh meters which are fully installed and operational.
And therefore, we are very confident of that same thing being getting replicated. There are very few players in the country who are doing the business of distribution and being able to deploy those smart meters at the same time . So, that same efficiency and the same knowledge that the company has, the expertise and the experience that the company has in the Mumbai DISCOM would be used for deploying these smart meters that the company has already won.

Koundinya Nimmagadda : If I may ask one last question, if you can provide some color on the current states of the parallel licensing that you are working o n, on the three circles, please?
Kunjal Mehta: Currently, we have made applications to the respective state governments for the parallel licensing, one in the Navi Mumbai region and the other is in the Gautam B uddh Nagar near Noida or near Delhi. Both are under evaluation by the respective state departments or the state governments. And then at the right time, the licensing processes would be awarded to us. So, it is still some time away before the entire process gets completed and before the license gets awarded to us. It's a long-drawn process under the Electricity Act. And so, both are under evaluation stage right now.
Koundinya Nimmagadda : Sir, if I correct me if I'm wrong, I think there's also one more under Mundra that you're looking at, can you provide us a status on that as well, please?
Kunjal Mehta: So, Mundra, we are already operating as a distribution business in the SEZ area where we are providing distribution of the power to the units which are operating in the SEZ unit. We have also applied for expanding the entire license area to cover the entire district of Mundra . The most important part in case of Mundra district is to provide most reliable and competitive power to the industrial units which are coming up in the Mundra region, so that those regions can get uninterrupted, very competitive power through Mundra.
And Mundra utility will also again follow the same model as Adani Electricity Mumbai, that is a cost-plus model, and the entire revenue would be dependent on the asset base as and when it gets increased. All the other costs would be passed through to the consumers under the tariff or under the regulatory mechanism.
Koundinya Nimmagadda : Thank you very much sir for the opportunity and patient answer. All the best.
Moderator: Thank you, sir. As there are no further questions, I would now like to hand the conference over to Mr. Kunjal Mehta for closing comments. Over to you, sir.
Kunjal Mehta : Manav, we have two questions in the question queue. Can you please take those?
Moderator: Okay, sir. We have a next question from the line of Anderson Dong from PIMCO. Please go ahead.
Anderson Dong: Hi, management. Thanks very much for the call. Can you please share the capex guidance on

a
consolidated basis for fiscal 2025 and also break it down by segments including transmission, distribution, HVDC and the smart metering . Thank you.
Kunjal Mehta: The AEML Mumbai would have a capex plan of around INR 1,500 odd crores, which is in line with what we have been doing in the last few years. Transmission based on the projects which are under operational and based on the projects which we will win, it would be in the range of around INR 5,000 odd crores. Smart meters would take additional capex requirements based on

the meters it would get deployed. But it would be fair to be that we would incur at least around INR 1,000 crores INR 2,000 odd crores in case o f smart metering. In the next financial year.

Anderson Dong: Thank you. And how about the funding plan for those projects?
Kunjal Mehta: Sure. As you know that AEML would be funded directly through its own internal accruals. There is no requirement to raise any debt in case of Mumbai. There has been no requirement to raise debt since last two years. And we do not expect any fresh borrowing in case of AEML in the next financial year. In case of transmission or even in case of smart meters, it would be a mix of debt and equity. And the equity component would be funded largely through its own surpluses that the company has been ge nerating. And the necessary debt would be availed at the right time for the transmission project.
Anderson Dong: Thank you. And last question. Can you share the progress of any equity -raising plan?
Kunjal Mehta: Any what plan?
Anderson Dong: Equity -raising at the AEML, sorry, at the Adani Energy Solutions level.
Kunjal Mehta: There are no immediate plans to do that. But as and when there could be a further requirement or fresh requirements, we want to raise our opportunities to raise our growth listing beyond what we currently have. At that point in time, the company would look to raise equity at the right time and the right sources.
Anderson Dong: Okay. Thank you. That's all from my side.
Moderator: Thank you, sir. We have a next question from the line of Shivang Chauhan from Barclays. Please go ahead.
Shivang Chauhan: Hi. You have mentioned HVDC Mumbai project would be completed in the first quarter FY ’26. So, just wanted to know if you could share how much is invested so far?
Kunjal Mehta: This project, roughly would cost us around INR 7,000 odd crores in the next 12 to 15 months. And around currently out of which around INR 1,200 crores to INR 1,500 crores has already been incurred. So, the balance would be incurred over the next 15 months or so.
Shivang Chauhan: Got it. Thank you. That's all.
Moderator: Thank you, sir. As there are no further questions, I would now like to hand the conference over to Mr. Kunjal Mehta for closing comments. Over to you, sir.
Kunjal Mehta : I would just like to thank all the participants who attended this call. And in case you have any further questions, happy to connect with you separately. You can reach out to us or to our investor relations team Vi jil. And thank you again for participation in the call.
Moderator: Thank you. On behalf of Adani Energy Solutions, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

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Gujarat, India
CIN: L40300GJ2013PLC077803

Registered Office: Adani Corporate House, Shantigram, Near Vaishno Devi Circle, S. G. Highway, Khodiyar, Ahmedabad – 382 421
31st July, 2024

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Limited
Exchange plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051

Scrip Code: 539254
Scrip Code: ADANIENSOL
Dear Sir,

Sub: Transcript of Earnings call pertaining to the Unaudited Financial Results of the Company for Q 1 FY 2 5.

In continuation to our intimation dated 25th July, 2024, please find below web link of transcript of the Earnings Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 3 0th June , 2024.

Weblink to access above transcript is as under:

https://www.adanienergysolutions.com/ -
/media/Project/Transmission/Investor/documents/Results -Conference -Call-
Transcripts/AESL -Q1FY25 -Earnings -Call-Transcript.pdf

Copy of t he said transcript is also attached herewith.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For Adani Energy Solutions Limited
(formerly known as Adani Transmission Limited)

Jaladhi Shukla
Company Secretary

Encl: As above

Call: Oct 2024

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25th October, 2024

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Limited Exchange plaza,
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400051
Scrip Code: 539254 Scrip Code: ADANIENSOL

Dear Sir,

Sub: Transcript of Earnings call pertaining to the Unaudited Financial Results of the Company for Q2FY25.

In
continuation to our intimation dated 22nd October, 2024, please find below web link of transcript of the Earnings Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September, 2024.

Weblink to access above transcript is as under:
https://www.adanienergysolutions.com/-/media/Project/Transmission/Investor/ documents/Results-Conference-Call-Transcripts/AESL_Q2FY25_Earnings-Call-Transcript.pdf

Cop
y of the said transcript is also attached herewith.

Kindly take the same on your records.

Thanking you,
Yours faithfully,
For Adani Energy Solutions Limited
Jaladhi Shukla
Company Secretary
Encl: As above

"Adani Energy Solutions Limited
Q2 FY25 Earnings Conference Call"
October 23, 202 4

Management: Mr. Kandarp Patel – CEO – AESL
Mr. Kunjal Mehta – CFO – AESL
Mr. Vijil Jain – Head IR – AESL

Moderator: Ladies and gentlemen, good day and welcome to the Adani Energy Solutions Ltd. Q2 FY25 Earnings Conference call. We have with us on the call today, Mr. Kanda rp Patel, CEO AESL,

Mr. Kunjal Mehta, CFO AESL, Mr. Anupam Misra, Head, Group Corporate Finance, and Mr. Vijil Jain, Head IR AESL.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zer o on a touchtone phone. Please note that this conference is being recorded.
I now hand th e conference over to Mr. Kandarp Patel. Thank you and over to you, sir.
Kandarp Patel: Hello, good morning and best wishes to all investors and analyst friends who have joined on the call. I hope all of you must have got an opportunity to go through the results that we have published and uploaded on our website. I think that this was a very strong performance that we reported in Q2 FY25 and in fact, all the three existing business, transmission, distribution, and smart meter are in a phase of massive growth . You must have seen those numbers.
Another business line that we are incubating is C&I, Power Solution business , I think from next quarter onwards, you will see contribution coming from that vertical as well .
During the quarter, AESL raised equity of Rs 8,300 crore through QI P and in fact, that's very helpful to AESL for fuelling this capex led growth in transmission and smart metering. In the current quarter, besides the project under execution, which is Rs 17,000 crore , we have secured four new transmission projects and with that our under -construction projects have reached to ~Rs 31,000 crore from Rs 17,000 crore .
Once th ese projects worth ~Rs 31,000 crore are completed, it will contribute to EBITDA of about ~Rs 4,200 crore . From the timeline perspective these projects worth Rs 31,000 crore capex would be commission ed in two years. You will see those assets getting commissioned in the current year , next year in FY26 , and some of them in the early part of next-to-next year which is FY27 .
In the current quarter, in fact, we did exceedingly well as far as capex deployment is concerned. We deployed capex of ~Rs 3,000 crore in the current quarter , which is 2.5 times of the capex that we deployed same quarter last year. The total capex of first half of the current year, which is Rs 4,400 crore , is 1.7 times of the capex that we deployed in the same period last year.
In our business, it is important to understand that whenever we deploy capex, we to that extent lock-in the profitability. So, as I said, if an asset is long gestation, it might reflect at a particular time. But as an investor, if you have those numbers, then you are secure that this kind of profitability or revenue has already been lo cked in.
At AESL, we closely monitor capex number on a quarter to quarter and a month -to-month basis. This capex number will also get accelerated for a simple reason that first half was also having a

monsoon. Now, we will have a clear season for next six months. And we think that we will be able to close this year with a capex of about Rs 10,000 crore at least.
Now, this will surely bring the growth in EBITDA that we projected, which will be more than 15%. As far as operational efficiency is concerned, we continue to do excellent work. We have maintained the reliability of 99.7 %, as a result, we earn Rs 35 crore of incentive. We added 140 circuit kilometers to our network and now we have reached to over 23,000 circuit kilometr es.
In the distribution, the growth in electricity sale was to the tune of 7 % and continuously with our endeavour , we have been a

ble to reduce distribution losses to 4.85 %. With all this effort on operation and project side, the financial numbers also accordingly show up the result. The operational revenue increased by 23 %, reaching to Rs 4,200. EBITDA as well increased to by 31% to Rs 1,891 crore .
Similarly, PAT also increased steep growth and reached to Rs 773 crore . Cash profit has also shown very healthy growth, and it has reached to Rs 1,026 crore . While we do this capex , but we make sure that we operate this business with a financial prudence and discipline and that's how we have also maintained net debt to EBITDA at 3.1x. Now, as far as the outlook is concerned, transmission remains the major area where we will continue to focus. India has a massive opportunity as far as transmission is concerned.
Besides, we already got four projects, but still the bidding which is going to happen in next six to seven months' time to the tune of Rs 85,000 crore . We expect that we will maintain our market share. There could be opportunity to increase the market share as well, but we will make sure that we follow the prudent investment decision s. Even if we take the current market share, then we hope to get about Rs 15,000 crore to Rs 20,000 crore worth project more in next six month's time.
The R AB in the distribution business is currently Rs 8,400 and will continue to grow as we further invest in distribution network in Mumbai. In fact, one of the projects which was supposed to commission in last -to-last quarter got delayed because of a geographical surprise. But now

that project is on a track, and we expect that to commission in the next quarter. That will add about Rs 1,000 crore of RAB into Mumbai asset base.
As far as smart meter is concerned, now we have started progressing very well. In fact, in last quarter, we deployed about 4 lakh meters at the rate of 4,200 meter per day. In October , we are deploying about 7,000 meters per day. Now we expect to significantly step up the implementation plan because now we will have that clear season without any monsoon. We expect to add about 30 to 35 lakh meter s in next six months. So, we will close year with the installation of about 40 to 42 lakh meters . These are the basic details, and I will hand over the call to give further details through the question and answer.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Hi, good morning, sir. My first question is on the transmission. Can you help us with the transmission capex, which you will do for next three years based on the current pipeline? Is it possible to talk about the expected EBITDA of the locked -in portfolio?
Kandarp Patel: Mohit, as I said, the under -construction project of ~Rs 31,000 crore , which is already secured. The timeline of all these projects is about two years, so 24 months. We also expect to add another Rs 15,000 crore at least to this kitty, so it will reach to about Rs 45,000 crore of project under implementation.
With that, we will have EBITDA more than Rs 5,500 crore . With this Rs 32,000 crore project under construction, it will contribute about Rs 4,200 crore . Another Rs 15,000 projects will contribute about Rs 1,600 crore to Rs 1,700 crore of EBITDA. This will take place over 24 months and the new project that we will get will be in 30 months from now, so that is the outer limits.
Mohit Kumar: Understood, sir. And given the fact that there is a huge bidding opportunity, I think the first half has been great and I think you have won your fair share, but also , the second half is likely to be again a very massive opportunity. Can you just explain us the transmission bidding opportunity and the pipeline that you are looking for the next 18 to

24 months?
Kandarp Patel: So, Mohit, we have a clarity as far as the next six m onths is concerned. So, those projects are already identified for bidding, approved for bidding, and the process has reached to a certain level. So, in the next six months, Mohit, we expect to witness a bidding of about Rs 85,000 crore capex of transmission project.
In fact, this also includes two HVDC projects which were supposed to get bidded in last quarter, but it has spilled over and now it will go under the bidding. On a long er-term horizon, one to one and a half years period , there will be another at least Rs 1 lakh crore of capex that will come under the bidding.
Mohit Kumar: Understood. There were two HVDC bids, right? The first one I think already happened. The second one, can it happen in the second half, or do you think maybe it will spill over to F Y26?
Kandarp Patel: Yes, so certainly it will happen in the second half and another Rajasthan HVDC, which got rebidded, is likely to happen very soon.
Mohit Kumar: You are expecting apart from one Khavda , which already happened, expecting another two HVDC bids, right? Am I correct?
Kandarp Patel: Correct. One of Rajasthan and one of Khavda.
Mohit Kumar: Understood, sir. On the second, on this smart meter, of course, you spoke about 30 lakhs -35 lakhs in the next six months. You are trying to reach 42 lakhs by end of F Y25. How do you think about F Y26 and F Y27, given the progress on all these areas? Is there some number which you think you can guide us?
Kandarp Patel: Mohit, come again, sorry. Number for the next year?

Mohit Kumar: For the next year, F Y26 numbers and F Y27 numbers, given your portfolio.
Kandarp Patel: So, Mohit, what we have got right now is about 2. 3 crore meters. We will complete about 45 lakh meters in the current year. But now all those issues that we had, in fact, when you start implementation, there are a lot of integration issues and there are a lot of coordination which is required to be done with a distribution, because you are getting into thei r operations .
So, their processes also need to be aligned, and your processes are also needed to align with the distribution company's processes. Every distribution company has a different process for billing and meter installation and recollection. So, we have gone through that entire phase, entire

integration is done.
Everything is working stable and now we only have to go and deploy meter on the ground. In the current month, we had seen it ramping up to 10,000 meters a day also from 4,000 meters per day, which was there in the last quarter. With that kind of work that we have done on the ground, at least we will be able to add about 1 crore meter next year and balance one in the subsequent year. And meanwhile, we will also add further meter s as and when opportunity comes in. So about 10 crore bidding opportunities yet to come for the bidding.
Mohit Kumar: A couple of bids are out there, right? Tamil Nadu is one large one, which I think is supposed to get bid out last year. It is still to be closed. Am I right in that?
Kandarp Patel: Yes. So, Tamil Nadu, we expect that it should get closed in a couple of months' time.
Mohit Kumar: Understood. So, my last question is on the C&I. Of course, you did touch on the topic, but we are trying to figure out what your target is, what is the business model, what is the revenues model? Can you just please help us with basic ?
Kandarp Patel: Yes. So, Mohit, this is a very exciting thing, especially personally for me, because I started my career with a power trading job. That's my first love, in fact, this is what C&I business will be .
See, what we have done and what we have realized is that now with a growing economic activity in the country, there are many customers who have a distinct requirement,

which conventional
distribution companies are not able to meet.
Like, if you take a case of data centres , they will want a certain level of reliability. At the same time, they would want a certain percentage of green penetration. Further, they would also want a power supply to commence an d infrastructure to get ready in a particular timeframe, because then they will also have a similar back -to-back contract with other players.
Now, this offers a huge opportunity because we have a presence in generation, renewable generation, transmission, as well as distribution. As a distribution or retail arm, we will be able to leverage our renewable capacity that we are creating in the group. To fit this concept, we started in -house.
So, last year, we commenced this kind of activity for cement business, port business and Willmar business. In fact, today, we are managing power supply for about 100 establishments of these

three businesses across the country. And having tested us, now we have started getting into contracts with the third party.
In fact, currently, we already have a contract about 20 megawatts. We are into active discussion for contracts of about 250 megawatts. By the year -end, we will be able to close, or we'll have a volume of about 5,000 million units. And that will contribute on an annualized basis of about Rs 150 crore of EBITDA.
Going forward, and this I'm talking without any major contract with the data center player . We are actively in discussion with Google s and Microsoft s of the world . We hope that we'll be able to finalize contracts with them very, very soon.
This is going to be a very exciting business; you will see a lot of action happening in this side in next and next quarter. And largely, you will see a lot of activity in next financial year.
Moderator: The next question is from Brett Knoblauch from Cantor Fitzgerald . Please go ahead.
Brett Knoblauch: First on the smart metering deployment, how difficult is it to ramp up from 4,000 meters a day now, approaching 10,000 meters a day. What is the biggest bottleneck , why you're not doing more on a daily basis? Is it labor? Is it inventory of the meters itself? Maybe just help explain that a bit.
Kandarp Patel: See, today, so far, we were constrained by two, three factors. Obviously, one, we have multiple geograph ies. So, we have a contract with Assam, Andhra, Bihar, Maharashtra and Uttarakhand, and BEST, a distribution company in Mumbai. When you start deploying meters in any geography, first, you have to get those integration done with a distribution company . That takes some time.
What we did, we started with one-by-one distribution company. We f irst started with Assam, followed by Bihar, Maharashtra, Andhra Pradesh, and Uttarakhand , so as we were starting geography one by one, the total rate of deployment was less. There were also the issues around getting a good labo ur.
Now, having integrated with all the distribution compan ies and having arranged all those contractors and skilled labour . We have undertaken a massive training program, and we trained about 10,000 people as far as metering is concerned, and that is helping us now. So, with this kind of preparation, we feel that we will be able to significantly ramp up the rate. We have already reached upto 10,000 meters per day from 4,000 meters per day and expect to take it up to 16,000 meters per day to 20,000 meters per day . So, we will operate between 16 ,000 to 20,000 meters a day from next quarter onwards.

Brett Knoblauch: Thank you , that is super helpful. And then on the capex guidance, I think you said somewhere around Rs 10,000 crore for the year, which implies, I guess, just over Rs 6,500 for the rest of the year. Can you just maybe break down how much of that is going to be between the three business segments of transmissio

n, distribution, and smart metering? And should we expect relative to the first half, smart metering, to have a significant growth?

Kandarp Patel: Out of this Rs 10,000 crore , the distribution would be around Rs 1,600 crore to Rs 1,700 crore , smart metering around Rs 3,000 crore , and the rest will be from the transmission side. The biggest advantage as AESL is that eventually AESL's profitability is largely defined by the capex . Now, since we operate in three segments, even if there is some slippage in capex in other business vertical, we have an option and opportunity of pushing the capex in another vertical of the business. In fact, which makes AESL distinct from all other players in the market.
Brett Knoblauch: I agree. And then maybe just one more. You guys talked about how EBITDA has grown at CAGR of 9% over the last four years. It was 15% on a trail twelve -month basis as of the end of the second quarter. Can you just maybe big picture , talk about where you expect EBITDA growth to go from here? Should we expect to call it that 15% rate to accelerate or maybe just provide some framework for us?
Kandarp Patel: Certainly, it will be over 15%. Now, if you see the project under execution, including the smart meter, will get concluded in the next couple of years. So, that itself is Rs 50,000 crore of capex. Therefore, the growth is going to correspond to that kind of capex, which it will be in excess of 20%.
Brett Knoblauch: Perfect. Thank you very much. Very efficient time.
Moderator: Thank you. The next question is from Dhruv Muchhal from HDFC Asset Management. Please go ahead.
Dhruv Muchhal: Yes, thank you so much. So, the first question is on the C &I business. So, under this business, can you target only the ISTS -connected customers, or you can even approach the DISCOM - connected customers ? I mean, just trying to understand what's the landscape that you can address.
Kandarp Patel: Dhruv, we can target both ISTS as well as interstate consumers . You must have noticed that open access regulation, which has come for this green energy, the earlier restriction of allowing open access for a consumer up to one megawatt has also been diluted for green energy. In fact, all the customers in the country can become a target for you.
Dhruv Muchhal: All right. And what is the economic model here? You do a back -to-back with a generator, say, for example, any green developer, you have an allotted group and a similar contract with the customer, and you earn the spread on it. So, how does the economic model work?
Kandarp Patel: What we do is we assume a responsibility end -to-end and up to the delivery of power as well as maintaining those connected assets so that the reliability is ensured. So, even last mile connectivity if we need to invest, we invest and maintain that part. From a sourcing side, we will have a bunch of assets that we will secure.
One of the biggest advantages that you can create is also from the diversity and aggregation of demand and supply. Now, if you have a one side number of assets supplying power to you and on the other side, you have a number of customers, then you will also be able to create a lot of

advantage because of diversity in demand and also in generation and also from an aggregation side.
Dhruv Muchhal: All right. Perfect. That is helpful, sir. And so, the second question is on the transmission, the outlook and bidding. So, if one looks at the overall landscape, it seems one of the larger players in the system has got a very reasonable order book now because he has got a larger share in the bids in the past. So, one of the concerns with transmission sector earlier was that the IRR because of lack of bidding and number of players. But given the changing landsc

ape, do you think IRR would be better in future bids than some of the recent bids or still the intensity is very high?
Kandarp Patel: You must have seen the IRRs have increased in the recent bids. The level of aggression certainly has reduced. We expect that if not, it will further allow us to increase IRR, but at least we do not see any condition where there will be a lot of aggressive bidding forcing you to reduce your IRR.
I do not see that is happening because already Rs 85,000 crore notified for bidding and another

Rs 1 lakh crore will come in next year. So, there is a huge pipeline available for all the players.
Dhruv Muchhal : And sir lastly is that when we look at the execution time period which the system is allowing is about 24 months. I think now it is about 24 months which still seems a bit tight given the overall execution cycle that we have seen historically. So, when you bid for projects, do you consider that there could be a delay of 6-9 months. A s we have seen some of your projects and peers also, that typically execution happens in 2.5 years or 3 years. So, do you consider that when you're looking for bids or when you're bidding for these IRRs or how is th e framework that you think, or 24 months is you think is executable?
Kandarp Patel: We make a detailed analysis before we take a call. Whenever we are sure both in terms of supply and execution that we'll be able to complete in the time then only we load it. If there is a possibility of any delay, we certainly factor th ose kinds of costs in our model, and that is how we feel that we don't usually get into those kinds of a situation because we do a lot of preparative work before we bid and even before we go on the ground for execution.
Dhruv Muchhal : Great sir. Thank you so much. This was helpful and all the best.
Moderator: Thank you. The next question is from Bharat Shah from ASK Investment Managers. Please go ahead.
Bharat Shah: Yes, I lost out on the call in between p lus I couldn't fully comprehend your a nswer to the previous question, b ut on Smart Meter, I wanted to understand what are the constraints on the rollout because 4,000 smart meters or 10,000 smart meters still sounds very modest and very inconsequential ki nd of a rollout of smart meters?
Kandarp Patel: Bharat , what I was replying to the earlier question is that we had about six different geographies. We started to implement in different geography one by one. And when you start deploying meter in particular geography, you have to integrate with the distribution system, and you also have to integrate and demonstrate your entire smart meter architect and platform to the distribution company.

Once they approve, then you start deploying on the ground with full resources. Now, as we were starting geography one by one, therefore the implementation rate was lower and there were also issues around manpower availability. So, both the issues now we ha ve sorted. We have started implementing and integrated with all the six distribution companies. And now having sought out that contractor and manpower issues as well from 4,000 to 10,000, we have reached in a one - month period. And we hope to take it to 15, 000 plus and we will continue to operate at that level.
Bharat Shah: But if you roll out 15,000 also a day that will take you at max to about 5 million for the next year. That would sound a very small number to my mind unless I miss something. I thought you earlier mentioned that you expect to roll out about 1 crore meter next year. If I heard it correctly, that's what I understood.
Kandarp Patel: So, Bharat , I am talking about the current geography. If I add geography, then those numbers will get added.
Bharat Shah: Okay. So, how many smart meters did we roll out last quarter? How much do we expect in the...
Kandarp Patel: So, last quarter,

Bharat we rolled out 3.6 lakh meters. We have reached a total of 6.73 lakh meters and in the current year the balance six months we plan to add another 30 to 35 lakh meters.
Bharat Shah: So, that means we will reach about 4 0 lakh meters by the end of the second half?
Kandarp Patel: Yes 40 to 45 lakh meters . Bharat , why we are confident is because now that season is good. So, in fact, we also face quite a good amount of constra int because of extended monsoon, b ut now that season is over, so we expect that our deployment rate will continue, and it will improve significantly.
Bharat Shah: So, out of the awarded contract so far, how much do we expect to roll out next year?
Kandarp Patel: Next year, it would be around 70 lakh meters out of our awarded contract.
Bharat Shah: And you expect to add another 30 lakhs from the new contracts that you may hope to win?
Kandarp Patel: Correct. And this, again, I am giving a c onservative number, Bharat. We will certainly try and push those numbers at a higher level as well.
Bharat Shah: And are we facing any on -ground resistance of any kind, either from customers or others, in terms of these rollout?
Kandarp Patel: There is resistance, not mainly from a customer, but all those m otivated factors on the ground, but that's a part of business. We have to deal with that and find your way in implementing it.
Bharat Shah: So, that's not the key reason there is a delay ?
Kandarp Patel: No. It affected us to a certai n extent to begin with, b ut now I don't see that's the reason which is going to stop us.

Bharat Shah: The economics of the smart meter that we had originally understood, roughly about Rs 12,000 odd revenue . About Rs 1,000 comes from the government as an upfront subsidy. So, balance about Rs 10,000 to Rs 11,000 is wh at you earn over a period of 7.5 years rollout per meter is revenue, about 85% of which is the operating profit in the business. So , that economics remains?
Kandarp Patel: It remains unchanged Bharat just one caveat, the subsidy that comes from government is not Rs 1,000, it is Rs 900.
Bharat Shah: Okay. No, I said ballpark numbers. I was just rounding off and making broad numbers. Also, there were tax reversal in the current quarter. I could not fully figure that out. So, net -net, there has been actually tax credit in the first half of the year. In the second half of the year, what is the expected t ax liability we need to provide, or we should count?
Kunjal Mehta : So, this quarter itself we had just one -time reversal of the MAT credit which AEML distribution business was accounted. Other than that, there is no t any expected reversals in the future years. We are expecting an effective tax of arou nd 20 percentage which will continue as a third half.
Bharat Shah: So, for the second half of the current year, we should count 20% as the effective tax rate, right?
Kunjal Mehta : Correct.
Bharat Shah: Separately for second half, I'm not talking of mixing with the first half. For the second half, it will be 20%.
Kunjal Mehta : Correct.
Bharat Shah: And that is expected to stay the course going ahead?
Kunjal Mehta : Yes.
Bharat Shah: Okay. One last question on Microsoft and Google transactions. I thought one of the transact ions already happened and is in the bag. Something to that effect, I read the announcements in the papers. Maybe I'm mistaken, if you can highlight on that.
Kandarp Patel: You are right, Bharat. There was an announcement that was for Google contract where they had a long -term power purchase contract with Adani Green for their part requirement of existing data center or the data center which is under construction at Noida. What I am talking is beyond that, that is only a power supply PPA between A GEL and Google.
Now, although and that is only meeting a part requirement. T

hese data centre companies wanted someone to manage their entire power supply management because they don't have that kind of knowledge or expertise of managing this complex regulatory system as well as managing supply on the round the clock basis.
So, that is where we see an opportunity. We are discussing with Google, Microsoft, and other players where they wanted us to design an energy solution for them which will define the extent

of green energy that we will supply the kind of reliability and timeline. So, these two are very distinct ones.
Bharat Shah: And broadly , as I understood for stitching t ogether the entire solution, which is arranging power mix, ensuring safe, reliable supply arrangement remaining by stitching together that solution with the various sources, you can hope to make about Rs 1 to 1.5 of fees per unit?
Kandarp Patel: It will not only be a stitching, but sometimes you might also have to invest like last mile connectivity with one of the players that wanted a power solution. We are also investing for them in last mile connectivity and a small transmission line is to be created. It will mostly a stitching, but you might also require investing somewhere to make sure that whatever agreed deliverable that you have signed off, that is delivered.
As far as margins are concerned, obviously it would depend on a lot many factors, including terms and condition and risk profile of that particular contract. And that could range right from Rs 1 to depending on the risk profile of the contract, if the only solutioning or services to be provided like we do for our group companies where they carry all the risk, those margins are around Rs 10 paisa.
Bharat Shah: I see. And these arrangements potentially can run into not hundreds of crores of units, but actually thousands of crore of units to be supplied in a year potentially, isn't it?
Kandarp Patel: Yes, correct. So, what we are targeting is about 7,000 million to 10,000 million units in a couple of years.
Bharat Shah: 700 to 1000 crore units in a couple of years?
Kandarp Patel: Yes, 700 to 1 ,000 crore units.
Bharat Shah: Okay perfect. T hank you so much.
Kandarp Patel: Thank you, Bharat.
Moderator: Thank you. Next question is from Ajay Sharma from Maybank. Please go ahead.

Ajay Sharma: Hi, I just want to check, what is the IRR you are getting on the new transmission projects you just won?
Kandarp Patel: Around 15 %.
Ajay Sharma: Okay. And what is the increase in the regulated base for the distribution business which you are targeting every year?
Kandarp Patel: We do capex of about Rs 1,700 crore to Rs 1,800 crore and minus depreciation Rs 600 to Rs 700. So, around Rs 800 to Rs 1,000 crore addition of RAB every year.
Ajay Sharma: And what is the current regulated base?

Kandarp Patel: It is Rs 8,405 crore .
Ajay Sharma: Okay. So, about 12% to 13% % kind of growth every year, is it?
Kandarp Patel: Correct. See and why we have been able to add capex in Mumbai distribution company because there you not only add capex in distribution, but you also add capex in transmission. And we see a lot of capex coming from transmission side within Mumbai because as demand is increasing in Mumbai, there is an urgent need to augment transmission capacity within Mumbai. In fact, one of the projects that I mentioned in the call earlier, which got delayed because of one geological surprise that project itself is about Rs 1,000 crore .
Ajay Sharma: All right. Okay. And lastly, just a small housekeeping question. If I look at your balance sheet, if I look at the plant and equipment and right of use assets and capital work in progress, I mean the difference between the September numbers and the March number is more like Rs 1,500 crore . So,

I mean, where is your capex you said is more like Rs 4,000 crore . I mean, why is there a difference? Did you get rid of some equipment or what?
Anupam Misra : The capex i s of Dahanu power plant.
Kunjal Mehta : Correct. So, one is on account of 2300 o n account of Dahanu power plant p lus there is certain recognition of the capex is also done under service concession accounting for the smart meter part. So, combination of that, if you add that you will get to Rs 4,400 odd crore of capex incurred during the year, b ut most important reason is Rs 2,300 of the asset which was c arved out for the Dahanu power plant.
Anupam Misra : Let me just outline that. The Dahanu power plant is a 500-megawatt coal-based thermal power plant which is housed under the Adani Electricity Mumbai Limited. For ESG considerations, we've decided that the board of AEML decided and AESL, in fact, ran a process and based on that it has been carved out. So, based on that AEML or AESL today does not own any coal - based generating power plant. So, and it's a book entry of Rs 2,300 crore of book asset here.
Ajay Sharma: And the service concession for the smart meter, is that part of another non-current asset? Where does that sit in?
Kunjal Mehta : Other financial assets.
Ajay Sharma: Other financial assets. Okay. Thank you.
Kunjal Mehta : So, if you look at the cash flow, the cash flow will show a capex of Rs 3,900 odd crore and the balance forms part of the service concession accounting on other financial assets.
Ajay Sharma: Yes, got it. Thank you very much.
Moderator: Thank you. The next question is from Pavitra Sudhindran from Apollo. Please go ahead.

Pavitra Sudhindran: Thanks for the call. Can you give us some information on this SEBI show -cause notice that you got this quarter ? What is the percentage shareholding that is alleged not to be public and what are the next steps here and possible outcomes?
Anupam Misra : So, Pavitra, that is a show cause notice that has been sent by SEBI to the shareholders as well as to AESL and AESL has made a disclosure to that effect. In due course, we will be responding to that. There is nothing additional to that, that we want to disclose at this stage. At this stage, I also have to clarify that it has nothing to do with the company per se. It is because it is the company whi ch is listed and hence the show -cause notice has been sent to it, b ut it is more pertaining to th e shareholders rather than the company.
Pavitra Sudhindran: Got it. Thanks.
Moderator: Thank you. The next question is from Bhavik Bhavsar from Investec. Please go ahead.
Bhavik Bhavsar: Yes, I just wanted to confirm the current regulated equity for transaction and distribution business and how is it expected to grow?
Anupam Misra : See the transmission business has two parts to it. One is Section 62 assets and second is Section 63 assets. The Section 62 assets are the ones which have a regulated equity. The Section 63

assets are where we bid out the tariff number and once, we have completed the project, we
receive the tariff on a monthly basis based on the bid-out schedule.
So, we would not have a regulated equity number for the transmission business overall.
Whatever we do on the Section 62 side, that number is there and that I think the team can
separately provide to you.
Kandarp Patel: Anupam, just to add what you said in AESL where we have transmission business, there are a few initial projects which was on a cost -plus basis where there is a regulated equity. So, because
we do not add any regulated RTM project. So, there could be a few RTM projects like currently
whatever is the regulated equity in transmission which is about Rs 3,400 crore and when we
commission that HVDC transmission in Mumbai about Rs 2,000 crore of regulated equity will
get added.
As far as AEML is con

cerned, the regulated equity is about Rs 5,000 crore and as we do a capex
of about, Rs 1,700 to Rs 1,800 crore every year , we will continue to add about Rs 500 crore of
regulated equity into it.
Bhavik Bhavsar: Perfect. Thank you.
Moderator: Thank you. Next question is from Sagar Parekh from One Up Financial Consultants. Please go ahead.
Sagar Parekh: Yes. Hi. Thanks for taking my question. On this smart meter project, you mentioned about 35 lakhs meters installation in second half . So, assuming Rs 900 you get, so does that mean like in
terms of revenue, you will be about Rs 350 crore , Rs 400 crore revenue for H2 from smart meters
or the revenue accrues much later? How do we account for smart metering revenues?

Kandarp Patel: That Rs 900 will accrue with a time lag of about 2 months to 2.5 months. So, once we deploy then we have to go and demonstrate to distribution company that deployed meters are working.
Once that is done, then billing starts and then that amount is paid. There is a lag of 2 months to
2.5 months.
Sagar Parekh: So, next financial year is when we can see the entire like 40 to 45 lakh meters?
Kandarp Patel: Correct. But a part of it certainly will come into the current year as well.
Sagar Parekh: And the remaining Rs 9,000 or Rs 10,000 , I mean, does it mean that from FY26 onwards only this Rs 1,000 e very year will come through?
Kandarp Patel: No. So, the first year, one -tenth we will receive plus Rs 900.
Sagar Parekh: Okay. And how would the margin shape up in this business?
Kunjal Mehta : The smart meters have a margin of around 80 % to 85%. In the initial years because of the initial ramp up, the margins may come down to around 75% , but overall, the project would have an
85% margin.
Sagar Parekh: Got it. And on your C &I business did I hear it correctly, y ou said that your margins would range from Rs 10 paise to Rs 1 something like that.
Kandarp Patel: Correct. So, depending on the nature of the contract, if it's only a service contract then would be in a simple back -to-back contract then it could be around Rs 10 paise , but if it is a complex
contract, a lot of stitching t o be done and position is to be taken, then obviously those margins
will be in a higher range.
Sagar Parekh: And you mentioned some 500 crore units you are expecting by year -end with Rs 150 crore EBITDA. So, like 500 crore units would translate into broadly about Rs 200 crore to Rs 250
crore kind of revenue number, because I'm assuming about 50 paise as the overall .
Kandarp Patel: Currently the majority of contract is only a service contract. Now, we have started getting into the contract where we do stitch , a lot of stitching, end -to-end solution and taking a position in
the contract.
Sagar Parekh: So, if it's a service contract, then it would be broadly Rs 10 pais a. So, for 500 crore units that we were looking to close, then it will be about Rs 50 crore revenue.
Kandarp Patel: So, there are a mix of it. So, a few contracts are those contracts as well where we are taking a position.
Sagar Parekh: And the entire revenue would be EBITDA level? Is there some cost involved over here?
Kandarp Patel: Very miniscule. So, roughly the EBITDA would be 98 %.
Sagar Parekh: And how much are we looking to invest? You said that we would be investing in last mile connectivity also here, in case if it's like a complex contract.

Kandarp Patel: I do not have that readymade number. It will depend on contract to contract and where the

consumer's facilities are located, how far it is and how complex that facility will be to connect.
So, depending on that location.
Sagar Parekh: Cash profile or return m etrics that we look at when we bid for these projects. So, let's say if we are inv

esting Rs 100 crore , we get something back. So, from that perspective, any sort of number?
Kandarp Patel: We will look for more than 15% whenever we do capex.
Sagar Parekh: 15%. Okay. That's it from my side. Thank you.
Moderator: Thank you. N ext question is from Shreyans Daga from Barclays. Please go ahead.
Shreyans Daga: Yes, hi. Thank you for the opportunity. I have one question. So, on the Mumbai HVDC line, can you give us any update as to the timelines and expected capex remaining on that?
Kandarp Patel: Expected capex is about Rs 7000 cores . And the project is progressing very well. And we will be able to commission within timeline, which is August 25.
Shreyans Daga: Okay, thanks. And I have just one question on AEM L. So, you mentioned I think last September you will be able to liquidate about Rs 15 billion of regulatory receivables. So, is that going in line, or you expect to continue that beyond FY25 or FY26?
Kandarp Patel: No, it is going online. In fact, we are liquidating more than what we have committed.
Shreyans Daga: Okay. And just a small question. So, for the annual capex guidance of AEML .
Kandarp Patel: Yes. The annual capex of AEML would be around Rs 1,700 to Rs 1,800 crore .
Shreyans Daga: And can you give a breakdown of on what projects that would go in and all that?
Kandarp Patel: It will be in a mix of transmission and distribution and within distribution there could be n number of projects, starting from your network augmentation, creating new substation, putting up a smart meter , putting up a storage facility. Usually, the process is that wherever we wanted to do a capex , we have to go to MERC with a DPR. We go to MERC, justify why we are doing it, wha t is the advantage of that capex . Once they approve, then we do that capex .
Shreyans Daga: Okay, perfect. That's it for me. Thanks.
Moderator: Thank you. Next question is from Angel from Prudence. Please go ahead.
Angel: Okay. I wanted to ask firstly on the show c ause notice again, I think it was asked, but I understand there's two things. There was a peer review certificate that also I believe was in the first quarter earnings as well, as well as this new one regarding shareholding. So, is there any other color that you can provide on this, especially also for the peer review certificate on e like what steps have you taken or what steps would you do together with the new show cause notice moving forward

to resolve it at any timeline that you can give to provide for this to be resolved? What typically are the steps that you need to tak e to resolve a typical show -cause notice?
Kunjal Mehta : The show cause notice was with respect to the peer review certificate which the statutory auditors in 2015 -16 had to provide, which they have subsequently provided and now there is a complete peer review available for our existing auditors. That matter, which was there regarding peer review of the show cost notice stands res olved.
Angel: Okay . So, that's resolved. Then for the new one of the shareholdings , so is there any rough timeline that you guide for that to when would that be resolved and what steps do you have to take to actually resolve that?
Kunjal Mehta : So, that I think Anupam mentioned is that we are in the process of filing the new response to SEBI and we'll come up with the necessary disclosures in due course of time.
Angel: Okay. I understand. My next question is relating to again your transmission growth plans are quite large. And then the question is, what kind of funding options do you have to actually fund this next leg of growth over the next, the near to medium term, so over the next couple of years? How do you weigh your various options across like onshore, offshore b anks, dollar bonds, US EPAs, et c?
Kunjal Mehta : Post this equity raise we are currently fully fun

ded and for our debt financing, we continue to have various options which as you mentioned it could be bank financing, it could be dollar bonds and it could be domestic bonds, which can be evaluated at that point in time. Current ly, because of the QIP that we raised and the projects which are currently under construction, both are fully tied up as far as the debt funding is concerned.
Angel: Okay, so the QIP ra ise wouldn't change your assumptions of like that equity mix funding for a new project like you wouldn't therefore put in more equity now that we have more equity?
Kunjal Mehta : That would be funded through a project of, I mean, project debt of around 70 % to 30 %, that would continue as it is.
Angel: Okay understand. And last thing is on, the existing bond coming in August 2026, I understand it's still quite some time away, but is there any early thoughts on how to deal with that? And

internally or like externally rating agencies, is there any requirement by a certain timeline, is it 6 months ahead or one year ahead that you have to kind of form a plan for that refinancing?

Kunjal Mehta : The maturity is still some time away. And at the right time, we will approach the market to refinance that debt.

Angel: Okay. And lastly for AEML I do not see your second quarter financials out yet. So, can you remind me or let me know what is the regulatory deferral account asset as of September 2024?

Kunjal Mehta : So, the regulatory deferral account which was there of Rs 1,600 crore is in the course of complete liquidation. Currently, we have the out of the Rs 1,600 crore only around Rs 900 crore which is

left by the end of September. And by the end of March, as per the MERC order that amount would get fully liquidated through the tariff itself .

Angel: I understand. So, about Rs 700 crore was done over the last 6 months. So that is cash received?

Kunjal Mehta : Correct.

Angel: Additional cash flow. And what will the use of this cash be for?

Kunjal Mehta : That will be used under the normal business use as per the waterfall of that facility.

Moderator: Thank you very much. Due to paucity of time, we'll have to take that as the last question. I would now like to hand the conference back to Mr . Kunjal Mehta for closing comments.

Kunjal Mehta : We thank all the investors for the active participation during the call and we look forward to any other questions that you may have. You can reach out to us or to Vi jil for any other clarifications. Thanks for coming up and taking this call.

Moderator: Thank you very much. On behalf of Adani Energy Solutions Limited, that concludes the conference. Thank you for j oining us, ladies and gentlemen. You may now disconnect your lines.

Call: Jan 2025

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28th January , 202 5

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SE Limited National Stock Exchange of India Limited
P J Towers, Exchange plaza,
Dalal Street, Bandra -Kurla Complex,
Mumbai – 400 001 Bandra (E), Mumbai – 400051

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Sub
: Transcript of Earnings call pertaining to the Unaudited Financial Results
of the Company for Q 3FY25.

In
continuation to our intimation dated 23rd January, 202 5, please find below
web link of transcript of the Earnings Call on Unaudited Financial Results
(Standalone and Consolidated) of the Company for the quarter and nine months
ended 31st December , 2024
. Weblink to access above transcript is as under:
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ttps://www.adanienergysolutions.com/ -
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Transcripts/AESL_Q3FY25_Earnings-Call-Transcript_v1.pdf

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opy of the said transcript is also attached herewith.

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Tha
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You
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For Adani Energy Solutions Limited

J
aladhi Shukla
Company Secretary

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ncl: As above

“Adani Energy Solutions Limited
Q3 FY25 Earnings Conference Call”
January 24, 202 5

Management: Mr. Kandarp Patel – CEO – AESL
Mr. Kunjal Mehta – CFO – AESL

Mr. Vijil Jain – Head IR – AESL

Moderator: Ladies and gentlemen, good day and welcome to the Adani Energy Solutions Limited Q3 FY25 Investor Update Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch -tone telephone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Kandar p Patel, Chief Executive Officer of Adani Energy Solutions Limited. Thank you and over to you, sir.
Kandarp Patel: Hi, good morning all investor friends and analysts and also wish you a very happy new year. So, we have released this Q3 result material through Stock Exchange and also updated our website. So, I am sure all of you must have got an opportunity to look at it.
You must have noticed that AESL has continued th e growth momentum in Q3 on all parameters, be it on financial, operating or deployment or implementation parameters. We have reported strong number s in terms of revenue , EBITDA, PAT and capex deployment at our various projects.
During this quarter, AESL has won one of the largest projects in its operating history that is HVDC in B hadla-Fatehpur transmission project of Rs 25,000 crore s capex . Besides that, we have also secured Khavda Phase IV Part -D which is Pune -Boisar project .
With all five projects that we have secured in current year, our capex pipeline for transmission business has reached to almost Rs 55,000 crore s from Rs 17,000 crore s level s.
While we continue to secure the project of large amounts, we have also performed very well in terms of deployment of capex on the ground. In Q3, the capex of the transmission business was about Rs 3,000 crore s, which is almost three times of capex that we deployed last year in the same period. For the 9-month period in the current year, the capex deployed so far is Rs 7,500 crore s, which was almost double than what we did in the last year . Our focus now obviously will be on efficient capex deployment. So, all the projects that we are undertaking right now, we aim to complete th em within s tipulated time and cost.
In the current fiscal year, we will commission another three projects Sangod , Khavda Phase IV Part-A and KPS augmentation at AESL level and at AEML , we will commission another transmission project of 220 kilovolt (kV) at BKC . These 4 projects combine d will be about capex of Rs 3,100 crore s that will get capitalized and start contributing revenue of Rs 375 crore s on an annual basis.
Similarly, on the smart meter side, our deployment has gained a significant momentum. We have deploy ed 18 lakh meters t ill date. By the year -end, we aim to reach 40 lakh meters and for the next year we are target ing 70 lakh meters. All the things are in place, the teams are in place. Most of the on -ground issues are sorted and we are confident that we will achieve this. In fact, we aim to surpass the targets, but this is the minimum that we will do on the ground .

On the operational front , we have done an excellent job. We have ach ieved the sys tem availability of 99.7% , which has contributed to about Rs 33 crore s of incentive income during the quarter and the incentive income for the 9 months is about Rs 100 crore s. We have added 225 circuit kilometres during the quarter and ended with a total transmission network of 25,778 circuit kilometres .
In the distribution segment , we continue to perform very well. Our sales have increased by 3% but the significant achievement lies in our T&D losses , which have reduced to 4.66% levels, and we aim to continue to maintain this trajectory. Even in a distribution n

etwork, we have achieved
supply reliability of over 99.9%.
On the financial performance , you must have seen those details. Revenue has increased by 15%. The total income stands at Rs 6,000 crore s with a growth of 24%. Operational EBITDA of Rs 1,579 crore s is 9% higher as compared to the last period. Similarly, EBITDA has grown by 6% to Rs 1,831 crores . PAT has reporte d significant year-on-year growth of 80% to Rs 625 crore s for the quarter .
You must have seen that the most important thing that we have achieved so far is we have locked -in growth of three times of existing growth . Now, the focus of the organization will be on implementation. Despite that, we will continue to participate in the bidding opportunities. There

is about Rs 60,000 crore s bidding that we expect to happen in the next 1-year period.
While we participate in the bidding, we will be mindful that we will secure projects only to the extent that our ratios and ratings are not diluted, and our returns are not compromised. So, we will be very selective in taking the projects. With these thresholds, we expect that we will be able to continue to maintain our market share of around 20%.
So, with these detail s, I think we will dwell more during the question -and-answer session. Over to you for further proceedings.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good morning, sir, and thanks for taking my question. Sir, first question is on the financial numbers. Can you please help us with the large negative movement in deferred regulatory in this quarter in P&L and the nature of it?
Kunjal Mehta: Sorry, Mohit , large negative?
Mohit Kumar: Large negative m ovement in the deferred regulatory line item in the P&L where there is a negative of Rs 465 crores, if I am not wrong.
Kunjal Mehta: Correct. So, Mohit, that is only on account of the regulatory surplus that the distribution business has reported. What has happened is that the MERC has now allowed FAC recovery to be done along with the tariff recovery and because of which there is a reg ulatory surplus.

Till now, we would have a regulatory gap in our account, but because of this FAC recovery, which the regulator has allowed, we are now having a surplus in our balance sheet or in our income statement, which is just a timing difference, which has back to be returned over the next quarter or over the next tariff period. So, it is just a timing part on the regulatory surplus part.
Kandarp Patel: Just to add what Kunjal said, this negative number is not a negative, it is the surplus revenue over and above the cost of supply that we have recovered from the customer. When the next tariff setting happens, this surplus will get adjusted from ARR. Thereby , our tariff will be lower than our cost in the next tariff period and obviously that will help us in improving our competitiveness among the competitors in Mumbai distribution.
Mohit Kumar: Understood, sir. My second question is what is the status of Mumbai HVDC project? Are we expecting it to commission in the Q4 or it will be a most likely a spread -out phenomenon in FY26? And my second question, again on the second HVDC line, which is won, what is the progress when we expect the awarding to be done to the equipment providers and what is the timeline you are looking at?
Kandarp Patel: Our Mumbai HVDC is progressing well . There is only remaining issue is the approval for mangrove cutting, which is pending before the High Court, but that involves only 1.5 kilometre of cabling. Everything else is on time and we expect to commission this project in Q3 next year.
So, the project will be complete on time , which will be a significant event fo

r Mumbai, because
you must have seen the history of Mumbai transmission projects, which are delayed for quite a long period, but this will be the one mega project, which will get completed in time.
As far as Fatehpur -Bhadla HVDC project is concerned, you must have seen from the various announcements and press on the acquisition of this subsidiary on 20th of this month. We are into the final stage of discussion with the OEMs, and we hope to conclude th e contracts in next 1-1.5 months.
And the period that is given for completion or commissioning of the first b i-pole is 48 months and the second b i-pole is 54 months and we'll be commissioning well within the time.
Mohit Kumar: And the date starts from the signing of transmission service agreement or is it from the transfer of the S PV?
Kandarp Patel: We have completed both the parts. We have signed the TSA, and we have also taken over the SPV.
Mohit Kumar: Understood. My last question is, how is the pipeline of smart meter bidding and has the Tamil Nadu smart meter tender is up for re -bidding now?
Kandarp Patel: What I gathered is that they wanted to do re -bidding because they have already got the approval from RDSS for getting a grant from Government of India contribution of Rs 900 per meter and we expect that they will be coming up with another bidding or re-bidding very soon.
Mohit Kumar: Understood, sir. Thank you and all the best, sir.

Moderator: Thank you. The next question comes from the line of Bharanidhar from Avendus Spark . Please

go ahead.
Bharanidhar : So, my question is on the power demand growth. In our operating circles also, we have seen about 3% year -on-year growth in power distribution. So, wanted to understand your view on where is this heading in the sense, first, if there is a slowdown from last year in which segments or categories there is a slowdown and what is your outlook on this power demand grow th for the next 1-to-2-year period?
Kandarp Patel: The growth that we have seen this year is much lesser as compared to last 3 years. The stagnation is because of the additional capacity or additional consumption that was expected to get commission was delayed. So , one of the major factors would be commissioning of those metros lines in Mumbai, which has now reached to a very good shape and will get commission in very short time.
And a few of the data center projects that are supposed to come up ha ve been delayed. So it is a delay for some time, but we expect that g rowth to remain healthy about 5 percentage per annum.
Bharanidhar : Okay. So are you seeing any drop in demand from specific consumer category like residential or industrial anything like that?
Kandarp Patel: No, we do not see any category in absolute term it will reduce. In fact, it will continue to grow at a steady rate and the additional growth will come from this kind of intervention or commissioning of such a project, public mobility basically and consumption like d ata centers.
Bharanidhar : Understood. My second question is on the privatization opportunity in distribution that recently came up, especially in the state of UP. So, where is that bid in progress? Are we bidding for it?
Kandarp Patel: We will certainly bid for it. They have invited bid to appoint consultant and UP has been thinking of privatization since the last couple of years. We believe that they have done a good amount of preparation. So, we see a movement in that direction, and we believe that once a state like UP does privatization, it will also give signal to many other states where they would also want to explore this option.
We see a good amount of opportunity coming u p in distribution privatization, b ut the number that we are talking currently, we have not factored in those kinds of additional opportunities.
Bharanidhar : Understood. Just to

be clear, you just said that they have invited for appointment of consultant.
Any timeline as to when there will be a final round of bidding and when we can expect opening of the bids a nd if at all there could be any challenges because it is a large state and usually privatization faces a lot of challenges from incumbent , employees, etc?
Kandarp Patel: This bid, I believe, has already mentioned the timeline. It is about 210 days. I am not pretty sure about it. So, it looks like that UP wanted to conclude it early and with a kind of administration at a state level, we think they will pull it off this time .
Bharanidhar : Sure. Okay. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Dhananjai Bagrodia from A SK Investment Managers. Please go ahead.
Dhananjai Bagrodia : Congratulations for good set of results. I wanted to ask you sir in smart metering, what are we hearing from on ground in terms of implementation and how are we seeing that in terms of order pipeline going ahead?
Kandarp Patel: Currently Dhananjai we have order pipeline of Rs 2.28 crore s meters. We have already deployed about 18 lakh meters. Our average rate is about 15,000 meters per day. We feel proud in saying that we have been doing far better as compared to all other players in the market.
In fact, today my sense is that the meter being implemented by all other companies on the ground, aggregate of that we are implementing equivalent to that. So, we have already reached to 15,000 meters and we will be doing at least 20,000 average meter per day in the last quarter of this year.
As far as the bidding pipeline is concerned, there are few large states who has not gone for smart mete r bidding. Those states are Karnataka, Tamil Nadu, Telangana, and Madhya Pradesh a nd few of the state has done partial like Andhra Pradesh, Gujarat and few of the states are also facing very poor deployment. They might even think of cancelling and re -bidding that opportunit ies in the state like Rajasthan and UP.
Dhananjai Bagrodia : So, what you have assessed, what went wrong in Rajasthan and UP a nd how are we seeing for ourselves in terms of pushback from any like local bodies or final consumers?
Kandarp Patel: So when you take this kind of project for implementation, you have to assume that this kind of challenges will come on the ground and you have to handle it and implement it. Now our team is doing fabulous job. The tea m have been able to handle this kind of resistance on the ground.
So, one of the key elements in managing those is that communication with the customer and we have been able to handle that part very well and have been able to reach to this level.
Another key element is to understand the requirement of each distribution company because

every distribution company has a different process for the billing and metering. It is import ant
to un derstand these processes and seamle ssly integrate your solution with their system s, so that
they do not have find any problem in getting your data and availing your services.
And we are being a distribution company understand that very well and our team has also done
an excellent job on that count .
Dhananjai Bagrodia : Sure. And so what will be the ca pex for this year and next year total capex for FY25 and 26?
Kunjal Mehta: So, we have spent Rs 7,500 crores of capex for the 9 -month period and by the end of this
financial year, considering the smart meter deployment, the capex in transmission and
distribution, we're likely to close around Rs 12,000 crores of capex .
Dhananjai Bagrodia : And sir for next year, roughly?

Kunjal Mehta: Roughly, basically it would be in the range of around Rs 18,000 crores for FY26. Considering
that we have to deploy

all the transmission projects, which would roughly around Rs 12,000
crores in the transmission capex itself.
Dhananjai Bagrodia : And then the remaining capex would be for?
Kunjal Mehta: Would be largely contributed by smart meters where we would go aggressively as KP sir
mentioned that it would be around 20,000 meters per day. So there we would have to deploy
more capex in smart meters.
Dhananjai Bagrodia : Sure. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Pradyumna Choudhary from JM Financial
Family Office. Please go ahead.
Pradyumna Choudhary: Thank you for the opportunity. So , pardon me for being a bit new to the company , some of the
questions would be basic. First question is on the distribution side we've seen a flat EBITDA,
operating EBITDA, Y -o-Y. And the EBITDA number has even declined by 17%. So what is the
reason for the same?
Kunjal Mehta: So that's because of the reduction in the asset base or regulated asset base in the distribution
business, largely on a ccount of the carve -out of Dahanu p ower plant which was completed last
quarter. Now, once the Dahanu power plant is out of our way, we will see stable EBITDA in the
AEML business.
In fact, we have huge plans of capitalization coming up in the next one or two quarters in AEML
distribution business where we would see that around Rs 2,000 crores of RAB addition during
the next year or so. So, basis t hat we will see a stable EBITDA . The drop is largely on account
of Da hanu p ower plant.
Kandarp Patel: Just to add what Kunjal said the drop is on account of Da hanu and also on account of delay of
one project which is 220 KV transmission project at BKC . Now, our regulatory asset base right
now is about Rs 7,600 odd crores , by the year -end with all capitalization of the capex that we
are doing in distribution and that project the RAB will reach to about Rs 9,000 crores by this
year-end.
Pradyumna Choudhary : Rs 9,000 crores will reach by year -end from what number currently?
Kandarp Patel: Rs 7,627 crores .
Pradyumna Choudhary: Rs 7,627 crore fine. And secondly on the smart meter side what sort of EBITDA are we tar geting
over the next two years l ike do we give a number?
Kandarp Patel: The balanced smart meter opportunity is about 10 crore s meter, and we will target about 20 % to
25% at least of those bidding opportunities.
Pradyumna Choudhary: All right. Thank you.

Moderator: Thank you. The next question comes from the line of Love Sharma from JP Morgan. Please go
ahead.
Love Sharma: Thanks, management for the call. Just two questions fr om me. If you could just highlight what
would be the debt outstanding as of December across the transmission and the distribution
business AEML and also the cash balances which you're currently holding. And the other
question was I think coming more of follow -up from the previous question about you do expect
some tariff revision lower for AEML. Could you just quantify how much are we expecting for
FY 2026 onwards?
Kunjal Mehta: Sure. So, Love , basically the debt levels continue to remain same as was reported in September
of close to around Rs 39,500 odd crores. We also have surplus cash of around close to Rs 9,000
odd crores basis that we have a net debt of around Rs 30,000 odd crores and our leverage

continues to be in the range of 3.1x to 3.3 x of our EBITDA.
So, that position still continues to remain same, especially due to the proceeds of QIP. We have a healthy liquidity position in the company to take care of our funding requirements.
Kandarp Patel: On the tariff side this Rs 400 odd crores of revenue surplus will translate to tariff reduction of about 70 paisa per unit.
Love Sharma: 70 paisa per unit. Okay. So that remains only pretty much for the FY 2026 or do you expect it to be in the future years also to be l

ower?
Kandarp Patel: It can get spread out in a couple of years, but that depends on the regula tor. Our application is already before MERC, and they will announce tariff for next year latest by 31st March.
Love Sharma: Understood . Since some of the transmission assets in AEML are expected to complet e this year , how that will build up in RAB and how increase in RAB will be monetized in future ?
Kandarp Patel: The tariff of transmission project that we commission in AEML not directly included in the distribution tariff. Instead, it is pooled into a state fund, from which we will be paid. This tariff is already accounted for in the ISTS, and the tariff estimate that we have made are for distribution only.
Love Sharma: Okay, understood. So, that revenue will be separate from t he distribution utility as such
Kandarp Patel: Correct. So, in AEML now there are two streams. Earlier there were three streams of revenue. One was from a generation of Dahanu, now which we have carved out. So, in AEML we have now two regulated revenue streams , one from distribution assets and one from transmission assets.
So, all transmission assets are part of ISTS, and th e tariff gets pooled with all other transmission assets of the state and then gets charged to individual distribution company, basis uses of those transmission assets.

Love Sharma: Got it. Thanks. This is useful. And just again to confirm, the cash balance which you mentioned was about Rs 9,000 -odd crores. Is that right?
Kandarp Patel: Correct.
Love Sharma: Okay. Great. Thank you. That's it from me.
Moderator: Thank you. The next question comes from the line of Darshan Parmar from Jefferies . Please go ahead.
Darshan Parmar: I just wanted to get a sense on how much of smart metering bidding is st ill left, if you could quantify?
Kandarp Patel: Darshan, the smart metering bidding left out is about 10 crores meters and those are mainly from the state of Telangana, Karnataka, Tamil Nadu, Madhya Pradesh, part of Andhra Pradesh and few other states.
Darshan Parmar: Okay. Ye s. Thanks.
Moderator: Thank you. The next question comes from the line of Abhiram Iyer from Deutsche Bank . Please go ahead.
Abhiram Iyer: Hi, congrats to the company on a good set of results and thanks for taking my question. I just wanted to ask, with the Dahanu Power Sale in the previous call, you'd mentioned that some of that proceeds are going to go towards the reduction of debt. So, may I just quantify how much is the debt now at AEML , how much it's been reduced by?
That was question one. And question two was, has the company been in progress on a plan for refinancing its upcoming bond? There is an ATSOL bond coming due in 2026. Any refinancing plan for that?
Kunjal Mehta: At the AEML debt level , the proceeds would be applied as per the AEML bond documents where we can use the proceeds of Dahanu towards business as well as reduction of the debt. Part of the proceeds have been used to repay the debt of the company about Rs 400 odd crores during last quarter.
Currently at AEML , there is a reduction of the debt. We currently have around $ 880 million of bond outstanding and $ 300 million of SLB bond outstanding. So, $1,120 million of bond, which is outstanding at AEML level. So, that is at the debt level. Sorry, what was the second question?
Abhiram Iyer: The second question was, you also have a USD public bond which is coming due in the wider transmission company at ATSOL in 2026. So, are there any plans towards refinancing this or coming back to the market for this?
Anupam Misra: I think for that one, we need to stay true to our capital management plan that is the issue at tenor. It will be similar to the 2036 paper that we have outstanding, which is an amortizing paper and it was issued in 2019.

So, this one, when it comes due, 3 months to 6 months prior to that, you should be seeing us tapping the market for a term takeout of that, which will be an amortizing structure. We have the option of both private placement and public market for that instrument.
Abhiram Iyer: Thank you for the clarification. That's it from my side.
Moderator: Thank you. The next question comes from the line of Sagar Parekh from One Up Financial . Please go ahead.
Sagar Parekh: Sir, two questions. First is on the transmission side, you mentioned we have about Rs 54,000 crores worth of capex to be done, right? Rs 55,000 crores capex would translate to how much of incremental EBITDA?
Kunjal Mehta: So, Rs 55,000 crores of project currently based on the tariffs which we have quoted will give us a Rs 7,600 crores to Rs 7,700 crores of tariff which is there. We continue to maintain 92% margins in transmission business.
Sagar Parekh: And you said Rs 370 crores would be the incremental in Q4 incremental tariff revenue from the four projects that you will be commissioning?
Kandarp Patel: Correct. But that's a part of Rs 54,000 crores , right?
Sagar Parekh: Yes, that's a part of it, Rs 7,600 crores. And second question is, on the debt side, we have 60% of our debt, I think, on the US dollar denominator. Correct me if I'm wrong, but 60% is what is the foreign debt? So, with the current rupee depreciation, what are your thoughts on this and how do we account this? Because I think most of the debt is more than 5 years or something? So, I just wanted some clarity on this as well, please.
Kunjal Mehta: So, what we generally do is that as soon as we take an overseas debt or dollar denominated debt, we hedge the entire debt so that currently our entire portfolio is hedged both at AEML as well as AESL levels. So, we are not significantly impacted because of the rupee depreciation. So, it is fully hedged.
Sagar Parekh: Fully hedged. So, the hedging cost would c ome in the finance cost, is it?
Kandarp Patel: Yes. So, even today, whatever finance cost that yo u see is with the hedging cost. That is not going to be any incremental one. So, it is already there.
Sagar Parekh: But if the dollar, I mean the rupee depreciates, then is there a mark to market loss that we have to book by any chance? Because I believe even hedging means that there would be at some point that you would reverse that entry. But in the near term, would t hat be any kind of mark to market losses?
Kunjal Mehta: There is an MTM loss, but then there is a derivative gain because of the assets, I mean the underlying assets. So, from that perspective, it becomes neutral.
Sagar Parekh: Neutral. Okay. So, no impact of the rupee depreciation on our balance sheet for now?

Kunjal Mehta: Correct.
Sagar Parekh: That is it from my side. Thank you.
Moderator: Thank you. The next question comes from the line of Giriraj from Visaria Family Trust . Please go ahead.
Giriraj: First, some clarification on the operating data what we report. So, in the pre -quarter update also, we mentioned about the decent jump in the network length and the transmission capacity. Somewhere about 14% and 19% on the quarter -and-quarter transmission capacity. But is it total capacity or is it whi ch is about to be commissioned?
So, I just want to understand like there is no quarter -and-quarter increase in the revenue, not material. So, is it the under -construction capacity what we are mentioning here or it is the commissioned capacity what we are mentioning here?
Kunjal Mehta: So, 25,000 circuit kilometers is the total all put together or includes under construction pipeline . Currently, close to 20,000 circuit kilometers have been fully commissioned and the balance 5,000 circuit kilometers are under construction.
Gir

iraj: Okay. So, this number will not lead us to any conclusion on the revenue side of it ?
Kandarp Patel: Correct. So, I think, Giriraj , what is the important number from revenue side to track is the capex that we have incurred or capitalization of that capex.
Giriraj: Understood. That you have mentioned in the presentati on. I got a commissioning also. Next question on the smart meter side. So, when you mentioned that you will be commissioning about 20,000 meters per day and roughly let us say in 90 days, we will talk about 18 lakh meters? So, should we assume a capex of about Rs 1,000 crores because about Rs 5,800 per meter capex. Is that right thought process?

Kunjal Mehta: So, if our target is to do 70 lakh meters during the next financial year, which would roughly translate to around Rs 3,500 crores to Rs 4,000 odd crores of capex for smart meters during the next financial year.
Giriraj: Okay. And how do we book the revenue here? I understand it's a Rs 900 the subsidy what we will get and then from the 31st month, the revenue will start kicking in. But will we be doing, on an Ind AS basis, we will be doing on an accrual basis acc ounting, right? On an SLM basis?
Kunjal Mehta: No. So, the revenue under, because this is our accounting would be under service concession accounting. So, it would be spread between opex as well as the capex revenue. So, therefore, and since the asset would be classified under SCA accounting. So, a portion of it would be opex revenue, portion would be capex revenue, and some portion would get attributed towards the interest income as well.
Giriraj: Okay. So, whe n will start revenue occurring?

Kunjal Mehta: So, the revenues in metering is accounted immediately on completion of as soon as the billing starts. So, we have already started billing in certain three or four projects that we have commissioned and it is accounting on a per meter per month billing basi s the tariffs which we have quoted for each of the projects.
Giriraj: Okay. Because since first quarter presentation that June 24, the company had given the separate meter revenue in EBITDA, but this number is not there for the second and third quarter PPT?
Kunjal Mehta: So, because the amounts are not that significant for smart meters in the current quarter. So, therefore, it is not being separately shown on the segmenting reporting as per the Ind AS . I think the segment al reporting for smart meters would come up from the next financial year when the smart meter revenues would be a sizeable number.
Giriraj: Okay. Understood. Thank you. That's all from my side.
Moderator: Thank you. As there are no further questions, I will now hand the conference over to Mr. Kunjal Mehta, Chief Financial Officer. Please go ahead.
Kunjal Mehta: Thank you all for taking out the time and joining the call. We will continue to engage with you and in case if you have any clarifications or further information that you have, you can reach out to our IR team , who will take on any of your additional information or clarification. Thank you once again for taking out the time.
Moderator: Thank you. On behalf of Adani Energy Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2025

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29th April , 2025

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Dear Sir,

Sub: Transcript of Earnings call pertaining to the Audited Financial Results of the Company for Q 4FY25.

In continuation to our intimation dated 24th April, 202 5, please find below web link of transcript of the Earnings Call on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended 31st March, 2025.

Weblink to access above transcript is as under:

https://www.adanienergysolutions.com/ -
/media/Project/Transmission/Investor/documents/Results -Conference -Call-
Transcripts/AESL_Q4FY25_Earnings -Call-Transcript ---vf.pdf

Copy of the said transcript is also attached herewith.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For Adani Energy Solutions Limited

Jaladhi Shukla
Company Secretary

Encl: As above

"Adani Energy Solutions Limited
Q4 FY25 Earnings Conference Call"
April 25, 202 5

Management: Mr. Kandarp Patel – CEO – AESL
Mr. Kunjal Mehta – CFO – AESL
Mr. Anupam Misra – Head of Group Corporate Finance
Mr. Vijil Jain – Head IR – AESL

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY25 Earnings Update Call hosted by Adani Energy Solutions Limited. From the Adani Energy Solutions side, we have the following on the call: Mr. Kandarp Patel , CEO, Adani Energy Solutions Limited; Mr. Kunjal Mehta , CFO, Adani Energy Solutions Limited; Mr. Anupam Misra , Head, Group Corporate Finance; Mr. Vijil Jain, Head IR, A dani Energy Solutions Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Vijil Jain from AESL. Thank you, and over to you, Mr. Jain.
Vijil Jain: Thank you, Michelle. Hi, everyone. Thank you for joining the call. Warm welcome to the quarter 4 earnings call. I hope you got a chance to go through the earnings material, which was uploaded on the website. Just to explain the flow of the call, so we will start with an opening statement from the CEO, Mr. Kandarp Patel , followed by Q&A and then, of course, the closing remarks. So let me now hand over the call to KP, sir. Over to you, sir.
Kandarp Patel: Welcome, and good morning to all investors and analysts, friends. The financial year FY25 was a remarkable year for AESL, both in terms of future growth perspective and execution and operation during the financial year. You all must have noted that we now have a strong order book of close to about Rs 60,000 crores. Those projects will get executed in the next 4 to 5 years.
In FY25 , we won about seven projects in different geographies. But essentially, those projects are for evacuation of green power. We will continue to have this kind of project development, which helps in integration of more and more renewable power into the grid.
From an operation al perspective , you may have noted that at the AESL level, we have managed to double the capex as compared to the previous year. We closed this financial year FY25 with a total capex of Rs 11,444 crores, which in the previous year was about Rs 5,613 crores. Going forward, you will see this number growing continuously . In FY26, we expect a capex of close to Rs 16,000 crores to Rs 18,000 crores. This will be the aggregate capex of transmission, smart meter and distribution businesses .
With this performance, the EBITDA has grown at a healthy rate of 23%, widely surpassing our previous trend of EBITDA growth . We aim to outgrow this level of growth , at least for the next 4 to 5 years.
From an operat ional update standpoint, our availability remains close to 100 %, which is 99.7% in FY25 . This enabled us to earn an incentive income of about Rs 132 crores. The total circuit kilometer has reached to 27,000 circuit kilometers. We have commissioned the MP Package - II transmission project , a complex project involving numerous substation s and small transmission

line. While w e could complete that difficult project , we also acquired Maha n-Sipat Transmission Limited .
On a distribution side, we witnessed a 6% growth in energy sale s at AEML , Mumbai Utility , which is very interesting , in a geography like Mumbai . Energy sale at Mundra Utility increased by 44%. That was because of increasing demand in the Mundra region.
Remarkably, at the Mumbai Utility, we managed to reduce distribu tion loss to below 5%, closing the year at 4.7 %. This is a significant improvement from the l ast year distribution loss of 5.29%. So, the reduction of at least around 0.5 % which is significant on the base of 5.29 %.
The renewable penetration in Mumbai

Utility continues to be the highest in the country at 36%
in FY25. Overall , AESL has recorded quite a good performance, both in terms of operation and financials and in all the three segments.
The smart metering business, which started last year, initially the progress was at a slow pace,

however by the end of FY25 we had installed 32 lakh meters . Now we are installing at the rate of about 27,000 meters a day, the average run -rate that we have achieved in the current month . We expect to deploy at least 70 lakh new meters in FY26 , thereby achieving a cumulative number of minimum ~1 crore meters by the end of FY26 .
Similarly, w e also expect to commission seven transmission projects, aggregating project cost of about Rs 15,000 crores during FY26 . One of the biggest projects in the seven projects is the Mumbai HVDC, which we aim to commission by December this year.
With this pipeline and growth opportunity in all the three segments, we continue to grow at the pace that we have shown in the current year and keep the execution excellence intact and manage those transmission line availability and distribution losses , very efficient ly. You must have also noted that AEML has been ranked number 1 distribution utility in the country consecutively for last 3 years.
So over to you. Now we'll take all the questions and additional information that you would want to have from us.
Moderator: Sir, should we open the floor for the Q&A session?
Kandarp Patel: Yes, please.
Moderator: Thank you very much. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Congrats on a very strong win in the fiscal year, especially on the transmission side. My first question is what is the capex which you have incurred in F Y25 for the transmission, distribution and smart meters separately. If you can give us that number, it would be helpful.

Kandarp Patel: Mohit, thank you so much. The capex that we incurred in FY25 was Rs 11,444 crores, with Rs 7,646 crores was in transmission, Rs 1,782 crores in distribution, and Rs 2,015 crores in smart metering business .
Mohit Kumar: Sir my second question is on the opportunities on the transmission side . FY25 was a great year. Do you see a similar pipeline in the next 12 to 18 months? Or do you think the pipeline has declined to a certain extent? Just on the smart meter, similarly, if you can throw some light, I believe that Tamil Nadu has floated an order. Is that right? And are there any other opportunity on the smart meter?
Kandarp Patel: Yes, Mohit, the transmission pipeline will continue to remain very healthy. Rs 54,000 crores already under bidding at ISTS level. You must have seen that a state like Maharashtra, in fact, we discussed that in last call as well . Now all those transmission lines, which is coming up for execution of green power, ISTS line, all the states will also have to augment the transmission capacity to absorb the power in their area.
We feel that t here will be a significant opportunity at the state level. Like Maharashtra itself has prepared a plan of about Rs 150,000 crores in the next 6 years and many of the projects that they wanted to go through TBCB. We believe the pipeline will remain healthy for at least a couple of years, and there is an absolute visibility about it.
As far as smart metering is concerned, there are three to four major states that are yet to finaliz e the smart metering contracts. One of them is Tamil Nadu who has already floated the tender. The balance states include MP, which has floated the contracts in only a few cities and the remaining sates are Telangana, Karnataka and half of Andhra Pradesh. Last time , Andhra Pradesh invited the bid for a limited number of meters , however they have not bid out all the meters.
So still about 10

crores to 11 crores meters that will come into a bidding. Timeline is not certain , but they will surely be coming out soon . Further, what we are focusing right now is to improve our installation rate, which has already reached to 27,000 meters a day. Once we have that kind of a volume that we are able to install on the ground, and we will be well positioned to participate in all upcoming bids and try to maintain our market share.
Moderator: We'll take the next question from the line of Dhananjai Bagrodia from ASK Investment Managers.
Dhananjai Bagrodia: Congratulations on a good set of numbers. Just a couple of questions from my side. What is the capex we are looking at for FY26 on a consolidated basis?
Kandarp Patel: We are planning a capex of about Rs 16,000 crores to Rs 18,000 crores in FY26 . This includes around Rs 1,600 crores for AEM L, Rs 4,000 crores for smart meter as we aim to deploy at least 70 lakh meters in this year and Rs 12,000 crores to 13,000 crores for the transmission business .
Dhananjai Bagrodia: Transmission, Rs 12,000 crores to Rs 13,000 crores. And sir, any update on the privatization of any of the distribution arms we thought we were looking at earlier when we mentioned for UP.

Kandarp Patel: Yes. In UP, the process is going on. In fact , UP DI SCOMS also had a meeting with all the prospective bidders , the senior officers, and the c hief secretary . And they were very keen to take the process ahead. They already appointed a transaction adviser, Grant Thornton. I believe the UP DISCOMs should be coming out with a bidding document in a month's time. Government of UP seems to be committed and they wanted to do it as early as possible.
Dhananjai Bagrodia: The Rs 16,000 crores to Rs 18,000 crores doesn't include the UP privatization. Anything for UP will be over and above .
Kandarp Patel: No, it is not. Anything relating to UP will be additional.
Dhananjai Bagrodia: Okay. Fine. And sir, lastly, just now we are hearing so much on the ground side that the government's movement towards solar is increasing significantly. Are we seeing also more like in terms of bid pipeline will increase significantly going ahead? How are we seeing that for the next 2 to 3 years?
Kandarp Patel: As I replied to Mohit, we see a very healthy pipeline at CTU and ISTS level. We will see a lot of opportunities emerging at the state level in state s like Maharashtra Gujarat, Rajasthan, MP. In fact, MP recently issued 3 to 4 bids under TBCB. Maharashtra has also initiated the process. REC has already published that bid document and tender notice. So, we will see a lot of traction from now state side and from the ISTS projects.
Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC.
Dhruv Muchhal: Sir, the first question was on the metering business. So, you have spent about Rs 2,000 crores in the quarter in terms of capex , right, sir? This is for the quarter? No, this is for the year. And sir, if I do this math , so what is the implied installations that should have happened at this capex run rate, that implies about Rs 6,000 per meter is the capex cost. So is this in line with what you were expecting? Or is there some error in how I'm doing the math?
Kunjal Mehta: The capex amount is correct. So the number of meters, which were installed was close to around 31 lakh meters, plus there is a certain inventory also which is carried in the books. So roughly around Rs 500 odd crores is an inventory which is carried for the smart meters. The per meter amount of the capex is roughly around Rs 5,500 to Rs 5,800. If you do that math, then the number of 31 lakhs would match. Plus you have to add the inventory, which is also included in the capex amount.
Kandarp Patel: And to answer your question, the actual cost number is exactly in line with the expected

number
that we planned. So there is no change there.
Dhruv Muchhal: Sir, how do you account for this Rs 900 of subsidy that we get from the government? Or is that not part of the estimates as of now?
Kunjal Mehta: Rs 900 is an incentive which is given by the central government to the state DISCOMs and which the state DISCOMs gives as a part of lump sum as a part of the tariff. So it does not

materially impact the capital cost. It just helps in sourcing of that funds whenever there is a funding requirement . But it is a part of the tariff itself.
Dhruv Muchhal: That does not come to you as a company. That comes to the state government or the state DISCOM s?
Kunjal Mehta: Yes, it comes to the state DISCOMs and whenever we complete the installation, the state DISCOM s then passes it on a one -time or lump sum basis to us as part of the tariff itself.
Dhruv Muchhal: Okay. So that's already part of your bid price. So , whatever Rs 100 or Rs 120 per meter per month on your side.
Kandarp Patel: Yes. Correct.
Dhruv Muchhal: And sir, second question is just on a broader outlook on the transmission business. So, you have a very large order book now and the execution is also improving, and the pipeline also seems very healthy as of now, as you mentioned, Rs 54,000 crores plus probably some state bidding also can happen.
But how do you see given the balance sheet plus the existing order book, can there be a meaningful addition to the order book still? Or there could be a slowdown and focus more on execution now?
Kandarp Patel: We will add projects only if that fits within our financial and execution metrics. We will not be taking projects just because we wanted to build an order book. We will only add the projects looking at what are the capex that we are delivering on the ground. Suppose in case it lower than our expected rate, then we would probably not take the project.
Dhruv Muchhal: Got it. And sir, one interesting probably I'll take that later. But in terms of execution of transmission, when I look at the under -construction projects, there have been some delays in

terms of the timeline. So , some projects were expected to commission, I think, by March, have
been delayed by a few months, probably only a few months. But just to understand what the
major challenges in terms of the timeline are because this probably leads to some revenue loss
to us.
Kandarp Patel: No. the project that you have mentioned is delayed not because delay from our end , but because
it is a part of a system. When you do a transmission project, obviously, at a certain point, you
will have a dependency on somebody's component coming up.
But we are not affected because of that. There are two ways of mitigating it. We continue to
monitor those elements on which we are dependent. In that case, we will also regulate our pace
accordingly. So, we don't end up in that case, unnecessary or higher IDC cost.
Dhruv Muchhal: Okay. And if there is a delay on account to somebody else, you get a change in law for the lost
period .
Kandarp Patel: Correct. Correct.

Kandarp Patel: But the approach is that you don't get into regulatory issues if the issue is manageable otherwise.
We will try to make sure that we have limited or bare minimum regulatory intervention that
requires for us.
Moderator: We'll take the next question from the line of Anuj Upadhyay from Investec.
Anuj Upadhyay: Congrats on a good set of numbers. So, you mentioned about the commissioning of the
transmission assets for FY 26, the major one being the Mumbai HVDC. What would be the other
major assets? You mentioned, I guess, some six to seven projects which are likely to get
commissioned for the current. Can you elaborate more on the projects which are likely to get
commissioned?
Ka

ndarp Patel: Yes. the major projects are Khavda Phase II Part-A, Khavda -1 pooling station , North Karanpura
Transco Ltd , which has been delayed due to environmental issues. We aim to complete this
project in FY26 . Additionally , the WRSR project, Hal vad project and the Mumbai HVDC are
already under construction .
Khavda Phase II Part A is about Rs 1,300 crores , Khavda KPS -1 pooling station is Rs 900 crore ,
North Karanpura Transco Ltd is Rs 1,000 crores , WRSR is Rs 2,100 crores , Khavda Phase – III
Pat A (Halvad) is Rs 2,700 crores and Mumbai HVDC is of Rs 7,000 crores.
Anuj Upadhyay: Halvad, you said, almost Rs 2,400 crores ?
Kandarp Patel: Rs 2,700 crores.
Anuj Upadhyay: Okay. And Mumbai HVDC is Rs 7,000 crores.
Kandarp Patel: Yes.
Anuj Upadhyay: The overall order book of around Rs 60,000 crores, which we have, how much of that would be
the revenue which we could determine or translate from the Rs 60,000 crores of capex , which
we'll be doing over the next 4 to 5 years?
Kandarp Patel: That will be close to about Rs 8,250 odd crores for the pipeline of Rs 60,000 crores capex . That
will translate to 13.77 % tariff to capex ratio, which you will see it's a very healthy one.
Anuj Upadhyay: Okay. Okay. And how much would be the incentive income, sir, for the full year from this
transmission availability?
Kandarp Patel: So, for FY25 it was about Rs 130 crores. All these projects once commissioned the incentive
income could be about close to Rs 200 crores.
Anuj Upadhyay: This is for FY26, you're saying, sir, or by the commissioning of this entire order book?
Kunjal Mehta: Rs 130 crores was for the current financial year, which we earned .
Anuj Upadhyay: FY25, right. And Rs 200 crores was?

Kandarp Patel: Once all these projects are commissioned by FY27, you will have an incentive of about Rs 200
crores because these projects will get commissioned during the middle of the current year FY26 .
So, it will not be a full y operation al. First f ull operation period will be in FY27.
Anuj Upadhyay: Got it. Got it. And I missed out on the upcoming states who are probably planning to come out
with a smart meter bidding and all. Last time, you had mentioned that around Rs 10 crores is set
to happen for states like A ndhra Pradesh , Telangana, Karnataka, Tamil Nadu and M adhya
Pradesh . Can you just give the status of -- I guess you mentioned, but I missed out on that.
Kandarp Patel: So you're right. They will come out with the bidding process. One of them, Tamil Nadu has
already come out.
Anuj Upadhyay: Okay. Okay. And lastly, sir, on the Fatehpur -Bhadla HVDC, have we started the awarding

process with OEMs?
Kandarp Patel: Yes. We have already executed the contract with Hitachi and BHEL, and work on the project has started.
Moderator: We'll take the next question from the line of Xinran Pan from Loomis, Sayles.
Xinran Pan: I want to ask for smart metering business. What is the current EBITDA? I mean, how should we expect when we talk about 1 crore number of metering, how much annual EBITDA would that contribute to?
Kunjal Mehta: In the current financial year, we installed close to 3 1 lakh meters, but the revenue was not that material, and therefore, it is not part of our segment reporting. From next year onwards, it would be a substantial number once we are able to achieve the 70 lakhs additional meters plus 30 lakhs so on an aggregate basis 1 odd crore meters would get established next year. On the EBITDA estimate, around Rs 1,350 per meter per annum is the annual estimated for smart metering business.
Xinran Pan: Okay. Can I also ask what is on the AEML level, is there any dividend payout plan to QIA?
Kunjal Mehta: The dividend would be as per the covenants, which are there under the bond documents, whereby whatever is the surplus, whichever is there, would

be available for distribution to the shareholders, if at all, there is available surplus. Plus, the company is l ooking to further deleve rage its balance sheet, as you would have seen in the past 2 years or so. So, a combination of either dividend or repayment of the existing loan including the shareholder loan would be utilized from the available surp lus at the AEML level.
Xinran Pan: I see. Next question is on the refinancing. I think the PPT mentioned you expect to refinance the Adani Transmission 2026 bond with a new amortizing bond. Would this be onshore or offshore? And then is there already some discussions, some progress you can share?
Anupam Misra: Yes. So this one, all the options are on the table. We will activate those options about 6 to 9 months prior to the actual refinancing.

Xinran Pan: Okay. Can I just ask what's the current funding situation onshore because your pipeline is actually quite substantial. How is the funding plan, the cost?
Anupam Misra: Kunjal, do you want to take that?
Kunjal Mehta: Yes, sure. So, all the projects which are under -construction, almost all of them are currently tied up in terms of the financial closures with the Indian banks and the Indian financial institutions. So under the Indian banks, all these projects which are under construction have already been tied up.
Anupam Misra: And cost, Kunjal, if you can give an idea of the cost?
Kunjal Mehta: Cost would be around 9.5% of the under -construction projects.
Anupam Misra: And the way they are structured is once these projects become operational, the rating improves and then the pricing drops below 9%.
Kandarp Patel: That we have done recently for a few projects as well. Kunjal, you might like to give info about that part.
Kunjal Mehta: Yes. So what happens is that post construction, our rating for transmission projects improved significantly. And if you would have seen, most of our projects are either AAA or AA domestically rated. And for AAA and AA+ ratings, we are able to achieve cost of around 8 % to 8.5% from most Indian banks, Indian financial institutions and even the domestic capital markets.
Xinran Pan: Okay. Just one last question. I think before we mentioned some HVDC line ramp -up. Does that refer to the M P Package II that commissioned last year?
Kunjal Mehta: Sorry, can you repeat your question?
Unknown Analyst I was just checking some old notes and there was some HVDC line that referred to -- that we expect to ramp up. I just want to check on the progress of that.
Kunjal Mehta: What we communicated is that the Mumbai HVDC line is going as per schedule, and we plan to commission the project during Q3 FY26 .
Moderator: The next question is from the line of Nikhil Nigania from Bernstein.
Nikhil Nigania: My first question is on the distribution side. Beyond Uttar Pradesh also, are you seeing any other opportunities possibly in early discussions for privatization of DISCOMs?
Kandarp Patel: Nikhil, currently, only Uttar Pradesh who has undertaken th is process. But I believe if it goes through in Uttar Pradesh, it will set an example for other states as well. Then, probably you might see a lot of distribution companies coming out with this kind of initiatives.
Uttar Pradesh is also a major one. They are planning to privatize two distribution companies out of their four distribution companies. They want to convert these two companies into five

companies so that size is manageable. Those would be around 12,000 million unit volume company. And those five companies, they wanted to privatize.
Nikhil Nigania: Understood. These five companies, I mean, if you could share some color, the plans to give it like no one player can get more than one or there's no restrictions or it's too early to say ?
Kanda

rp Patel: Yes, it's too early to say because they haven't issued that RFP yet. I think they will be issuing that RFP in maximum a month ’s time. A lot of discussion s are going on with the prospective bidders, with the MoP and everyone. And I believe they should be able to come out with the document very soon. Once we have the document, all those contours will be clear.
Nikhil Nigania: Okay. Understood that. So my second question then was on the transmission side. So when we speak to renewable companies, everyone highlights transmission as being a massive bottleneck for them. So given you are present in transmission, in distribution, and you spoke about intrastate transmission as well as a new opportunity. So I wanted to understand from a macro perspective on the grid, where do you see the biggest bottleneck, which is happening? Is it interstate? Is it intrastate? Or is it just execution of all the interstate projects, which is leading to such a situation?
Kandarp Patel: No, it varies on a case -to-case basis. So sometimes you will find that ISTS line is ready and wherever it is getting connected in any state, from there, you have a bottleneck or sometimes state is ready and then you have a bottleneck in ISTS line.
Recently, some of the transmission ISTS line, which ha d to be completed for evacuation of Rajasthan renewable power, they got delayed, but project got commissioned and that energy started coming into Gujarat through existing ISTS line, and that created problem in Gujarat.
So it's a very dynamic one. It depends on a case -to-case basis. But what good thing has happened is to realize the problem , coordination between all the generators, transmission players and CEA, MoP and CTU is very good now. In fact, Secretary Power takes a review meetin g at regular interval of 1 month.
Further, CEA and CTU also keeps on reviewing the situation at a regular interval of 15 days. So whenever there is an issue, all these people get together and find a solution and push whatever that is required to be done.
Nikhil Nigania: Understood. And one last question then. I mean, you have built a very sizable order book for AESL, would capital become a constraint? I understand, I think what you mentioned to Dhruv earlier that you won't bid for anything less than your return threshold. But would capital become a constraint in bidding for new projects given the Rs 60,000 crores work in hand that you already have for transmission?
Kandarp Patel: I don't think that is going to be a problem. Anupam, would you like to take up this .
Anupam Misra: Yes, I'll take that. So, see, the way this works, Nikhil, is that today, we've got about Rs 1 billion of EBITDA. That Rs 1 billion of EBITDA will grow as and when more and more projects

become operational . Our conversion ratio of EBITDA to FFO across our projects is about ~50%. what that means is that the kind of cash flow available for us to reinvest.
When we do these projects, transmission projects are a 3 to 4 year timeline of construction. Some projects are 2 years, broadly 3 years on an average. So, for that perspective, we will have a 3 year capex outlay. That's how the equity and the debt will go. For smart meter, it is 1 year, but then within a year itself, we start generating cash flow, distribution is self -funding.
So if you put all of these three together, we still have a lot of capacity to build and put up more projects. So we will be an active player, but we will be very disciplined in terms of returns.
Moderator: We'll take the next question from the line of Sumit Jain from ASK Investment Managers Limited.
Sumit Jain: I'm just keen to know what is the capitalized asset base in transmission business currently, which is, let's say, March '25?
Kunjal Mehta: So, total all put together, we roughly have around Rs 42,000 crores of asset base, of whic

h
distribution accounts for around Rs 10,000 odd crores. So the balance entire amount is towards the transmission assets.
Sumit Jain: Rs 32,000 crores roughly.
Kunjal Mehta: Yes.
Sumit Jain: And of this Rs 32,000 crores, how much would have got capitalized this year?
Kunjal Mehta: Out of Rs 11,000 crores that we incurred, almost entire got capitalized, except for the Rs 600 odd crores of the smart meter inventory, which did not get capitalized and roughly around Rs

1,000 odd crores, which is still under CWIP .
Sumit Jain: Okay. So roughly closer to about Rs 9,500 crores, to Rs 10,000 crores got capitalized.
Kunjal Mehta: Rs 9,500 crores got capitalized.
Sumit Jain: In transmission business. So, in that segment when I look at what is the number?
Kunjal Mehta: All put together. We incurred Rs 11,400 crores for all three businesses.
Sumit Jain: How much would be in transmission of this?
Kunjal Mehta: Rs 7,646 crores to be precise.
Sumit Jain: So, Rs 25,000 crores to Rs 32,000 crores is what we would have seen in terms of increase in capitalized base.

Kunjal Mehta: Out of the amount Rs 12,000 crores that we are going to incur in the next year, around Rs 9,000 crores to Rs 10,000 crores would get capitalized. And the balance would be CWIP on a progressing basis.
Sumit Jain: Okay. This is in FY26. For FY25, what you're saying is Rs 11,000 crores got capitalized and of which Rs 7,650 crores is for transmission. Is my understanding right?
Kunjal Mehta: Correct. Rs 11,400 crores was the total capex , of which Rs 7,600 crores was in transmission assets.
Sumit Jain: So this is capex . And capitalized amount would be?
Kunjal Mehta: The capitalization, I'll come back to you , but out of Rs 7,500 crores, about Rs 1,000 odd crores would be CWIP. So Rs 6,000 odd crores would be capitalized amount.
Sumit Jain: Got it. So, when I look at our operating EBITDA in transmission business, which is about Rs 1,108 crores, that shows growth of just about 5% year -on-year. If our capitalization is Rs 6,000 - odd crores on a base of, let's say, Rs 25,000 crores, that's about 25%, thereabout in terms of growth, why has EBITDA increased only 5%?
Kunjal Mehta: EBITDA increased from Rs 3,800 crores to Rs 4,400 crores, which is 19% on a full year basis.
Sumit Jain: I'm talking transmission business. Because capitalization can happen during course of the year. So, let's say, if one thinks about this quarter itself versus the last quarter, the entire capitalisation broadly thereabouts would be giving us EBITDA, right? So while EBITDA increase is only 5% in this quarter versus the base quarter last year?
Kunjal Mehta: Correct. Operating EBITDA is 5%.
Sumit Jain: Yes. So logically, this should increase in line with growth in our capitalized asset base.
Kunjal Mehta: Right. So in the entire year, the operating EBITDA has grown 19%, which is in line with the capitalization, which I just completed. Based on the lines gets completed, the capitalization happens, and the tariff starts getting built.
Sumit Jain: So, what you're saying is the right picture to look at is not necessarily on a quarter basis, but full year number is what is the right number?
Kunjal Mehta: Correct. Because there could be overlap. Like in this financial year, there are certain lines which gets commissioned, and billing would get started in the next financial year and so would have happened in the previous financial year.
Sumit Jain: Sure. Got it. And what is the difference between operating EBITDA and EBITDA? Why is EBITDA significantly higher than revenue itself in transmission?
Kunjal Mehta: So the bridge between operating and EBITDA should be because of the EPC businesses, certain treasury income that we add and the trading income that is the trading from the power businesses

that we add. So, all put together, there could be a gap of around Rs 500 crores, Rs 600 odd crores each year.
Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: My first question is on the HVDC, which you won recently at Khavda. What is the timeline for execution? What is the timeline which you expect the financial closure to happen? I'm asking this question because this is slightly larger project, right, compared to others .
Kunjal Mehta: So, the scheduled timeline for the HVDC to get completed is around 48 months, and we are looking to complete the financial closure in the next 6 to 8 months.
Kandarp Patel: So, Mohit, there are two p oles, first pole, 48 months and second in 54 months.
Mohit Kumar: Understood, sir. But I believe that we are facing some issues in general in procuring the HVDC terminals, so the government has allowed 54 and 60 months. Is that not correct? And have you signed the transmission service agreement?
Kandarp Patel: We have signed the transmission service agreement, and we have also placed an order with the

Hitachi matching that require d schedule under the TSA.
Mohit Kumar: So 48 to 54 months, right?
Kandarp Patel: Yes.
Mohit Kumar: And sir, what is the status of bids for HVDC Khavda -Olpad scheme? Is it the bid has the technical bid submitted? And when do you expect the financial bids to open a rough number, a broad guideline?
Kandarp Patel: So that bid submission has not happened. In fact, the final schedule for bidding should come anytime soon now. And that bidding process, we expect it to get completed in another next 3 months right up to the reverse bidding.
Moderator: The next question is from the line of Ashwani Sharma from Emkay Global Financial Services.
Ashwani Sharma: Congratulations for a great set of performance. A couple of questions on the smart meter. So first one is that out of the 10 crores to 11 crores smart meter pipeline that you mentioned, what would be broadly our win target out of that?
Kandarp Patel: We want to maintain market share, which is about 22% to 23%. So we'll target at least 2.2 to 2.3 additional crore meter.
Ashwani Sharma: And secondly, sir, again, on the implementation, so is there a supply chain issue that you envisage due to this U.S. -led tariff announcements? And while implementation, is there a resistance from the residents as far as implementation is concerned?
Kandarp Patel: There has been a resistance , not so great from the residents, but from those vested interest groups. But now things have sorted out in almost all geographies. Last year, when we started, we

deployed smart meter at the average run-rate of about 2,000 meters per day in quarter 1, and when we closed the year in quarter 4, we had an average of about 18,000 meters a day. Currently, we are doing about 27,000 meters a day in the April month .
So now in fact, all those issues relating to public resistance and those deployment on the ground, manpower, the training, the supply chain, now everything has been sorted and there are a lot of traction in terms of implementation from our side. So with th is kind of a number, we are probably the highest in the country who is installing that number of meters in a daily basis.
Ashwani Sharma: Anything on U.S. tariff, sir?
Kandarp Patel: So U.S. tariff doesn't impact us because we are a homegrown utility and no services of us is either getting exported or we are not dependent on any services or goods that comes from U.S. So there is no impact on us.
Moderator: The next question is from the line of Abhiram Iyer from Deutsche Bank.
Abhiram Iyer Congratulations on a good set of numbers. Could you just give out what the debt numbers and cash numbers would be at the different entities, the transmission business, the Mumbai

distribution business and the smart metering business? And if I could also ma y ask what would be the liquidity requirements at each of these entities over the next year, whether it's capex or any refinancing coming up? And if you can help us elaborate a bit on what the company's plans are for these?
Kunjal Mehta: Sure. So as outlined, the plan for next year is close to around Rs 16,000 crores to Rs 18,000 crores of the capex in the next financial year, which comprises distribution of Rs 1,600 -odd crores, which is a self -funded asset, so you don't need debt for that.
Rs 4,000 crores of smart meters since it is also largely funded through internal accruals and working capital lines, immediately, that would be around roughly 50% that would be partially funded through debt and partially through internal accruals and short -term lines. And transmission of around Rs 12,000 crores to Rs 13,000 crores. Generally, we do a borrowing of 70% to 75% of the project cost.
Currently, we have around Rs 8,500 crores of cash and cash equivalents and our net external debt is around Rs 32,000 odd crores. which gives us a net debt -to-EBITDA of around close to 3.2x basis the hedge rate debt , which is at a comfortable position.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to Mr. Kunjal Mehta for closing comments. Thank you, and over to you, sir.
Kunjal Mehta: I would like to thank all the investors and the participants who participated on the call. In case or in case you have any additional queries or clarifications, happy to take that post the call also.
Thank you all for participating in the call.

Moderator: Thank you very much, sir. Thank you, members of the management. On behalf of Adani Energy Solutions Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

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future results to be m aterially different that those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Call: Jul 2025

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28th July 2025

BSE Limited National Stock Exchange of India Limited
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Scrip Code: 539254 Scrip Code: ADANIENSOL

Dear Sir,

Sub: Transcript of Earnings call pertaining to the Unaudited Financial Results of the Company for Q 1FY26.

In continuation to our intimation dated 25thJuly, 202 5, please find below web link of transcript of the Earnings Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June , 2025.

Weblink to access above transcript is as under:

https://www.adanienergysolutions.com/ -
/media/Project/Transmission/Investor/documents/Results -Conference -Call-
Transcripts/AESL_Q1FY26_Earnings -Call-Transcript ---vf.pdf

Copy of the said transcript is also attached herewith.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For Adani Energy Solutions Limited

Jaladhi Shukla
Company Secretary

Encl: As above

Adani Energy Solutions Limited
Q1 FY26 Earnings Conference Call
July 25, 2025

Management: Mr. Kandarp Patel – CEO – AESL
Mr. Kunjal Mehta – CFO – AESL
Mr. Kapil Sharma – Business Head, Transmission
Mr. Pushpendrasinh Zala , Business Head, Smart Meter
Mr. Anupam Misra – Head Group Corporate Finance
Mr. Vijil Jain – Head IR – AESL

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Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Update Conference Call hosted by Adani Energy Solutions Limited. From the Adani Energy Solutions side, we have the following on the call as main speakers. Mr. Kandarp Patel, CEO, AESL; Mr. Kunjal Mehta, CFO, AESL; Mr. Anupam Misra, Head, Group Corporate Finance; Mr. Vijil Jain, Head IR, AESL; Mr. Kapil Sharma, Business Head , Transmission AESL; Mr. Pushpendrasinh Zala, Business Head, Smart Meter , AESL.
As a reminder, all participant lines are in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vijil Jain from AESL. Thank you, and over to you, Mr. Jain.
Vijil Jain : Thank you. Good morning and good afternoon. Thank you so much, everyone, for joining. I just hope that you've got a chance to go through the earnings material uploaded on the website. Just to very quickly explain the flow of the call. So, we will start with an opening remark from the CEO, Mr. Kandarp Patel, followed by a Q&A session and then the closing remarks from Mr. Kunjal Mehta, the CFO.
And if you have any questions, you can join the question queue in advance , so that we can manage the Q&A in a better way. Lastly, let me now hand over the call to Mr. Kandarp Patel, CEO, for opening remarks. Thank you and o ver to you, sir.
Kandarp Patel: Thank you, all investors and analysts, friends for joining this call. We are pleased to share that AE SL has reported another good quarter in terms of financial performance and operational performance, highlighting AESL's strong on -ground execution and focus ed O&M. The company continues to focus on unlocking the tied -up growth through timely completion of transmission projects, ensuring stable performance in distribution segment and also maintaining industry -leading daily sma rt meter installat ion run rate.

I'll give you a few key highlights from quarter 1. So, we secured a new transmission project during this quarter called WRNES Talegaon Transmission Project . We also commissioned three transmission projects in this quarter. One was Khavda Phase 2 Part-A. The second was Khavda Pooling Station. Both these projects are in Gujarat. Those are interstate projects. And the third one is Sangod Transmission Project , which is an intrastate project in Raja

sthan. With this new project, Talegaon project, our under -
construction order book s tands at about INR 59,300 crores.
With the smart meter, in fact, we made significant progress during this quarter on the lines of guidance that we had at the beginning of the year. We installed about 24 lakh meters during this quarter, which has taken cumulative number to 55.44 lakh meters. With this, we are poised to achieve our target o f 70 lakh meters during the current year. So, this was one of the main issue around smart metering installation rate, and now we have been able to achieve this kind of rate successfully over a period of the entire quarter. As far as the capex progress at consolidated level is concerned, this year, we did a capex of INR 2,224 crores as compared to INR 1,313 crores in last year same quarter, which is about 1.7x of the capex that we did in last year's same quarte r. Most of the capex has come from the transmission and smart metering segments . The growth in capex has come from these two segments, whereas distribution capex in AEML has remained stable. Now moving on to operational and financial performance. Operationally, also, we have done exce edingly well. We have achieved a line availability of 99.8%, which has also enabled us to ear n an incentive of INR 29 crores. With these three new projects getting commissioned, our total network -- transmission network now stood at about 26,696 circuit kilometers. As far as the distribution business is concerned, the demand remains stagnant in AEML, essentially due to the early onset of monsoon. However, our Mundra distribution company, the sales growth was 22% year -on-year, which was basically due to an increase in industrial demand in Mundra region.
As far as distribution loss is concerned, we continue to improve our performance. This quarter, our distribution loss in AEML stood at 4.24 % as compared to 5.18 % in the first quarter last year. In fact, with this level, we are one of the most efficient as far as T&D losses are concerned, not only in the country, but we are also comparable with the global benchmark.
As far as smart metering is concerned, as I mentioned, we have already commissioned 24 lakh meters in this quarter, which is making the total installed meter to about 55 lakh meter. Out of 55 lakh meter, 51 lakh meter has already been commissioned , and revenue has started coming from th ese 51 lakh meter s.

As far as the C&I business is concerned, we have been talking that we'll be focusing on this business. Now with all our efforts and team in place, we have commenced that C&I business. Now we have 14 big industrial and commercial customers, aggregating a total load of a bout 717 megawatts that we are catering to. So, you will see a lot of action on C&I front in AESL in the times ahead .
Similarly, in cooling business, we also made a start there. We are building India's largest district cooling facility at Mundra with a capacity of 45,000 tons of refrigeration . So, with that the total capacity that we are implementing currently is 52,000 tons of refrigeration . And we are also talking to various developers, thus you will see significant action in cooling solutions business as well.
As far as the financial update is concerned, the total income has risen by 28%. EBITDA has increased by 14 % year-on-year, which now has crossed INR 2,000 crores. It is INR 2,017 crores as compared to INR 1,762 crores last year Q1. PAT also increased significantly. It increased by 71% year -on-year to INR 539 crores. That was essentially because of the increase in EBITDA and lower depreciation and tax outgo.
The cash profit has also improved significantly. Now , it has crossed INR 1,000 crores this quarter as compared to around INR 900 crores in the last quarter. As far as the business outlook is concer

ned, for all three -four businesses, we see a significant
opportunity, be it transmission, distribution or smart meters. In transmission, we are already having an order book worth INR 59,000 crores. And we also expect bidding of about INR 90,000 crores in the coming time, which includes two large HVDC projects. So, we see a significant opportunity there as well.
As far as distribution is concerned, while we continue to do the expansion or growth in AEML, the way we are doing, we also see opportunity there. There is privatization discussion happening in UP. And also, our second license application for Navi Mumbai came up for hearing last week. So, we see action on that distribution side as well.
As far as smart metering is concerned, we will continue to focus on implementation. And we would want to achieve the number of 70 lakh and more during the current year. And with this kind of exposure and experience, we would certainly want to maintain our market share of about 22 % in future opportunities as well. So, with all

these things, I think in AESL, there is a significant amount of opportunity in all the business verticals, and our team is fully geared up and that can be seen from the results that we will continue to focus on execution and managing those assets well and efficiently.
So now we can go to the Q&A session.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes on the line of Mohit Kumar with ICICI Securities. Please go ahead.
Mohit Kumar : My first question is on the smart meter. I think you mentioned that we have roughly 55 lakh smart meter as we speak. And in the quarter, we did 24 lakh, right? Is it fair to assume that by the end of this year, in this fiscal, we'll have more than 1 crore smart meter installed? And can you please help us with the revenue run rate which you expect from the smart meter in FY '27 based on this 1 crore installation?
Kandarp Patel: Mohit, you are always the opening batsman in our session. With this execution run rate, we are fully confident that we will be going beyond 1 crore smart meter installation by the time we complete this financial year. In fact, we could have done a little better in the current quarter, but the unex pected rain in May affected our progress. But even with that, we continue to have a daily average of about 27,000 meters. And with that, we will be easily completing that 1 crore target that we have taken for ourselves.
Mohit Kumar : And sir, the revenue run rate from the smart meters in FY '25?
Kunjal Mehta: Yes. Mohit, so we continue to give the guidance that the revenue would be based on the meter month based on the number of meters as and when they get installed. So roughly, each meter month would give us a revenue of about INR100 per meter per month. Even in this quarter, the 55 lakh meters actually translates to about 106 meter month s. And 106 meter month s -- on a meter month concept would translate to a revenue of about INR 115 crores in this quarter.
I mean we are not reporting segment numbers for the smart meters as of now . But going forward , we intend to do that. But for this quarter, on a meter month basis, the revenue earned is INR 115 crores. Under the Ind -AS and the accounting treatment, the revenue classification is different. But from a conventional perspective, I can share that INR 115 crore is the per meter per month revenue recorded in this quarter.
Mohit Kumar : And sir, is there any update on the smart meter tendering for Tamil Nadu? Has it happened? Has it completed?
Kandarp Patel: No. So, Tamil Nadu bid has been getting extended. In fact, they also revised the bid document a couple of times. Now , they are again planning to go ahead with the bidding process. But still, the Tamil Nadu bidding has not happened.
Mohit Kumar : Three question

s on my side, on the HVDC pipeline like Mumbai, Aarey to Kudus , I think we're working on Phase 2 , right? Are you expecting this work to commence somewhere in this fiscal or next fiscal? Or are you still waiting for the approval?

Kandarp Patel: So as far as Mumbai HVDC is concerned, in fact, the project is progressing very well, and we expect to commission the Mumbai HVDC project during this financial year itself which is Phase 1. We have already requested STU for evaluating whether Phase 2 will be required or not because in their scheme of things, it will be required.
So now we are asking them as to when STU thinks that, that project should be operational. Now basis the study and analysis, that project will be progressing ahead. But as of now, we won't be able to tell you as to when that approval will come. But that project certainly will come because they have already taken that project into their long-term plan.
Mohit Kumar: Understood, sir. And the last question on the revenue side for this quarter for the transmission. Sir, I think we had last year, we added one project in T BCB. And last quarter, we added 3 more, right? So put together, I think we have added around 38 billion, 39 billion of asset in Q1 FY '26. But the revenues are flat in this quarter this quarter for transmission. Can you explain the anomaly what led to that?
Kunjal Mehta : No, you are right. So basically, the key reason for the flat revenue is -- so one is that, of course, as the capex completes and the project gets commissioned. This quarter, we

have done an additional transmission revenue of INR 66 crores. But what happens is that in certain assets, which are the traditional cost -plus assets, there is a depreciation factor.
And since the depreciation reduces, the cost-plus asset or the revenue also translates into a lower number. So therefore, in case of certain cost -plus assets, the revenue declined, which in this quarter, unfortunately, the transmission earnings on account of new projects got commissioned off -set that revenue.
So, INR 66 crores of new revenue which was there on account of new projects that got completed, but it got offset by the higher depreciation charge on the cost -plus assets, which are historically there with the company.
Moderator: Next question comes from the line of Anuj Upadhyay with Investec.
Anuj Upadhyay: Sir, of late we have been listening to a lot of concerns related to the commissioning of the transmission project, which is leading to delay in the execution of renewable capacity. Just want to get your thought process on this, what is delaying the project? How we are progressing in case of Khavda and other power projects over? And what are the major bottlenecks which are leading to this kind of a delay?
Kandarp Patel: So, Anuj, you must have noticed we commissioned 2 transmission projects relating to Khavda in this quarter. And in fact, both the projects got commissioned prior to their

scheduled date of commissioning. So as far as our projects are concerned, we are progressing well. In fact, in all the projects, we are more or less on time, except 2 projects, which is NKTL and WRSR. NKTL, we know the reason. But that project and even WRSR is also on the verge of commissioning. So, all our projects are going on time and schedule.
Even HVDC, we are going to commission in this year itself. That will be a landmark for Mumbai region. No project has got commissioned in such a short time frame in Mumbai region.
As far as renewable evacuation is concerned, there you are right. There are certain projects of other developers got delayed. It has impacted evacuation of renewable power, both in Rajasthan region as well as in Khavda region. So, the main difficulty which is being faced in the sector is obviously th

e equipment. But nowadays, the larger issue is not equipment, but it is the ability of skilled manpower for stringing and erection of the tower.
Anuj Upadhyay: Got it, sir. So, we don't face concern this majority of the project is what you are trying to say?
Kandarp Patel: Yes. So, we have set up our project implementation in such a way that we don't face these challenges. We are also trying various ways of optimising these operations. So, your dependability on manpower reduces there. And we are also undertaking a lot of training to create new pool for such manpower requirement.
Anuj Upadhyay: Got it, sir. Secondly, sir, you mentioned about the upcoming INR 90,000 crores of an opportunity in the transmission bids, which are lined up. Can you set a timeline by when can the tender s be floated? Also, you mentioned 2 HVDC projects are also included in this INR 90,000 crores. What would be the quantum of this, sir?
Kandarp Patel: So, this INR 90,000 crores project should get bid out in around one year time. And 2 HVDC projects are one for Khavda, that is Khavda -Olpad and another one is for Rajasthan.
Anuj Upadhyay: And the value? Sir, value for it?
Kandarp Patel: So, Rajasthan project would be around INR 25,000 crores and this Olpad would also be around INR 20,000 -odd crores.
Anuj Upadhyay: Okay. Okay. And lastly, sir, on the smart metering. So, I believe we still sit at around close to 2.2 8 crore meters order book, which we have in the smart meter space. And our target was to reach it -- I mean, scale it up to around 6 crores meters over the next

2- or 3-years kind of a timeline . So, any update or status on that because if the projects are not getting added, I mean, the fresh orders. So, in that case, how do we target to attain that 6 crores meters mark?
Kandarp Patel: So, Anuj, the fact remains that still about 12 crore meters are to be bid out. There are

many states who has not taken an initiative. We feel that once the positive results from various states where smart metering has been being implemented -- start flowing i n, probably those states will also take up those smart metering projects.
Meanwhile, what we are doing, we are focusing on our execution. So, we wanted to finish as early as possible our existing order book. So, this year, we will at least complete 70 lakh and reach to 1 crore plus meter. And next year, we plan to complete the balance part. So, we are confident that during this period, 1.5 years, the states which are pending for bidding, those all states will move ahead , and the opportunity will come up.
Anuj Upadhyay: Okay, sir. And which are these states, sir, who are likely to come up for the smart meter bid in the near term or the likelihood for which would be more positive?
Kandarp Patel: So, part of the Madhya Pradesh, Telangana, Karnataka, Tamil Nadu, those are the big states which are still having a smart metering opportunity.
Moderator: Next question comes from the line of Dhruv Muchhal with HDFC AMC.
Dhruv Muchhal: Sir, continuing the Mohit's question on transmission revenue, despite commissioning, we are not seeing that run rate. So, you mentioned that there is a n INR 66 crores drag because of the depreciation adjustment as per the regulatory accounts. So, is that correct, sir?
Kandarp Patel: INR66 crores is the addition on account of new project that got commissioned. But that got offset on account of the depreciation.
Dhruv Muchhal: So broadly INR60 crores or INR70 crores will be the depreciation impact on revenue?
Kandarp Patel: INR 58 crores to be precise on depreciation and INR 66 crores on account of increase in revenue on account of new projects coming.
Dhruv Muchhal: Okay. So, if my understanding is right, this does not impact your PAT. It just impacts your EBITDA and revenue because your depreciation is lower, your EBITDA is

also
lower, your revenue is also lower, correct?
Kandarp Patel: Correct. Correct.

Dhruv Muchhal: And sir, this impact should be for the full year or part of that was already there in the base -- I mean, in FY '25 and this part of it is continuing? For the next quarter it will.
Kunjal Mehta : Yes. Next quarter, you will see all the projects which were commissioned during the last 3 or 4 quarters, full revenue will start coming in during the future quarters. So therefore, this will not repeat in the coming quarters.
Dhruv Muchhal: Yes. I mean, on a Q -on-Q basis, it will not reflect. But Y -o-Y basis, it will still reflect?
Kunjal Mehta : Correct.
Dhruv Muchhal: Got it. And sir, are there any other meaningful such projects where there is a regulatory adjustment pending? I mean probably I think 12 years get over and hence after that, you see a big dip in depreciation. Is that right?
Kunjal Mehta : So, these are there in all cost -plus assets , it will happen that way only. So, this was happening in the earlier 2 lines, which were there where 12 years got completed. So, because of that, the depreciation impact got. Now most of the projects are on tariff base. So, you will not see such type of impact going forward.
Dhruv Muchhal: Okay. So, majority of the drag is already behind now as we have completed their 12 year. And sir, I wanted to -- probably you mentioned about C&I that you have started. I wanted to understand in deep. I'm not sure if that's the time. But if you can share how the ec onomics for the C&I business will work for you? How do you plan to scale it up? What load that you are targeting? What kind of customers that you're targeting? And yes, some thoughts there.
Kandarp Patel: So, Dhruv, essentially, the concept here is that we will provide an end -to-end energy solution to the customer. And we will take full responsibility of not only cost but also reliability. And creating a right mix for that customer in such a way that they achi eve their ESG target as well as their cost is optimized.
So, we started with our cement business, and we did an excellent contribution there in terms of reduction in energy cost. Now we have started with third parties as well. And there is total 13 consumer where we are providing these services, 14 industrial customers in fact. And the total load currently is about 7 17 MW .
The bouquet of services will increase as we will contract out that energy storage capacity , then our ability to serve their RTC load will increase significantly. And once we have that storage capacity contract ed out with us, we'll be able to scale it up very fast because we will not only be able to offer them a larger share of green power as

compared to the existing distribution supply, but we will also be able to reduce their cost. So , our target is to achieve about 7,000 megawatts in another 5 years.
Dhruv Muchhal: And sir, your economics is the cost at which you purchase minus the cost at which you sell? So, you do a PPA with your -- you do -- I'm not sure buying agreement with some of the developers, including with the developers and you have a selling price, probably fixed selling price with your customers. So how does it work?
Kandarp Patel: There is one fundamental difference. Normally, when you talk of trading, usually, you must have seen through back -to-back contracts. What we will be doing is aggregation of the capacity. And from aggregate capacity, we'll be offering a customized solution. So, in our case, we will hardly see any back -to-back or a mirror contract, whereby you only earn trading margin. So that will be a significant difference there.
Dhruv Muchhal: So basically, like a DISCOM, how our DISCOM operates, it's kind of a similar structure for C&I customers?
Kandarp

Patel: Correct.
Dhruv Muchhal: Got it. And sir, the price at which you sell to the customer, is it a fixed price or it changes -- is it a discount to what the alternate cost, let's say, for example, the customer could be buying from a DISCOM. So how does the price move?
Kandarp Patel: So, it depends on the customer requirement. There are certain contracts where we commit upfront price to them. There are certain customers who wants a solution where the price is linked to distribution companies' tariff and we are open for both.
Dhruv Muchhal: Sir, you see largely in terms of the scale up because 7,000 MW is a large number over 5 years in context of the C&I market that is why. The open access rules, the restrictions by DISCOMs, the issues that they used to raise earlier, I'm not sure banking rules and all those, they are reasonably sorted out for you to sca le up?
Kandarp Patel: Yes, Dhruv all those complications we will manage. And that is what the differentiation between what we are offering in C&I as compared to all other players. Now our having exposure of running a distribution company, running a green project and all that regulatory knowledge that we have accumulated over a period of time. We will leverage those resource and knowledge and provide them -- because at the end of day, those customers won't be able to understand this kind of complexity in our power sector. And there our role will be significant. For them, we will be one point solution, and we will do everything for them.

Dhruv Muchhal: Got it. And sir, just last question on this point is will most of the customers be interstate connected customers, I mean, very large interstate connected, or you can also work with intrastate customers?
Kandarp Patel: We can also work with interstate and intrastate as well.
Dhruv Muchhal: Perfect, sir. Great. Thank you so much. That's very helpful. Thanks, and all the best.
Moderator: Thank you. Next question comes from the line of Aditya Trivedi with Nepean Capital. Please go ahead.
Aditya Trivedi: So, the guidance for FY '26 as far as the transmission business capex is concerned was INR12,000 crores to INR13,000 crores. And this quarter, we've done about INR1,025 crores of transmission capex, which is nearly 9% of the targeted capex. So, are you on track to meet the targeted capex for the year?
` And also according to the CEA data, the quantum of transmission line addition in the first quarter of FY '26 was less than 20% of the planned additions. So, what have been the reasons for a decline in capacity addition for the industry?
Kandarp Patel: So, Aditya, we are more or less on the track. But, yes, some impact has happened because of unexpected monsoon in May. But we have realigned our plant, and we are confident that we will fulfil our guidance for the current year. As far as the performance at the country level is concerned, you will see almost every year, the addition during the first quarter is much less as compared to the last quarter of the year. That is the reason one.
And, obviously, rain has affected all other players as well. Besides that, the shortage in manpower essentially for erection and stringing that has also caused the dip in the performance in the sector.
Aditya Trivedi: Okay. And as far as the transmission tender pipeline stands at about INR 90,000 crores.

So, what is your target win rate and are you seeing more competition now from private players?
Kandarp Patel: I don't think competition landscape will change either positively or negatively much during the year. In fact, the re are reason s why intensity should reduce , because the project tender pipeline in the sector is a good number. In fact, with almost all players there are sufficient capacity available for implementation.
And we will also be very, very disciplined as far as taking up a

new project is
concerned. We will be taking those projects where we feel confident of executing in

time, both in terms of execution and from OEM supply side. And also, that is within our financial metrics and parameters that we have decided for ourselves.
Aditya Trivedi: Got it. And one last question is that AEML's operating EBITDA declined 7.6% year -on-year, and this is despite improved distribution loss metrics. So, what are the underlying cost pressures or have there been some regulatory changes driving this and is this decline structural or transitory?
Kandarp Patel: So, the distribution loss whatever improvement that I do in distribution loss, it doesn't contribute to my profitability. The advantage of reduction in distribution loss goes to a customer.
Aditya Trivedi: Okay, got it. Thank you so much.
Kunjal Mehta : But just to add, I mean, on a year -on-year basis, if you recall last year, we had Dahanu power plant. This time, we don't have it. And that's the reason -- one of the reasons why on a year -on-year basis, you will see a flat growth. So, despite there being a growth -- underlying growth on account of addition of capex because Dahanu power plant not being there this quarter, that's the reason why you have an operating revenue flat even in distribution business.
Aditya Trivedi: Okay. Thank you.
Moderator: Thank you. Next question comes from the line of Nikhil with UTI Mutual Funds. Please go ahead.
Nikhil: Just a couple of questions. So earlier, did you mention what is the contracted C&I capacity that you have as on date?
Kandarp Patel: As on date, we have 7 17 megawatts.
Nikhil: 717 megawatts. And what would be the ticket size of the customers of the average ticket size?
Kandarp Patel: So, these are ranging from 5 megawatts to 150 megawatts.
Nikhil: And sir, I mean, 2 years back, we have seen you apply for parallel licensing -- parallel license across a few cities. And all of a sudden in the last 2, 3 months, we have seen the activity pick up over there. So, I mean, can you just guide us as to what is happening in the space and what is the realist ic timeline for this parallel license is getting awarded?

Kandarp Patel: So we applied for parallel license in Maharashtra as well as UP and in the Gujarat expansion of our AEML license area. The thing progressed well initially in Gujarat and Maharashtra and then that remained pending for quite a long time with the commission. In last week, MERC held a public hearing. Now the order is risen wh ich is the last step in license grant. So, we see that there should be a decision from MERC very soon.
As far as other states are concerned, we are not sure about timeline because it is pending with them since long time. But from a legal standpoint, I don't see any opportunity -- any issue because this is -- our application is in line with legal requirement . So someday, they will have to clear that application. But on timeline I'm not sure as to when that can happen.
Nikhil: Understood. I mean -- and how would this parallel license exactly work? Will you be using existing infrastructure and paying some commission or would you be setting up your own infra?
Kandarp Patel: So, we must -- the legal requirement is that when you become a second license, you have to set up your own network. You can't use the existing network. And accordingly, when we applied for Navi Mumbai, we gave a detailed rollout plan to MERC as to

how are we going to set up and expand our network in Navi Mumbai area. And we gave a rollout plan for 5 years, and we mentioned as to how we will progress from area to area wise.
Nikhil: Okay. So, you won't be getting into existing areas, but likely to expand in newer areas basically targeting the existing areas?
Kandarp Patel: Sor

ry.
Nikhil: So, you are basically targeting the existing areas, but maybe you would like to get into the undeveloped areas basically there is no existing path?
Kandarp Patel: No, we will be going in all the areas -- in the entire distribution license area that will be granted. And we will develop a network in that area gradually area by area. So we will pick up one area, complete the entire network there, then we'll go to anoth er parcel, then we will go to another parcel. That is how we'll be doing.
Nikhil: Sure, sir. I have a few questions regarding the economics of it, but I will get back. Thank you.
Moderator: Thank you. Next question comes from the line of Jalaj Manocha from Svan. Please go ahead.

Jalaj Manocha: Thanks for the opportunity and congrats on scaling up the smart meter business so well. Just wanted to understand the unit economics around it. Could you please explain the unit economics, what is the initial capex and who pays and how long is the tenure?
Kandarp Patel: So, the initial capex is roughly in the range of around INR 4,500 to INR 4,800 per meter, and we get based on the tariffs which we have quoted which is about INR 11,000 over a 3 -month period.
Jalaj Manocha: Okay. And the eventual payment will come from the respective -- from the government regulator, in this case, the DISCOM or what, who pays eventually for it?
Kandarp Patel: It is paid by the DISCOM, but it comes directly from the customer's wallet as the consumers who are paying to the DISCOM on a monthly basis for the power which they are consuming from that wallet itself, it comes directly into our account.
Jalaj Manocha: Okay. So, the payment risk is not there as such in this front?
Kandarp Patel: Correct.
Jalaj Manocha: Got it. And sir, on the -- just one other part was the C&I. I just wanted to understand, would we be keeping the trading margin in it or how does it work in it? Because we would do a back -to-back arrangement with the Ge nco is what my understanding is as you explained. So, could you explain?
Kandarp Patel: Jalaj, what we will not do is a back -to-back arrangement. We will have to offer a customized solution to each of the customer, and it would be very, very different from customer -to-customer. So, the model here is we will contract different capacity. We will aggregate it and make a customized solution for each of the customer from that aggregate capacity.
And when you are procuring power, there is a huge amount of opportunity created when you aggregate the capacity, which is not there in a back -to-back basis. And essentially, we genuinely feel that when you are doing a back -to-back arrangement, you are hard ly adding any value there.
Jalaj Manocha: Understood. Thanks. Fine, sir. Thank you and best of luck.
Moderator: Thank you. Next question comes from the line of Shirom Kapur with Jefferies. Please go ahead.
Shirom Kapur: I just wanted to ask on your transmission business, what are your capitalization targets for FY '26 and FY '27?

Kandarp Patel: So, the capitalization essentially would mean that once the project gets completed, the underlying asset gets capitalized. So, this year, roughly around INR15,000 -odd crores of projects are likely to get capitalized, which includes the largest one being the Mumbai HVDC projects.
We will continue to maintain that run rate of close to around INR15,000 crores, INR16,000 -odd crores of capitalization to get completed each year. As you know that the company has close to INR60,000 crores of projects, which are to be completed in the next 3 to 4 years.

Shirom Kapur: Understood. And from this Mumbai HVDC, how much is the value of this project specifically?
Kandarp Patel: INR 7,000 crore .
Shirom Kapur: Got it. And just on your C&I bu

siness, I just want to understand how much is the
revenue and profit contribution in this quarter and in FY '25 to your overall business?
Kunjal Mehta : This quarter, it's not that significant. In fact, this was the first quarter where we actually started earning. But on a number basis, it's around INR18 -odd crores, which was
earned during this quarter, largely from the C&I business.
Shirom Kapur: Okay. Got it. Thank you so much.
Moderator: Thank you. Next question comes from the line of Dhruv Muchhal with HDFC.
Dhruv Muchhal: I missed -- in interstate market, it seems the bidding activity has slowed down a bit. Is it just because you're absorbing all the bids or because of the -- I'm not sure because of
the execution challenges, they are waiting and watching. So just trying to understand
what's causing this somewhat of slowdown.
Kandarp Patel: Dhruv, the bidding slowed down not because of execution challenge s or anything else, but there were a few deliberations happened at CEA and CT U level that was regarding
some regulatory issue. And also, they wanted to have a relook at the way the
transmission system has been planned and designed. So, they wanted to review it. And
having done that, now you will see that bidding happening the way it was happening
earlier.
Dhruv Muchhal: So, no major change in terms of the path that the system was taking earlier and now after the review of the design?
Kandarp Patel: Yes, yes. No major change. In fact, if I can share that, they undertook an evaluation whether HVDC should be implemented, or a battery storage should be implemented.

Having done the detailed study, they decided that the system that they have planned,
they will continue with that. And therefore, now you will see the bidding happening.
In fact, one HVDC bid -- initial bid has already been submitted. Now the bids are unde r
technical evaluation. And maybe in a months' time, they will do the reverse auction.
Moderator: Next question comes from the line of Mahesh Patil with ICICI Securities.
Mahesh Patil: Sir, my first question is on the Khavda, HVDC. So, this is the one you mentioned that the bids have been submitted, right? And the awards should be done in the next 1 or 2
months, right?
Kandarp Patel: Correct.
Mahesh Patil: Okay. And sir, on the other opportunity at the interstate level, say Maharashtra, there is coming that they are doing some large amount of transmission capex , including
HVDC. So how do you see the opportunity? Any discussions going on that side?
Kandarp Patel: So, Mahesh, not only Maharashtra and as we discussed over various calls, but we also see a lot of opportunities coming now from state sector. So, Maharashtra has already
started. 2 projects got under auction in last month. We see a couple of more projects in
a month's time. Similarly, Karnataka also has come out with a few projects under
TBCB. Even Rajasthan has approved a significant amount of transmission project
under TBCB. So, we see a lot of projects and opportunities coming for transmission
from various states now.
Mahesh Patil: Okay, sir. And sir, one question is on the C&I side. Typically, what is the lock -in period for the contract that you have with the customers?
Kandarp Patel: So currently, few contracts are for 13 to 14 months. And there are 2, 3 contracts, which is a long -term contract, which goes up to 10 years as well.
Mahesh Patil: Okay, sir. And sir, last question is on the 3 other projects apart from Mumbai HVDC that you are planning to commission this year. Any timeline next 6 months or
something that you are planning to -- these projects are expected to come online?
Kandarp Patel: So, the way things are progressing, we should be commissioning somewhere in the later part of January or February, but before this year end for sure.
Mahesh Patil: Okay, sir. And sir,

lastly, on the Mumbai HVDC, the part 2 that you mentioned Phase
2, any estimate about the cost or let's say, comparatively through the earlier phase of
Rs 70 billion? Do you have any estimate?

Kandarp Patel: So, it would be very, very premature even to find out the cost today , because we are not pretty sure as to what is the kind of configuration that they will decide. Besides the HVDC, there might be connected GIS or substations. So once the scope is clear, then probably we'll be able to figure out as to what would be the esti mated cost. But obviously, it will be around INR 10,000 crores considering the current market situation in HVDC market.
Moderator: Next question comes from the line of Bha vik Shah with Inve xa Capital.
Bharat Shah: So, you mentioned in your opening remarks about the 45,000 ton refrigeration (TR) cooling facility at Mundra. Can you throw some light on that business? What is the opportunity? What are we looking at? And what exactly could be the potential?
Kandarp Patel: So, Bhavik this concept itself is gaining a lot of traction in the country. So theoretically, all the AC requirements can be converted into district cooling. So, it is certainly a humongous opportunity. But this concept is very, very useful and could be very efficient when cluster development is happening and of a mixed use. So, take any development where multiple buildings of residential, commercial and other things are developing.
This could be a very, very good concept because you get cooling as a service. You don't have to invest into those AC and managing and maintaining those AC. And when you have an aggregation and this big size of plant, which is distributing cooled air, you also get a lot of optimization and efficiency.
So essentially, when you have a district cooling plant, your energy efficiency will improve by at least 20 %. So, this concept we strongly feel will get a lot of traction in coming times in India as well. Like in Middle East and other developed countries, the district cooling is a normal phenomenon there.
Bhavik Shah: Understood, sir. And sir, has it anything to do with the data centers which we are building? Are we going to use it there? Or how is it?
Kandarp Patel: No, the data center can also be one of the end uses, but it could be anywhere, like so any new development that is happening, the district cooling could be a good concept.
In fact, we are talking to various developers, a big developer in Pune, Hyderabad as well as Chennai, where cluster development is happ ening. So, the things have progressed very well there. And we see that getting replicated everywhere else as well.
Bhavik Shah: Understood. Sir, regarding the depreciation on old assets, sir, so this trend will continue, right, for the projects or assets which we have? So eventually, the new income will continue to get offset going ahead, right?

Kunjal Mehta : No. So, this will not continue to happen because earlier the projects were awarded on a cost -plus basis. Now most of the projects are awarded on a fixed tariff basis.
Bhavik Shah: Okay. Understood. And sir, like how do we see the impact of the ISTS charges? Like will we be impacted? Or how are generally our terms with the customer?
Kandarp Patel: Are you talking about C&I or transmission?
Bhavik Shah: Sir, both.
Kandarp Patel: Okay. So as far as transmission business is concerned, we have no connection with the ISTS tariff, which is being charged to distribution company or customer. Essentially, how it operates is that all the transmission charges of all interstate transmission assets get aggregated and that aggregated costs get allocated to all the customers.
So, depending on how much new transmission capacity is getting added, how many assets are getting depreci

ated basis that the interstate transmission charges keep on varying. So , as far as transmission business is concerned, there is no linkage with the ISTS transmission charges being charged to distribution company or end consumer.
In the C&I, obviously, it can impact. But now with the new transmission charge regime in place, which is a point of draw means, so there irrespective from which source you are taking power, the transmission charges payable remains the same. In th at sense, whatever that average transmission charge works out at a country level, that will be applicable.
Moderator: Next question comes from the line of Vishal Periwal with Antique Stockbroking.
Vishal Periwal: Sir, in the call, you did mention like in the transmission side, we are seeing opportunity. So out of this INR 90,000 crore worth opportunity, which you mentioned, so what would be like the breakup between center and state out there? And sorry. And second parallel to that, this opportunity -- I mean, are you seeing moving more towards the

state in the last couple o f quarters and how exactly it is?
Kandarp Patel: In this INR 90,000 Cr, almost 90% currently is from interstate. In terms of state, t here are only few state s that has recently started. But you are right. As we move forward, we see the pie of interstate project getting bigger as compared to what we have today.
Vishal Periwal: Okay. Got it. And then just from an economics point of view, the central -- interstate and the state one, does this really differ when we are bidding and when we start earnings from these assets?

Kandarp Patel: No, I don't think it differs because conceptually both are same. What only differs is your counterparty. In the state, it is STU, whereas in interstate, it is CTU.
Vishal Periwal: Okay. Got it. And in terms of even the numbers of players who are bidding, they are largely limited because in central, we do have seen like a limited set of players?
Kandarp Patel: So state, it will be further less number as compared to interstate.
Vishal Periwal: Okay. And then one last thing. Sir, in terms of segmental numbers that we report, where do we club our smart meter business?
Kunjal Mehta : So, smart meter currently forms part of the others. We are not showing separately smart meter as a segment because it still is slightly nascent. Going forward, as I mentioned earlier, smart meter will also be shown in a separate segment.
Vishal Periwal: Okay. So, in others, when we see a sharp increase on a year -on-year basis, so that is primarily driven by -- as we are commissioning more smart meter? Or is there any other revenue that is coming -- forming part of the others?
Kandarp Patel: So that is because of the SCA income , as the construction income increases, the service concession arrangement income also increases.
Vishal Periwal: Okay. And then will that be a number handy with you, sir? I mean this could be how much the construction service or capex margin ?
Kandarp Patel: So, this quarter, the number was INR178 crores, INR 133 crores on account of transmission assets and INR 45 crores on account of smart meter assets.
Moderator: Next question comes from the line of Vinod with Phillip Capital.
Vinod: Sir, I just wanted to ask you about this in the recent NCT - minutes of the meeting, they have stated that for every HVDC project, you should have a comparable calculation with BESS . But are these two strictly comparable in that sense? Can B ESS replace a transmission line? And even if you have a BE SS, you still require transmission capacity, right, to transmit that power from the battery storage systems?
Kandarp Patel: So, answer is both yes and no. Now you can certainly reduce requirement of additional transmission capacity when you have a battery storage co -located with a renewable generator. So today, if you see

that if I have a 10,000 megawatt of solar power plant, I will require a 10, 000 megawatt equivalent transmission capacity.

But if I store half of the capacity, then probably I might require 5,000 megawatts because solar generates during 8 hours where the 10,000 megawatt is being used and rest of the time, it is not being used.
So, if you have a battery storage, you can obviously use that capacity -- transmission capacity during non -solar hour. So, it can certainly reduce the requirement of transmission capacity. But it is straightforward -- your point is also valid that to a certain extent, you will require the transmission capacity, may not be to the fullest extent, but obviously, a little more than what capacity comes after consideration of battery storage.
Vinod: Okay. But it will reduce the demand for high -voltage system. Would that be a right way to look at it?
Kandarp Patel: Yes. It can optimize the requirement for transmission system -- new transmission system at least.
Vinod: And sir, the other thing is, I think the NCT also calls for, I think, technology -agnostic HVDC project now. How would that work? Because ultimately, who decides whether it should be VSC LCC ? Is the developer or it is NCT?
Kandarp Patel: So currently, it is being decided by the planner. So , it is basically NCT. There is a discussion around this point that should it be kept open and leave it to developer to decide as to which technology will be better for -- given the transmission requirement.

Vinod: No. But now they are saying it will be agnostic, and the developer gets to bid, right? You can bid either on an LCC costing or a VSC costing depending on.
Kandarp Patel: It has not happened so far. That's under discussion.
Moderator: Next question comes from the line of Anuj Upadhyay with Investec.
Anuj Upadhyay: Just to get an update on the UP DISCOM side, where exactly are we in the stage of this tender, where the bids have been submitted and when we can expect the final outcome to be out? Secondly, there's a lot of buzz around that the DISCOM has been spread int o price circle. So, any update which you can provide would be helpful, sir.
Kandarp Patel: So, Anuj, by this time, the RFP should have come out, it has yet not come out. We expect that RFP to come out soon. And then those bid submission and evaluation, and award will happen. So, what we have understood is the discussion is going on between UPRC and government of UP on certain issues relating to privatization. Once they have a final decision, they should come out with an RFP for initiating the bidding process.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Kunjal Mehta for closing comments.
Kunjal Mehta: Thank you all for taking out the time to attend the call. Just to remind anybody, in case because of the paucity of time, if we have not answered any clarification or any questions, we are just a phone call away. You can reach out to us for any additional information. Thank you all. Thank you once again for the call.
Moderator: Thank you. On behalf of Adani Energy Solutions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2025

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31st October 2025
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Dear Sir,
Sub: Transcript of Earnings call pertaining to the Unaudited Financial Results of the Company for Q2 & H1 FY26.
In continuation to our intimation dated 28th October, 2025, please find below web link of transcript of the Earnings Call on Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September , 202 5.
Weblink to access above transcript is as under:
https://www.adanienergysolutions.com/ -
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Copy of the said transcript is also attached herewith.
Kindly take the same on your records.
Thanking you,
Yours faithfully,
For Adani Energy Solutions Limited
Jaladhi Shukla
Company Secretary
Encl: As above

Q2 & H1 FY '26 Earnings Conference Call
October 28, 202 5
Management: Mr. Kandarp Patel – CEO – AESL
Mr. Kunjal Mehta – CFO – AESL
Mr. Kapil Sharma – Business Head – Transmission
Mr. Pushpendrasinh Zala – Business Head – Smart Meter
Mr. Vijil Jain – Head IR – AESL

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This document may contain “forward -looking statements” - that is, statements related to future, not past, events. In this context, forward -looking statements often address our expected future business and financial performance, and often contain words such as “expects,” “anticipates,” “intends,” “plans,” “believes,” “seeks,” “should” or “will.” Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual future results to be m aterially different that those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Moderator: Ladies and gentlemen, good day and welcome to Q2 and 1H F Y26 Earnings Conference Call hosted by Adani Energy Solutions Limited. From the AESL side, we have the following on the call as main speakers, Mr. Kandar p Patel, CEO , AESL, Mr. Kunjal Mehta, CFO , AESL, Mr. Kapil Sharma, Business Head , Transmission, Mr. Pushpendra sinh Zala, Business Head , Smart

Metering, Mr. Viji l Jain, Head IR, AESL. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vij il Jain from AESL. Thank you and over to you, Mr. Jain.

Vijil Jain: Thank you so much. Hello, everyone. A warm welcome to the Q2FY26 call. I hope you got a chance to go through the earnings material which was uploaded on the website . Just to explain the flow of the call, we will start with an opening statement from the CEO followed by the Q&A and, of course, closing remarks from the CFO. In case you have any questions, please feel free to start joining the question queue in little advance so that we can better manage the Q&A. Thank you and over to you, KP sir, for the opening statement.

Kandarp Patel: Good morning and thank you to all investors and analysts for joining this Q2 call of Adani Energy Solutions Limited. Before I hand over to Kunjal for giving a quarterly operational and financial update and half yearly update, I wanted to touch upon two, th ree important points. Those are essentially in relation to business and sector outlook.

So, we currently have about INR 60,000 crores of order pipeline for transmission project. Similarly, we have a total revenue upwards of INR 27,000 crores and INR 14,000 crores of capex in smart metering business and within the distribution segment, we do every year about INR1,600 to INR1,800 crores of capex. In the first half, you might not have seen very significant uptick in EBITDA, though it's a fairly good number, but the major contribution will come from second half because we are looking to commission at least three transmission projects, which will be of the order of more than INR12,000 crores.

Similarly, we will do the capex ramp -up in distribution. Normally, distribution capex happens in the second quarter. So, we'll see a lot of momentum in distribution capex as well and that gets capitalized immediately because that's the nature of capex, it's basically a maintenan

ce capex.

Similarly, in smart metering, we have gathered a good amount of momentum. We have so far installed about 42.5 lakh meters in the first half, and we will cross one crore meter installation by end of year. So, all in all, we will capitalize about INR17,000 to INR18,000 crores of capex, which will contribute about INR2,800 crores of EBITDA on an annual run-rate basis.

So, you will see those numbers flowing in next half year on a run -rate basis . And similar kind of numbers will continue with a growth every year for at least three, four years, on the basis of the order pipeline that we have. The other important thing that I wanted to highlight was there were two exceptional items in the financials.

Last year, we had D ahanu plant in AEML Mumbai . So, when you compare the distribution business profitability and EBITDA, the D ahanu was included, this year it is not there. The contribution of D ahanu EBITDA was about INR 92 crores.

Similarly, in AESL consolidated profit, there was a one -time exceptional item last year of deferred tax of about INR 314 crores, which is not in the current first half. So, when you compare, you can take care of that detail and compare accordingly . Over to you, Kunjal .

Kunjal Mehta: Sure, so just giving you certain key highlights of the business for the quarter two or for the first half year, followed by certain key updates on the financial front. So, in the first half of FY 2026, we successfully commissioned three transmission projects, which is K havda Phase -II, Part-A, Khavda Pooling Station , which we call KPS -1 pooling station and the Sango d transmission line. All these three were completed during the first half.

With the recent project wins, now the company has a transmission ordering construction pipeline at about INR60,000 odd crores. And with a smart meter order book of 2.46 crores, which has a revenue potential of INR29,000 crores. On smart meter business, our installation or deployment of the smart metering continues.

And today now we have reached a total of 73 lakh meters, which have been installed. Our Mumbai utility, that is AEML, continues to generate surplus. And based on that surplus, we continue to delever the balance sheet of AEML.

During the last quarter, we bought back $44 million of the USD dollar bonds. This is in line with our efforts to reduce our cost of capital and increase the debt maturity, which is currently seven and a half years. On the capex front, we have delivered a consolidated capex of INR5,976 crores in the first half, which is one and a half, 1.4% increase over the previous financial year.

Further, on the O&M part of the transmission business, our availability continues to be very robust, which is 99.7% in the first half year and basis which we have earned an incentive income of INR30 crores in the Q2 and INR59 crores in the first year, which is in line with what we have always earned, which is the availability parameter s in the transmission business.

In the distribution business, our distribution losses in AEML continues to be the best in class, and we have reported the lowest distribution loss of 4.30% in the first half of FY 2026. Because

of the prolonged monsoon in the city of Mumbai, the energy sales or the energy consumption has a modest increase of 2% over the previous year.

In the C&I business, that business continues to provide power solutions to various consumers. Today, both our Adani portfolio companies as well as with the external consumers, when aggregate load demand of currently of around 717 megawatts, which we are going to ser vice to the C &I consumers. Similarly, our cooling solutions also is getting some traction, whereby we are deploying India's largest district cooling facility in the Mundra region.
And

we are also supplying to the or deploying cooling solutions for our various external consumers. We are currently totally implementing about 88,000 tons of refrigeration in the cooling capacity. In terms of the financial update, the total income rose to INR13,793 crores, which is a 16% growth over the previous half year, largely due to stable operating performance in transmission and the distribution business and the increasing contribution from the smart meter business.

The total EBITDA, that is the consolidated EBITDA, has increased to INR4,144 crores, which is a 13% increase on a year basis. Our consolidated PBT has grown to INR1,404 crores, which is 34% increase over the previous year. If you adjust the one -time MAT credit or the reversal of the deferred tax liability, which was there in the previous year, which is of about INR314 crores, our adjusted PAT has grown to INR557 crores or INR1,096 crores for the first half year, which is a 42% increase over the previous fi nancial year.

So, I would repeat is that if you exclude the one -time deferred tax reversal or the MAT credit reversal, which was there in the previous year, our adjusted PAT has grown 42% in the first half to INR1,096 crores. I thought that's the key thing which is there.

So, in terms of the business outlook, the sector continues to present strong growth potential, both in the transmission business as well as in the distribution business, backed by stable regulatory regimes and the continuous reforms that we are seeing in the sector. I'll pause here in case we can now open the floor for the Q&A from everyone.

Moderator: Thank you. The first question comes from the line of Mohit with ICICI Securities. Please go ahead.

Mohit: Hi, and good afternoon, sir. And thanks for the opportunity. My first question is on the transmission pipeline. I think you mentioned INR 96,000 crores in the press release. Does it include both the HVDC , Khavda -Olpad , and there is one South Kalamb , or is it excluding both these H VDC ?

Kandarp Patel: So, it is excluding the Khavda Olpad , but including South Kalamb .

Mohit: And is there any update on the Olpad which you would like to share? What is the status?

Kandarp Patel: So Olpad reverse auction happened. We were L1 and we are expecting a response from the PFC. So, probably the delay was because of holidays, but now we can expect a response from the PFC in the current week.

Mohit: Okay, understood. So, my second question is on the smart meter. I think last year, there had been no bidding in the first half, right? And there was one Tamil Nadu bid which was pending. And also in the press release, you're talking about 104 million smart meters , which is still pending. So, have you seen any improvement in the tender bidding, or are there any other bid apart from Tamil Nadu which is up for tendering? And what is the status of Tamil Nadu bid?

Kandarp Patel: So, Tamil Nadu bid submission was concluded. The technical evaluation is going on. The other bids, especially Telangana and Karnataka, because they will have to get their metering program approved under RDSS. Earlier, they never submitted that proposal. I believe that they have now submitted it, and it is under approval. So , the moment that approval comes in, then they will come out with a bidding.

Mohit: So, is it right to understand that earlier, Karnataka was trying to do something on their own, and now they are trying to get it under RDSS? Is that right?

Kandarp Patel: Correct, correct.

Mohit: Understood. My last question is on the commissioning pipeline for transmission. I think we're expecting, especially HVDC, to get commissioned by October. Are you facing some kind of constraint or some kind of issues in general in the industry, maybe right of way, etc? Can you

just throw some light on that?
Kandarp Patel: So, the

right of way and ability of skilled manpower is the problem. But as I explained in the last call as well, we do a little different approach as far as the right of way is concerned. While we use the government machinery and the power available under Sections 68 and 164, but we also directly negotiate with the farmer or landowner, and we run that process parallelly.
As far as the manpower is concerned, so now we have developed that kind of relationship with those EPC players. You must have seen that we work with a few chosen EPC players. And this year, we have taken a very unique initiative by starting our own training facility. It is going to be online from 1st of November this year. We will be training about 1200 people for transmission line erection. And with that, all of our requirements should be met. In fact, we will train these people and give it to our EPC partners.
Mohit: Understood, sir. And any clue on the HVDC project commissioning date, sir, timeline? Is it December '25?
Kandarp Patel: So, HVDC is all going perfectly all right. All approvals are there. All ROW issues sorted out. The critical work which is going on is the underground cabling on the Vashi Creek. And we expect that to get commissioned somewhere in December or January.

Moderator: Thank you. Next question comes from the line of Manish Somaiya with Cantor Fitzgerald. Please go ahead.
Manish Somaiya: A couple of questions, KP and Kunj al. Can you elaborate on parallel licensing opportunities beyond Mumbai? What circles are you targeting and what's the competitive landscape? That's question number one.
Kandarp Patel: Yes. So, Manish, we a t AESL are open for both the routes of expanding into distribution, which is either privatization or parallel license. We applied for parallel license for Navi Mumbai, Mundra area, as well as Ghaziabad or Jewar district in the UP. The regulatory process for Navi Mumbai and Mundra part is over.
We are expecting order from Regulatory Commission very soon because all those proceedings have been done. So, we expect some movement on parallel license from these two geographies. And as far as competition and parallel license is concerned, so parallel l icense is open for anyone. But in Mundra, nobody else has applied . In Navi Mumbai , the other players have also applied, but their process just got initiated. And practically, I believe that once you have two distribution companies, I think interest by third distribution company will reduce significantly in any particular geography.
Manish Somaiya: Okay, that's helpful. And then just turning to smart metering, I did see that the installation rate was down this quarter sequentially. Maybe if you can just quickly touch on that, and I'm not sure if it was because of the monsoons or the availability of talent in the field. Bu t just on a big picture basis, you outlined a very significant untapped opportunity for smart meter in the country. So, maybe if you can just kind of help us understand the addressable opportunity for AESL over the next three to five years. And from a market share perspective, what would be the constraints?
Kandarp Patel: So, Manish, you are right. The installation rate reduced in the last quarter as compared to the quarter one. But essentially, that was because of rain s continuing even till now. And geographies like Maharashtra, Uttarakhand, Assam, and even Bihar this year witnessed a lot of rain that impacted the progress. But now we are catching up again. We have already reached to 20,000 installations as of now.
We want to push it up to 30,000 installations per day. All the resources are lined up accordingly, and all the materials and manpower are available for achieving 30,000. As far as the addressable market is concerned, there is about 10 crore s smart metering opportunity that we think that will come in a

year or so. Essentially from Tamil Nadu, Karnataka, Telangana, Madhya Pradesh, and Punjab. These are the main geographies from where we expect smart metering opportunity to come.
Manish Somaiya: And just lastly, KP, just on that, what do you think your share constraints might be? It seems to me that on the ground, your share is probably running higher than what you sort of had in the initial round . So maybe you can just touch on that?

Kandarp Patel: So, Manish, our market share is about 18 -19% in terms of order s, our installation market share

is about 23 -24% and we will continue to have that kind of better installation rate as compared to all other players. And as we add new geography, probably we'll be able to increase both market share in terms of contract as well as in terms of installation.
Manish Somaiya: Okay, that's super helpful. And just lastly, quickly for Kunjal, leverage is at 4.4 x at the end of second quarter. And I think KP, going back to your earlier comments, you mentioned that the earnings are going to be second half weighted. So, would it be fair to assume that the leverage by the end of the year should be lower, maybe closer to the lower end of your target?
Kunjal Mehta: Yes, you're right. So basically, it would be in that range of around 4x what we've always mentioned.
Manish Somaiya: Okay, super. Well, congratulations again on a good quarter.
Kunjal Mehta: Sure. Thank you.
Moderator: Thank you. Next question comes from the line of Puneet Gulati with HSBC. Please go ahead.
Puneet Gulati: Yes, thank you so much. And my first question is on the transmission side of the business. What do you see as a potential bidding pipeline for the second half of this year and how aggressive you are likely to go in this phase?
Kandarp Patel: So, Puneet, probably we will not be able to give you a very precise number for bidding pipeline for second half. But in next 1 year to 1.5 year the projects which have been identified by CTU, and the central government are of the order of INR 90,000 crores. There could be addition from a few states as well, like Maharashtra. So nearly INR 80,000 crores to INR 90,000 crores of bidding opportunity or pipeline will be there in transmission.
Puneet Gulati: Okay. And what share do you assume for yourself?
Kandarp Patel: So currently, we are operating a t about 25 % and we would like to continue to have that kind of market share.
Puneet Gulati: Understood. And on the cooling side, how is the response so far and where else do you see the opportunity?
Kandarp Patel: So cooling, Puneet, it is not only -- in fact, we spend a lot of time on creating market and awareness for the cooling solution because so far it is not very known concept in the Indian market. We have been interacting with a lot of players including sector federations , industry bodies and other players.
We see now a lot of traction on the cooling side as well. In the first half we could also get a LOI from two third party developers for developing a district cooling plant. And we see a humongous potential as far as district cooling is concerned in India. So, we'll continue to work on developing market and making market aware about the advantage of having a district cooling solution.

Puneet Gulati: Understood. And lastly, if you can talk about any updates on the UP side on privatization of Discom, what are the dates likely and how big is the opportunity you see for yourself?
Kandarp Patel: So, there is no specific update from the UP side, but they continue to mention that they will come out with RFP very soon. So, we are eagerly waiting for that. We believe that they had a few conversations with the regulatory commission. They had certain queries and suggestions. So probably they are incorpora

ting it and then they will come out with RFP.
Puneet Gulati: Okay, that's helpful. Thank you so much and all the best.
Kandarp Patel: Thank you.
Moderator: Thank you. Next question comes from the line of Nikhil Nigania with Bernstein. Please go ahead.
Nikhil Nigania: Hi, thank you for taking my question. My first question is on the distribution side. Good to hear an update on the parallel licensee bid. But now that the draft electricity regulatory changes are out, wanted to hear your thoughts on how do you see this sp ace evolve going forward in terms of new opportunity for AESL in distribution?
Kandarp Patel: So, Nikhil, the new draft also says and clearly the intent of government is there that they wanted to increase private sector participation in distribution. They are in fact further proposing to provide enabling provision for second license. In fact, the curr ent legal provision says that you have to create your own network when you become a second license.
The draft amendment proposed that the second license, new licensee can use existing distribution network of the existing licensee as well. So, it is clearly a good sign for the distribution sector, and it will create a lot of opportunity for private sector players.
Nikhil Nigania: Got it. Understood. So, in a way, is it fair to assume it could open up opportunities for you to enter new cities without having to deploy your own capex?
Kandarp Patel: So, Nikhil, our view is a little different. We might not use existing network of our distribution company because we believe that the major differentiation between you and the incumbent distribution company would be reliability of supply and quality of servic es. Now the moment you ride on the existing network, probably you might not be able to differentiate on those two

aspects. So, we might go ahead with our own network as it is provided in the current regulation.
Nikhil Nigania: Understood. Very clear. My second set of questions on the transmission side. AESL has been winning quite a fair bit recently, especially in the HVDC projects. What would you say is the reason for that? Is it just that the competitors' hands are full or is there something else, which is the reason? And secondly, on transmission, you highlighted right -of-way as a challenge. But the March regulations were expected to ease that with higher compensation for right -of-way. But has that not been the trend? So, these were two questions I had on transmission?
Kandarp Patel: So, to answer your first question, probably I may not be able to comment as to why Power Grid is not able to take. But I can certainly comment on why we are in a position to take. We have

been able to establish that kind of relationship with those major OEMs. And the last particular project, which was Khavda Ol pad. In fact, in this particular area, we are already doing four projects. So, we exactly know the terrain, the ROW challenges in this particular area. That is the reason why we have been able to take this HVDC project through bidding.
Nikhil Nigania: Got it. And the second question, if you could answer as well, right -of-way, the things have not improved despite higher compensation norms?
Kandarp Patel: So, right -of-way, all the required legal framework is now in place. So, after last year's policy intervention from Government of India, most of the state has notified that the policy for right -of-way. Essentially, these policies are targeting to give fair compensation to the landholder. To use this policy framework, you have to go through that process of getting order issues from collectors. That also involves public hearing. And sometimes that process takes time.
So, as I mentioned earlier in the call, what we do is we use both the routes parallelly. We directly negotiate with the farmers, take a decision on the ground and immediately im

plement it. And
also, wherever we have a problem of ROW, then we use that route which is through collector and collector order compensation. And if the situation worsens, then we use that state machinery and police protection for ROW. But basically, it's a hybrid concept. We don't depend on one route because that could take a lot of time.
Nikhil Nigania: Makes sense. The last question I had was, there's this news on Adani Group's tie -up with Google for a data center. Any role you envisage for AESL also in this opportunity?
Kandarp Patel: Yes. So, probably we will have an opportunity for AESL in terms of providing energy solutions and timely connectivity. Because like what we did last time as well for Microsoft, when they were developing a data center, we created connectivity in infra for them.
Similarly, we will also have an opportunity of creating infra for connectivity and also provide energy solution s to data center. Because they will certainly be very, very keen to have energy solution which is predominantly coming from a green power.
Nikhil Nigania: Correct. Thank you. Those are my questions. Thank you for answering them.
Moderator: Thank you. Next question comes to the line of Love Sharma with JP Morgan. Please go ahead.
Love Sharma: Hi, management . Thank you for the time. Just wanted to understand two things. I think you mentioned about the AEML's plan for the bond buybacks which you've done and the cash surplus you're running. If you could just give some broad numbers for AEML in terms of what is the debt outstanding currently, including any short -term debt which has b een repaid or may be increased.
Secondly, what kind of future buybacks we can think of on that line? And second question would be on the capex addition for second half. What is the target across the different businesses?

Kunjal Mehta: Sure. So, on the AEML debt position, so that company continues to delever it. Last quarter, we did $44 million of bond buyback of GMTN bond. Earlier, we did close to $49.5 million bond buyback in Q1 of the 2030. And earlier, if you recall, we had don e $120 million of bond buyback.
\ So based on that, whatever surplus that that company is generating, we would continue to go down that path of continuing to do the bond buybacks in AEML. Plus, you would see is that whatever short -term working capital also AE ML had and.so we carried about INR 400-odd crores of short -term loan in AEML that also got paid down during the first half year. So that business will continue to delever based on whatever surplus it generates .
On the capex front, that company has roughly around INR1600 -odd crores of capex planned, of which INR575 crores has been incurred during first half and roughly around INR1000 crores would get i ncurred during the second half.
Generally, you would know that it is always lopsided in the second half, because the first three

or four months, that is June, July, August are predominantly monsoon months where the capex rate is not high. So, it's lopsided in the second half. So, INR 1600 crores would be the estimated capex for the full year for distribution AEML.
Love Sharma: Yes, that's right. So, this was only for distribution, right? How about for the AESL on consol idated basis, maybe?
Kandarp Patel: So, total capex would be of the order of INR 17,000 crores to INR 18,000 crores . INR 6,000 crores we have done so far . The breakup of INR 6,000 crores is INR 3,350 crores in transmission, INR 700-odd crore s in distribution and INR 2,000 -odd crore s in smart metering.
For the full year, we will do about INR11,400 crores in transmission, INR1,600 crores in distribution and INR4,000 crores in smart metering. So, in smart metering, we'll add about INR 2,000 crores . In Distribution, we'll add about INR1,100 crores in the second quarter. And in transmissio

n, we'll add about INR 8,000 crores in the second quarter.
Love Sharma: Understood. Thank you, sir. Okay, so this is very useful. And one last question from you was, I think on the dollar bond side, we have this maturity coming up next year for the transmission 2026 bonds. Any thoughts currently of how you're planning to take care of that refinancing?
Kunjal Mehta: Yes. So, we are working towards it. And basically, we would like to refinance it. I mean, there are various sources. It could be both a mix of dollar bonds, and rupee bonds. But we would refinance it much ahead of its maturity.
Love Sharma: Okay, thanks, Kunjal. In terms of pricing, could you indicate for if we have to go for INR pricing, what kind of pricing you see currently for those assets?
Kunjal Mehta: So, as you know, these are AA+ rated in the Indian market. So accordingly, it would get priced.
Love Sharma: Rough idea, roughly, maybe around, should we think of 8%, 9% -ish INR terms?

Kunjal Mehta: Yes, basically, currently, if you look at it, A A+ plus or AAA+ bonds are generally priced sub 8%. So, in that region, it would get priced.
Love Sharma: Okay, wonderful. Thank you so much.
Moderator: Thank you. Next question comes on the line of Vishal Biraia with Bandhan AMC . Please go ahead.
Vishal Biraia: Hi, a couple of questions. One is on the status of license at Navi Mumbai, because the public hearing was done and all the formalities were completed by MERC. So, what is holding it back?
Kunjal Mehta: Can you be a bit louder? We couldn't hear you.
Vishal Biraia: Sorry, my question was on Navi Mumbai license area. The formalities by MERC, it seems were completed in terms of public hearing and others. So, what is holding back the license? Is there anything else that is pending?
Kandarp Patel: So now they have to issue, the matter was closed for order. So now they have to issue an order against our application.
Vishal Biraia: Okay. And what is the kind of capex that you foresee in this license area over the next few years once you get the license?
Kandarp Patel: The capex for Navi Mumbai?
Vishal Biraia: Yes, sir.
Kandarp Patel: So, we will have a capex of about INR10,000 crores for Navi Mumbai entire area, which will span over about 5 years.
Vishal Biraia: Okay. INR2,000 crores per year will be the ca pex there, only in Navi Mumbai?
Kandarp Patel: Correct.
Vishal Biraia: But that seems to be substantially higher, right? I mean, Mumbai capex itself is about INR1600 crores, though you will have to put the network fully there, which is not available here.
Kandarp Patel: So, the density -wise it is little lower as compared to Mumbai. And the second is because we will have to fulfill the universal service obligation. What we have proposed is that we will bifurcate the entire area into 25 circles. And once we start investing into that circle, we will fully deploy the network in that entire circle.
So, every customer will have access to our network in that particular area. Once we achieve the universal service obligation in that entire circle, we will migrate to the second one. So, therefore the speed will be lower. But it is essential to ensure that universal service obligation is achieved circle -wise.
Vishal Biraia: What will be the mix of industrial and commercial customers here, approximately?

Kandarp Patel: So, the commercial and industrial consumption there in Navi Mumbai currently is in excess of

50%. The rest is from small LT customers and residential customers.
Vishal Biraia: And on the transmission side, what will be the kind of project that you plan to commission this year? And what will be the addition to gross block that we should see? In addition to the three projects that you've done in the first quarter for th

e balance 6 months, what should we see? Thank you.
Kandarp Patel: So, in the next half, we will capitalize about INR10,000 crores of capex. So at least we will commission three projects. We are trying to get the fourth project also commissioned in the next quarter, but we'll at least commission three projects which will add revenue of about INR1,700 to INR1,800 crores.
Vishal Biraia: Okay. Thank you very much. I'll come back in the queue. Thank you.
Moderator: Thank you. Next question comes from the line of Dhruv Muchhal with HDFC AMC. Please go ahead.
Dhruv Muchhal: Thank you so much. In the opening comments, you mentioned that the capex for this year will be about INR17,000 -INR18,000 crores and revenue run rate of that or EBITDA run rate of that will be about INR 2,800 crores . So, this is the capex number probably that gets capitalized over the next two years and then the EBITDA run rate will be realized. What do you capitalize this year? The EBITDA run rate for that would be how much, sir?
Kunjal Mehta: So, this year we'll capitalize in transmission projects close to around INR15,000 odd crores, which will translate to additional tariff of INR1,800 or INR1,900 odd crores, which is only in transmission business. Similarly, in case of AEM L or distribution business, whatever capex is incurred is capitaliz ed.
So INR1,500, INR1,600 odd of capex will translate into a EBITDA of around INR 250 to INR 275 odd crores. And in smart meter based on its capex will give INR 800 odd crores of additional revenues. So that itself would translate, into INR1,800 -1900 crores for transmission, INR250-230 crores for distribution, INR 800 for smart meters will give INR 2,800 odd crores of EBITDA from the INR17,000 odd crores of capitalization that we will do in each of these years.
Vijil Jain: And just to clarify, in that INR1,800 crores -1,900 crore s transmission number, the tariff from already commissioned projects, which is INR230 odd crores is not included . So, in total, INR ~2,100 odd crores in transmission in terms of tariff or revenue .
Dhruv Muchhal: This was excluding. Okay, perfect. Got it. So, the second question was on the capex in the transmission business. So, for the full year, you're expecting about INR10,000 odd crores, INR11,000 odd crores capex. First half you have done about INR3,000. So that's about INR7,000 for the remaining 2H
Kandarp Patel: So, first half was about INR 3,300 crores . And in the next half, we will do capex of about INR 7,000 -8,000 crores . And in terms of capitalization, we did about INR2300 crores of

capitalization in the first quarter. And in the second, we will do capitalization of about INR13,000.
Dhruv Muchhal: Yes, so the capex is a significant increase. So, for the second half, you will do about INR7,000 - 8,000 crores in transmission capex versus last year second half, you had done about INR 4,000 crores. So that's a significant jump in the capex run rate. And if I see 1H versus -- this year versus 1H last year, the jump is not as strong.
So just trying to understand what's driving this . This year was weak because of monsoon or right of way issues. And you expect things to resolve in the next second half. So just trying to understand what drives the confidence that this capex can be achieved.
Kandarp Patel: So, this year, you must have noted that we have started another four projects where now, so all the approvals and other things are in place. So , now you will see a lot of capex deployment i n those newly started projects.
And we will also continue to do capex in the projects which are already under construction, which are getting commission in the second half or in the first half of the next year. So, because the number of projects has increased and those projects will start to see the infusion of capex and therefore you see that n

umber increasing significantly in second half.
Dhruv Muchhal: Got it. So basically, the momentum on projects is picking up and hence, which is driving the capex also, the improvement in the capex run rate.
Kandarp Patel: Correct.
Dhruv Muchhal: Alright. And the other question was on, probably a bit macro, but just trying to understand, so we are seeing a broader electrical demand in India remaining very weak. For example, in October, the demand is at a month -to-date basis, is down by about 5 odd percent. And this includes the Diwali period also. So, because you operate a lot of discoms , on ground level, what

are you seeing? Is it just purely weather? I'm just trying to understand what's driving such weakness in demand.
Kandarp Patel: So, in our view, the demand sluggishness this year is only because of the rain, which is not only widespread across the country, but the rain started from May, and it is still continuing. In fact, it was raining in the Western India yesterday and today, and you must have seen that prediction of cyclone on the east coast. So, the demand sluggishness in the country currently is only because of rain.
Dhruv Muchhal: So even in Bombay, for example, probably it's a bit difficult to digress, but say, for example, commercial customers, I'm assuming they will not be as impacted by the season. The demand trend is reasonably okay versus, say, for example, if you differentiat e between domestic customers and commercial customers .

Kandarp Patel: So, Mumbai, in last couple of years, we see demand growth of the order of 5.5 % to 6%. This year, you must have seen the number, the increase is only 2 percentage. And that was only because of the weather.
Dhruv Muchhal: Got it. Perfect. This is helpful. And the last question, you mentioned about the data center that the group has signed, and you can play a role in that. Can you quantify what is the monetizable opportunity for us here? Because w hat we heard is globally large capex numbers. So just wanted to understand what role can we play and what monetizable opportunity can we have?
Kunjal Mehta: I mean it's too early to put a number to any opportunity for that Google contract, which is there in data center. I mean, as we earlier mentioned, whatever demand would be there for transmission or substation requirement for that would be fulfilled by AESL. But currently, it's very early for us to put any number to it .
Dhruv Muchhal: Got it. Sure. Great, sir. Thank you so much and all the best. Thanks.
Moderator: Thank you. Next question comes from the line of Mahesh Patil with ICICI Securities. Please go ahead.
Mahesh Patil: My first question is on the smart meters. So out of the 73 lakh smart meters installed, how much smart meter quantity has been billed , the meters that have achieved operational goal?
Kunjal Mehta: So out of 73 lakh meters, which have been installed, the meter months which have been built are 279 lakh meters which have been built for this first half.
Management: No, but what are the number of meters commissioned?
Kunjal Mehta: 73 lakhs have been commissioned, and out of that 67 lakhs have been billed .
Kandarp Patel: So, what happens when you install the smart meter, you also have to then offer for a testing to distribution company. That usually happens every month. So, you will see a difference of meter installed and commission of the order of installation equivalent to one month.
Mahesh Patil: Okay. Got it. And so, my second question is on the status of this Bhadla -Fatehpur -HVDC project that had won. If you can share some insights as to what is the progress, there ?
Kandarp Patel: Bhadla -Fatehpur , we already got that SPV, LOI, we have finalized all the contracts. In fact, the construction work has already begun at the Bhadla land. We will also start transmission line erectio

n activity in the next month itself.
Mahesh Patil: Okay. And so, my last question, given the kind of capex that we are planning, is there any plan for a fundraise in the near future?
Kunjal Mehta: No, there is no such plans of any fundraise except for whatever debt which we have to take for the projects which we are at under construction stage . And of course, refinance.
Mahesh Patil: Okay. Got it. Got it. Thank you. Thank you so much.

Moderator: Thank you. Next question comes from the line of Shrinidhi with ASK Investment Managers . Please go ahead.
Shrinidhi: Hi. Thank you for the opportunity. A couple of questions on smart meter. So, given high profitability in their business and accounting standards, would it be possible to share cash, post - tax cash profit that we will be making per meter per month? And the second question is across the entire portfolio, what sort of unlevered IRR yo u are likely to make?
Kunjal Mehta: Sure. So , basis the current tariff profile that our smart meter portfolio has , our current revenue per meter per month is in the range of INR105 to INR109 per meter per month. That portfolio gives us close to around 80 % to 85% EBITDA margins. So, based on the meters that we have installed, we have reported an EBITDA of around INR253 crores and EBIT of INR120 crores for this half year.

And based on the current EBITDA margins, and based on the capital deployment in those smart meters , our internal returns are upwards of 20% -25% on a levered basis .
Shrinidhi: Okay. Yes. Those are my questions. Thank you for answering them.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of the question and answer session. I would now like to hand the conference over to Mr. Kunjal Mehta for closing comments.
Kunjal Mehta: Sure. No, I would thank each one of you for taking out the time for attending this call. In case of any clarification that you need, we are just a phone call away or an email away. Thank you once again for taking out the time.
Moderator: Thank you. On behalf of Adani Energy Solutions, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

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27th January , 202 6

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P J Towers, Exchange plaza,
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Mumbai – 400 001 Bandra (E), Mumbai – 400051

Scrip Code: 539254 Scrip Code: ADANIENSOL

Dear Sir,

Sub: Transcript of Earnings call pertaining to the Unaudited Financial Results
of the Company for Q 3 & 9M FY26 .

In continuation to our intimation dated 2 3rd January, 2026 please find below
web link of transcript of the Earnings Call on Unaudited Financial Results
(Standalone and Consolidated) of the Company for the quarter and nine months
ended 3 1st December , 2025.

Weblink to access above transcript is as under -:

https://www.adanienergysolutions.com/ -
/media/Project/Transmission/Investor/documents/Results -Conference -Call-
Transcripts/AESL_Q3FY26_Earnings -Call-Transcript_vf.pdf

Copy of the said transcript is also attached herewith.

Kindly take the same on your records .

Thanking you,

Yours faithfully,
For Adani Energy Solutions Limited

Jaladhi Shukla
Company Secretary

Encl: As above

Adani Energy Solutions Limited
Q3 & 9M FY26 Earnings Conference Call
January 23 , 202 6

Management: Mr. Kandarp Patel – CEO – AESL
Mr. Kunjal Mehta – CFO – AESL
Mr. Kapil Sharma – Business Head – Transmission
Mr. Pushpendrasinh Zala – Business Head – Smart Meter
Mr. Bhaskar Sarkar – Business Head – Cooling Solutions
Mr. Vijil Jain – Head IR – AESL

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This document may contain “forward -looking statements” - that is, statements related to future, not past, events. In this context, forward -looking statements often address our expected future business and financial performance, and often contain words such as “expects,” “anticipates,” “intends,” “plans,” “believes,” “seeks,” “should” or “will.” Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause our actual future results to be m aterially different that those expressed in our forward -looking statements. We do not undertake to update our forward -looking statements.

Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9M FY '26 Earnings Conference Call of Adani Energy Solutions Limited. From the AESL side, we have the following on the call as main speakers, Mr. Kandarp Patel, CEO, AESL; Mr. Kunjal Mehta, CFO, AESL; M r. Kapil Sharma, Business Head Transmission; Mr. Pushpendra Zala, Business Head, Smart Metering; Mr. Bhaskar Sarkar, Business Head, Cooling Solutions; Mr. Vijil Jain, Head IR, AESL.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vijil Jain from AESL. Thank you, and over to you, Mr. Jain.
Vijil Jain: Sure. Thanks, R enju. Just to add, we also have Mr. Kapil Sharma, the Business Head for Transmission business also with us. Thank you, everyone, for attending the call. Good day, and a warm welcome. I just hope you got a chance to go through the earnings material, which we uploaded on the website and the exchange.
And just to very quickly explain the flow of the call, so we will start with an opening statement from the CEO, followed by Q&A and then a closing remark from the CFO. Let me now hand over the call to K.P. sir for opening remarks. Thank you.
Kandarp Patel: Thank you all investors and analyst friends for joining this call. These are very exciting times for AESL. We have now delivered another strong performance in the last quarter. The adjusted PAT growth, if we consider the one -time effect of deferred tax of INR185 crores last year in quarter 3, the adjusted PAT growth is 30 percentage, not only in financial terms, but in other capex performance as well as opex performance company has done significantly well.
In the first 9 months, we have commissioned 4 transmission projects – NKTL , Khavda Phase -II Part-A, Khavda Pooling Station and Sangod Transmission project. In coming months, we are on track to commission another 3 projects. One of them is the landmark HVDC project, where almost the entire project work is completed.
The testing and commissioning is going on. The other two projects that will get commissioned soon are Khavda Phase III-A, which is Halvad project and WRSR project. Besides the commissioning of a good number of projects in coming time, we have also won another HVDC

project, which is KPS -III, Khavda South Olpad pr

oject. Now with this another HVDC project,
our project pipeline has reached to about ~INR 78,000 crores.

On a Smart Metering side, we have been doing in line with what we anticipated and projected. So in the current quarter, we have installed meters close to 19 lakh s. And now we have reached to about aggregate meter installed count of about 92 lakhs. And by the time we close this year, we will certainly cross 1 crore meter installations.
On capital management side as well, you must have noted that Mo ody's has revised rating and improved from negative to stable for 2 of our subsidiaries, Adani Transmission Step -One Limited and Adani Electricity Mumbai. As far as operational performance is concerned, we continue to have excellen t line availability, which is over 99.7% rate, which has resulted to incentive income of INR33 crores as well.
As far as distribution business is concerned, because of weather in this year, the sale has not grown as compared to the last year. But on the operational front, we continue to do excellent work. Now T&D losses are around 4 percentage. To be precise, it is 4.03 percentage, which is a significant achievement looking to the fact that we continue to improve this particular parameter.
As far as consumer services and other things are going, we have been doing fairly well there. In fact, the collection remains more than 100 percentage. And we have been now collecting more than 85 percentage of payment through e -payments. Yes. we already talked about smart meters, where we have already installed 90 lakh meter and reached to 93 lakhs in -- close to 93 lakhs installations. The pipeline also remains strong, so about more than 100 million meters are yet to be bid out. We expect to continue to maintain our market share, and we will add that pipeline in the metering business as well.
As far as C&I business, there are a lot of activity going on. And in fact, we feel that this is going to be one of the major growth drivers besides transmission and smart metering. We have now reached to aggregate load of about 700 megawatts, serving about 14 consumers that was at the end of December. The current count is 31 consumer and load of about 1,300 megawatts. So we are rapidly growing there. And you will see a lot of action on C&I front.
As far as Cooling business is concerned, we continue to create that market for Cooling business. You are aware that we are already putting up India's largest district cooling facility of 40,000 metric tons of refrigeration at Mundra.
As far as financial performance is concerned, you must have noted those numbers. Income has grown by 16 percentage and consolidated EBITDA has also now reached to INR2,200 crore s quarterly, which is a growth of 21%. The consolidated PBT has also rose by 43 percentage, which has reached to INR 800 crores level.
Now what is the most important thing that is going to happen that as far as transmission and smart metering and C&I business is concerned, there is a strong pipeline and opportunity pool available in the market. So we'll continue to add that. But at the sa me time, the kind of effort

that we are putting in execution, you have seen that result in smart metering side. In next year, we expect to add massive capitalization in transmission as well.
And with those, in fact, we are poised to capitalised about 7 projects in current and next financial which will add the gross block of about ~INR25,000 crores.
And that will give a massive jump to the EBITDA and profitability of the company. So, I think these are very exciting time s for AESL. And we look forward to hearing from all of you from time to time. Kunjal , over to you.
Kunjal Mehta : So, with these remarks, I now request any questions that anyone has. We're happy to take questions from the investors.
Moderator: The first question comes fro

m the line of Mohit Kumar with ICICI Securities.
Mohit Kumar: Sir, my questions are more on the industry side. Of course, we haven't seen too much of traction in the smart meter -- smart meter order book, right? I think whatever we have won was from the last year. Do you think in the next 12 to 18 months, do you think that there will be some more opportunities on the smart meter side?
Kandarp Patel: So, Mohit, thank you so much. As far as smart meter bidding is concerned, there are a few states where bidding is yet to happen or yet to conclude. One is Tamil Nadu, that bidding happened, but I think they will reinvite the bid. But there are a few other sta tes like Karnataka, Telangana . They got the DPR approved under RDSS. I believe those states have now filed the DPR with MOP. And on receipt of that approval, they will also come out with bidding. So we expect that significant action we will see in smart metering bidding in next couple of quarters.
Mohit Kumar: Understood. And on the transmission, so of course, we have done phenomenally well in this fiscal. I think we have seen INR40,000 – 50,000 crores worth of new transmission projects. My question is more about the future. How do you think about the next 12 to 18 months? It seems like the transmission bids have slowed down. Do you think in our opinion that we can do at least INR60,000 crores, INR70,000 crore s additional bidding in the next 12 months?

Kandarp Patel: So, Mohit, the project that has been approved by NCT and those state -- various state STUs, if you add all those projects, it crosses INR1 lakh crores bidding opportunity. Conservatively, we think that bidding for at least INR70,000 crores, INR80,000 crores will happen in the next 12 months.
Mohit Kumar: Sir, last question from my side, sir, HVDC commissioning timelines, we were guided earlier that it will get commissioned in the Q2. It hasn't happened. And what is the new tentative commissioning date?
Kandarp Patel: So, all the work is completed there. Testing and commissioning is going on. So , we expect that to get commissioned in another 30 to 45 days.
Mohit Kumar: Anything that caused the delay, sir?

Kandarp Patel: So, there were 2 major issues we had to resolve in HVDC on Vasai creek. And there were some working permissions related issue because of which it got delayed. And there is also 4 -kilometer of stretch of cabling that is to be done in Aarey Colony. There, we took a little more time because that rain g ot prolonged, and we have to make a very, very focused effort there that while we do that under ground cabling work, we don't damage any ecosystem.
And because of that prolonged rain in Mumbai, it got a little late. Both the terminals are ready. Now the terminal testing and commission ing is going on. And the last batch of cabling is also getting ready.
Moderator: Next question comes from the line of Puneet Gulati with HSBC.
Puneet Gulati: My first question is on your KPS -III HVDC. What is the cost that you're now pencilling for this Khavda Olpad project?
Kandarp Patel: That will be about close to INR 19,000 crores.
Puneet Gulati: And on the Bhadla -Fatehpur HVDC, what is the stage of execution there?
Kandarp Patel: So, all the contracts have been awarded. Entire route survey has been done. The necessary application for forest and wildlife has also been submitted. In fact, an environment -- the forest clearance for Rajasthan portion has, in fact, progressed significantly and PSC 1 committee has already given approval. Construction at Bhadla site has already began.
Most of the basic engineering has been done, and now you will see a lot of progress in terms of execution on the ground. So , all the preparatory work has been completed. We are finding some challenges in land acquisition for Fatehpur, but we expect to complete that also in 1 months' time

. So significant work has been done there. More than 200 acre s has already been acquired.
Puneet Gulati: Okay. It's still due in -- by July '29, right? So , land acquisition challenges can still be surpassed. And can you still do it by July '25? Or you think it could be delayed?
Kandarp Patel: Easily, easily. Yes, yes. So , because the entire engineering and other things has been done. The contract is also in place. So we will now very soon mobilize the resources, and we'll start construction there.
Puneet Gulati: And you have 4 projects due for completion this calendar year, right? The Khavda -IV, Jamnagar, Navinal and Pune -III. Are these all 4 on track?
Kandarp Patel: Yes. So Navinal got a little delayed because the issuance of transmission license from CERC. We already commenced the work and foundation for half of the land has been done. But in absence of that license, we were not getting 164 approval. Now we will get that, but given the progress, even though it is late from original schedule, but we expect it to complete it in the current year. As far as Jamnagar project is concerned, there we are acquiring the substation land, which is government land, so that process is going on.

And we already started working on the transmission line. Those ROW order under government policy is under process, and we expect those orders to come out in 1 month to 1.5 months for the entire region. And with those orders, we'll start commencing the exec ution work as well. But the Jamnagar project has also -- as of now, is delayed by 1 to 1.5 months as compared to the original schedule. But we'll catch up once we have these government approvals.
Puneet Gulati: Okay. And can you just give me the revised timeline for all these 4, if you can?
Kandarp Patel: Yes, Jamnagar and Navinal both will get complete in last quarter of next financial year – FY27 . Khavda -IV A, will be -- 1 element will be in the second quarter, one -- another element will be in third quarter of the next financial year and Pune -III in the last quarter of next financial year.
Puneet Gulati: And lastly, I've been noticing your smart metering execution has picked up. Anything that has changed from policy support side or anything that you are doing to pick up pace there?

Kandarp Patel: So we have been making all those efforts in picking up that execution rate. So we are installing about 22,000 to 25,000 meters a day. We keep on getting those challenges in the ground, but now having installed so much of meter and with this kind of exposure, our team has been able to do a fabulous work on ground.
Moderator: Next question comes from the line of CA Garvit with Serene Alpha . Since there is no reply from the line of Mr. Garvit, we'll move to the next participant. And that is Mr. Gaurav Nigam with Tunga Investments.
Gaurav Nigam: I have a first question; we are hearing about this policy relaxation on the Chinese side in some sectors. I think most recently, there has been some news about the thermal power side. I just wanted to check, is there anything that we can benefit from? And is there any positive be nefit on the transmission side specifically that can come to us on a going forward basis?
Kandarp Patel: So Gaurav, if that happens, obviously, it will help because that will increase our options for equipment sourcing. But even if -- even if it is not done, we are not affected because we have that kind of strategic relationship with all our major OEMs. We ha ve been doing all these projects.
And so far, with the restriction on Chinese players, and we will be getting all the supplies at the right time and at an appropriate pricing. So obviously, it will be an incremental advantage. But even if it doesn't happen, we are not affected.
Gaurav Nigam: But as of now, is there anything where we are positively getting the benefit or nothing has

happened so far?
Kandarp Patel: Come again, sorry?
Gaurav Nigam: I was just asking, is there any benefit that we have started getting as of now or that restriction still stayed, sir?

Kandarp Patel: No, it is still there. So there were news items which we came across that government is planning to relax it. We don't know the exact contour of it. But if that happens, then obviously, it will increase options for us.
Gaurav Nigam: Understood, sir. And sir, second question was specifically about -- if you look at on the transmission side, I mean, we are seeing lower tendering. I mean first half was slow, we expected third quarter to pick up. I think there is some pickup. And on execu tion side also, I mean, as you mentioned, there has been some delays. I think we are hearing in the other developer also, there is some delays.
So I mean, is there something structurally which is hampering both on the tendering side and the execution side? I mean, how do you think about it? Because I mean, year -on-year, if you look at from last year to this year, there have been both sites there have been significant lowering. So I mean just wondering how do you look at both on the tendering and execution si de?
Kandarp Patel: So Gaurav, the challenges in execution is known to all of us. So essentially those are relating to equipment supply or manpower ability or our R OW. But this year, the additional challenge that we faced, especially us because our mainly concentration of project execution is in Mundra, around Khavda and then Gujarat and also in Maharashtra, where rain continued for quite some time. It was abnormal. I t continued up to almost Diwali period, and that has affected our execution.
As far as manpower ability is concerned, what we have done is that now the skilled manpower was the most critical one. In fact, in last 6 months, we have set up our own training facility at Gorda, where we -- it's a catchment area for people who works on a tower erection and that facility is up and running. Now we will be having 200 peo ple trained available to us from this month.
And every quarter, we will have about 400 to 500 people available to us in the stinging, which we will provide to our EPC partner s for execution. And with this kind of endeavour , we see that significant progress will happen on the execution side. Another challenge remains is ROW and therefore, I mentioned that in Jamnagar and in most of the projects, what we are trying to do is while we start a project .
But we focus more on getting those ROW orders from collector, compensation -related order from collectors. So that becomes a benchmark for us for negotiation with the farmer. So , with all these efforts, we expect to see a lot of progress in this quarter as far as capex is concerned and then next quarter because that also will be a working season. So , you'll see a lot of action on that front.
Gaurav Nigam: And sir, just your perspective on the tendering side as well, I mean there seems to be -- I mean, year-on-year, there is a drop. So how do you think about that, sir?
Kandarp Patel: So as I said earlier, we expect that about INR80,000 crores of bidding will happen combined together state as well as central. And that INR80,000 crores is also a significant number. And if

we even continue to maintain our market share, we will have a significant opportunity there.

Moderator: Next question comes from the line of Sumit Kishore with Axis Capital.
Sumit Kishore: My first question is to better understand the phaseout of capitalization of your works in hand. So, of the INR780 billion works in hand, would it be right to say that roughly INR400 billion is non-HVDC? And how is the capitalization spread over FY '26, '27 and '28 for this? And you can correct the numbers.
Kunjal

Mehta: Yes, sure. So based on the timelines which we just mentioned, the Mumbai HVDC and the NKTL project, which will get complete -- I mean the NKTL which just got completed, will give around INR10,000 -odd crores of capitalization . With HVDC which will get completed in the next 2 months itself, which will give an additional tariff of around INR1,600 -odd crores.
We expect the additional ones, especially the Khavda Phase III, that is the Halvad project and the WRSR projects that will get commissioned in the next 3 to 5 months period, which will lead to an additional capitalization of close to INR4,800 -odd crores. And then all the 3 projects, which Kandarp mentioned will lead to an additional capitalization of INR10,000 -odd crores by the end of the next financial year.
So, all put together, we have INR10,000 crores in the next 1 or 2 months, INR5,000 crores odd in the next 4 to 5 months, and the balance INR10,000 crores coming up by the end of next financial year.
Sumit Kishore: FY '27 end?
Kunjal Mehta: Correct.
Sumit Kishore: So what is the visibility right now for FY '28 as well on the capitalisation side?
Kunjal Mehta: I don't have the immediate visibility of FY '28. That would be too far. First thing is that this is something which we have immediately on our end.
Sumit Kishore: Sure, sir. My second question is relation to the 2 large HVDC projects that you are executing. Broadly, what would be the capex phase out as you complete these projects by 2029, 2030 or so, broad capex phase out?
Kandarp Patel: Yes. So roughly, the capex in transmission per year on an average, there could be a variation year-to-year. But for next 5 years, it would be in the range of about INR18,000 crores to INR20,000 crores.
Sumit Kishore: This is including everything, HVDC, non -HVDC, everything.
Kandarp Patel: Correct. On the later years, it might go up as we add new transmission project in our kitty. But given the project pipeline in the country, it will be about on an average INR18,000 crores to INR 20,000 crores.
Sumit Kishore: Okay. And specifically for the HVDC projects, would it be fair to say that in the first 2 years of execution, less than 25% of the capex will get incurred and bulk of it will be in the latter part?

Kandarp Patel: Yes.
Sumit Kishore: Okay. Okay. And my last question, if you can also shed some light on the phase out of the next HVDC project awards, which is likely, say, until end of FY '27 to name the products and the potential size that we are looking at.
Kunjal Mehta: New projects. New HVDC projects likely to come up in FY '27?
Kandarp Patel: Yes. So there are few HVDC projects under bidding pipeline, and we certainly would be participating in those bid sincerely.
Sumit Kishore: Any specific bids that you're aware of that you can just share with us?
Kandarp Patel: Yes, there is one project, HVDC project from Barmer HVDC, which comes up to Maharashtra, South Kalamb that is the immediate -- yes, that we expect to come in the bidding process.
Sumit Kishore: So, can that get awarded by June? Or will it be maybe in the second half of CY '26?
Kandarp Patel: I think that it will be done in the first quarter of the next year.
Moderator: Next question comes from the line of Manish Somaiya with Cantor.
Shweta: This is S hweta here from Cantor on behalf of Manish. Congrats again on another strong quarter.
I have 2 questions from me. The first one is on the debt stack. You've had multiple bond buybacks in the year earlier and sort of wanted to understand, given the surplus c ash for this year, what is the prioritized use? Is it going to be further bond buybacks? Or is it going to be more capex ?
And also given the scale of transmission and the smart metering ramp -up, what leverage ceiling should we like sort of look at that would essentially force like a reconside

ration and equally
because you've discussed this before that you'd say like there's g oing to be no fundraising terms
by equity. So I think this is my first question and then we'll get the other one.
Kunjal Mehta: Yes. So you're right. So the company did by bond buybacks, and we did bond buybacks in our
electricity Mumbai Distribution Company. We did a bond buyback of 120 million last year
followed by a bond buyback of 90 million -- 95 million up to the 9 months tha t we did. We did
a 1 buyback of 50 million, and then we again followed it up with a buyback of 45 million.
So AEML distribution business because of the surplus that it is generating. And as we have
guided, we will continue to de -lever that company after meeting all its capex and its opex
requirements. So that company has roughly a capex of around INR1,500 crores to INR1,600 -
odd crores.
And after meeting that capex , the company still has that surplus, which we will use to de -lever
the balance sheet. And at the right time, we will continue to do the bond buybacks in that
organization.

As far as the consolidated debt profile of the company is concerned, we have always guided that
we would be in the range of around 4 to 4.5x based on our capex cycle over a sustained period .
But it would be in that guidance range always.
Shweta: Understood. Also, given the progress in the newer verticals, can you reshare the margin
structure, especially for the C&I business, sort of the expected growth and the capital intensity
to scale the vertical? And what are the timelines that you're targeting for this business?
Kandarp Patel: So, C&I, especially C&I and district cooling business, like you see in a smart meter, which is
the margin as compared to the conventional transmission and distribution business, there are
very high margins in smart metering. We expect similar kind of margin s tructures, both in district
cooling as well as C&I business.
In fact, C&I business will be a very interesting one where we won't have any capex to do. But
despite the fact that because of our solutioning capability, the margins would be significantly
high of the order of INR 0.75 plus per unit. And that will be a massive segment to o – so we are
also very excited.
Shweta: I have to ask this question, especially on data centers. You have mentioned there's a lot of
potential for AESL, especially with the group's tie -ups. And sort of what indicators should we
be tracking -- for AESL?
Kandarp Patel: Data centers, in fact, we bring a great amount of value when we deal with the data center because
the two things where they find it difficult not only in India, but across the globe is getting the
power infra or connectivity and also power supply. Now AESL having presence in both, and we
are in a portion to offer them an end -to-end solution.
And this kind of approach has been well appreciated. In fact, we have been in discussion with
multiple players, big players who are planning to enter into India in a massive way. So , it's going
to be a very exciting one, especially C&I coupled with our capability of delivering that power
infra as well.
Moderator: Next question comes from the line of Pratik Chitaleya with M&G.
Pratik Chitaleya : So my question is around how are we going to fund the future capex ? Are we going to raise the
debt or it will be funded through internal accruals? How it will be done?
Kandarp Patel: Sure. So I'll split that basis the business divisions that we have. So , in AEML, as I just told, that
business, whatever capex that is there is being funded through its internal accruals. So is the case
with respect to the smart meter business. Smart meter business has a low gestation period. And
because of that, it is able to fund its own capex .
In fact, the -- what we are actually doing is that securitizing the receiv

ables of smart meter based
on the meters that we have installed, we are securitizing that meters, and that is funding more
internal accruals for my transmission projects.

And in case of transmission business, we generally lever these assets up to 70%, 75% at the
inception. And then once the asset gets completed, we again launch it into the bond market. So
we try to lever it further up to 80%, 85% once the asset gets operati onal.
So based on that and based on the internal accruals and the fund flows that the company is
generating, we do not envisage any further equity borrowing, which is required to fund all our
under -construction projects that we currently have.
Pratik Chitaleya: Okay. Are we looking at the bond funds, funding through bonds or... ?

Kandarp Patel: So, we look -- for our debt funding, once the asset gets operational, we continue to look various options, which includes domestic bonds, which will include the bonds in the international market as well as bonds in the capital markets across. So yes, we look at but only after the asset gets completed.

Kunjal Mehta: And also sometimes for refinance like...

Kandarp Patel: And of course, refinancing, yes.

Moderator: Next question comes from the line of Vishal Periwal, PL Capital.

Vishal Periwal: Sir, in terms of tendering this particular year, can you give some color, like how has been in the last 3 -odd quarters of FY '26? And in terms of NCT cost, I mean, out of that, like how much we could have won this year?

Vijil Jain : So, this year, so far, we had up to INR 44,000-odd crores worth of tendering which happened. And this is again based on the NCT cost estimates. And as you know, the actual cost estimates project to project differs. For example, HVDC especially, right?

So, the numbers are elevated in terms of actual cost. But so far, I think what we are seeing is close to INR 80,000 -odd crores worth of bidding should come through by end of this year, again, which is a large number.

Vishal Periwal: Right. And out of the INR 44,000 crore s you mentioned, so we could have won how much, I think?

Vijil Jain : Yes. So we've got two projects. One is the HVDC, which is as per NCT, about INR12,000 -odd crores, and one more project which is at Talegaon, which is about INR1,600 -odd crores. So INR13,600 -odd crores in terms of NCT costs, which broadly gives us a market share of about 30% to 32% .

Vishal Periwal: Okay. And the escalation which you mentioned, so I think the NCT is INR12,000 crores for HVDC, which we have recently won. So , in this call only, you mentioned probably the cost could in the range of INR18,000 crores to INR20,000 crores. So the escalation that you mentioned, it is pertaining to that only, right?

Kandarp Patel: Correct, correct, correct.

Vishal Periwal: Okay. Got it. And then second is in terms of tendering, you did mention like INR1 lakh crore, probably opportunity of INR80,000 crores. So all these are ISTS project? Or any opportunity are you seeing in the state also?

Kandarp Patel: No, no, there are state projects as well, especially from states like Maharashtra, Karnataka and Rajasthan.

Vishal Periwal: Okay, okay, okay. And when you mentioned we'll see these opportunity in a couple of months. So probably things will move to financial year '27 also, INR80,000 crores that you mentioned, right, sir? Or within this next 2 months that we are seeing.

Kandarp Patel: So next 12 to 15 months, you will see almost INR80,000 crores to INR1 lakh crore of bidding.

Vishal Periwal: Okay, okay, okay. And maybe like harping on the same, which you might have answered. So the tendering this particular year was slow. So I know, I mean, we have maintained market share. I mean that is what is required from AESL. But at a sector level, sir, what c

ould have been the reason for the same? Or maybe last year was there were lot of one -offs and bump up year was there. How you see things on the ground?

Kandarp Patel: So I think every year, on a steady -state basis, we will have about INR80,000 crores to INR90,000 crores. Suddenly 1 year because there was a backlog and they wanted to finish it off quickly, it bumped up. This year, it got a little slowed down because there were certain transmission projects that they wanted to revaluate depending on the change in the generation and demand profile in the country.

But on a steady -state basis, we believe that it will be about INR80,000 crores, INR90,000 crores bidding that will happen every year. Because now the state sector has also started opening up. So, as I mentioned, three states are already very, very active in TBCB and we expect many other states like UP, Bihar, Assam, Tamil Nadu, Gujarat, those are also expected to come in TBCB.

Vishal Periwal: Okay, okay. And as of now, in this INR80,000 crores, which states are active, where we are looking... ?

Kandarp Patel: Rajasthan, Karnataka and Maharashtra.

Vishal Periwal: Okay, okay. Sure, sir.

Kandarp Patel: In Maharashtra, in last 6 months, at least 7 to 8 projects got under bidding.

Vishal Periwal: Okay, okay. But I mean like has there been any outcome or... ?

Kandarp Patel: Yes, yes, yes. They have been awarded; they have been awarded.

Moderator: Next question comes from the line of Chun Yi with Ispring .

Chun Yi : I have two questions. Firstly, it's regarding the refinancing of your U.S. dollar bond. Would the company consider more of onshoring option or offshore? And what are the considerations that

the company will look at? Looking at this from more of a currency perspective and also there's a headlight today on Adani as well. So probably from the corporate governance side, it could be some negative sentiment. How would the company approach this?
Kandarp Patel: No, sure. So , what we generally focus is that we keep our options open, whether it is offshore or onshore. And at the right time, we look to refinance our bonds. So the options are always open, whether it is offshore or onshore. Our focus is always to ensure that our b onds are always rated investment -grade, whether it is offshore and onshore. And therefore, you would see is that in onshore markets, most of our projects have AA plus and AAA ratings.
And similarly, in the offshore markets, our bonds have sovereign ratings. So our focus is to ensure that we get the highest ratings. And based on that and based on the market conditions, we would tap either the onshore market, offshore market for our refin ancing of the existing bonds that we have.
Chun Yi: So just for the U.S. dollar bonds coming due this year, when will the company be considered -- come out of the plan for going offshore, onshore because I think you were saying August?
Kandarp Patel: Yes, yes, we are working towards that, and we would refinance that at least in the next 2 to 3 months and complete the refinancing.
Chun Yi: Okay. That's very helpful. And another question is probably on the ESG side. I would like to know how does the company assess the rates with our supply chain partners, especially labor practices and maybe environmental compliance?
Kandarp Patel: So we are very much working with our vendors, especially the EPC vendors and we ensure that they follow all the governance, especially the safety practices that we follow and also comply with our own ESG standards that the Adani Group as well as the AESL a s a company is following. So from our vendor ecosystem, we ensure that all our vendors are also in compliance with the ESG standards that we have set for us as well as for the Adani Group.
Kunjal Mehta: And just to add to the vendor ecosystem part. So typically, across the value chain, our

focus is
to tie up with Tier 1, Tier 2 suppliers so to ensure that we have last mile or the traceability element is there in terms of the best governance as well as lab or practices at the respective vendors also.
Kandarp Patel: And all effort you must have seen that is translating into our continuous ESG rating, whether it is international or domestic one.
Moderator: Next question comes from the line of Vishal Biraia with Bandhan Mutual Fund.
Vishal Biraia: Could you talk a bit more on leverage as to where are we currently and what should be the leverage in the next couple of years? By March of '27, where should the total debt be? And what portion of this is financed by U.S. domiciled banks?
Kunjal Mehta : Sure. So our total net debt currently as we speak is INR38,000 -odd crores, of which INR48,000 crores is gross debt, and we have cash balance of INR9,600 -odd crores. Out of the INR47,000

of gross debt we have, we have roughly INR9,700 crores of the U.S. dollar bonds in Adani Electricity Mumbai and INR10,500 -odd crores of bonds in the transm ission business.
So around INR25,000 -odd crores of dollar bonds in INR47,000 crores of the debt that we just mentioned. And our leverage currently is 4.3, which was 4.4 in September based on the published results. Currently, we are at 4.3 based on the trailing 12 months basis. And we will continue to maintain that always.
Moderator: Mr. Biraia, are you done with your questions?
Vishal Biraia: No. Last quarter, you bought back some bonds, right?
Kandarp Patel: Correct, correct.
Vishal Biraia: So FYTD, what has been the total purchase of bonds that you have done?
Kandarp Patel: In this financial year, we did a bond buyback of $95 million. $50 million we did in Q1 and $45 million we did in Q2.
Vishal Biraia: Okay. And where would this leverage -- what would be the total debt by March of '2 6?
Kunjal Mehta : So, it would be in this range itself. The net debt would be in the range of INR38,000 crores to INR40,000 -odd crores, because we have the natural amortization of the repayment, which is also happening parallelly.
Vishal Biraia: Yes. Okay. So by March '27, with this, say, INR30,000 crores of incremental capex that you will do, INR25,000 crores, INR30,000 crores, your net debt you are saying will still remain at INR40,000 crores. Is that what you are saying?

Kunjal Mehta : It is the capitalization which will happen. The capex has been done on a progressively basis every year. So yes, so it is -- what I spoke was the capitalization part.
Vishal Biraia: Agreed. But even if so, if I assume, say, INR20,000 crores worth of capex that you will do for the next financial year, say, and INR5,000 crores of capex that you might do in fourth quarter, so I was saying, so that is where even if I assume INR25,000 crores more of capex that you would...
Kunjal Mehta : Yes, yes, but that would also translate to additional earnings because of the capitalization which will happen, right?
Vishal Biraia: Sure, sure. Sorry to harp on this. But so, by March of '27, you are saying your net debt ratio would still be flattish.
Kunjal Mehta : Correct, correct. I can walk you through the numbers, I mean, but it's not going...
Vishal Biraia: Sorry, last question is, of this INR25,000 crores of bonds, what is the maturity that is coming about in the next 2 years?

Kandarp Patel: So, the immediate one, which is coming up is the $500 million bond, which is in August '27, which I told you we are going to refinance in the next 1 to 2 months itself. The balance we have back dated maturities like the AEML bonds is maturing in 2030, 2031. Our average debt maturity profile of the dollar bonds as well as the INR bond market is currently 7.9 years.
Moderator: Next question comes from the line

of Shirom Kapur with Jefferies.
Shirom Kapur: Just want to ask you on your capex and capitalization. So starting with capex , are you -- last quarter, you had guided for transmission, about INR114 billion to INR115 billion, distribution, INR16 billion and smart meters, INR40 billion for this year. Are you on track for that kind of capex this year? I mean, are you maintaining that guidance?
Kunjal Mehta : So we did capex of INR9,294 crores till 9 months. By the end of this financial year, we would be in the range of around INR15,000 -odd crores once the entire capex has been completed for transmission, smart meter and distribution.
Shirom Kapur: So this is a slight downward revision from last time. Is that -- is there any particular segment where this revision has come? Is it from the transmission side or smart meter ride? Would you be able to quantify that?
Kunjal Mehta : So, some of the projects got spilled over by 1 or 2 months in the next financial year. So that's the reason why the INR12,000 -odd crores, I mean, just about INR1,000 -odd crores, we had guided the market to around INR16,000 crores. We are currently looking at around INR14,500 crores to INR15,000 -odd crores.
Kunjal Mehta: And the downward is mainly in transmission.
Shirom Kapur: Okay. Got that. Secondly, on capitalization. So I guess similarly, last quarter, you had mentioned that in the second half, we're expecting about INR120 billion of capitalization in the transmission segment. Now you mentioned it's about INR100 billion. So there's been a slight downward revision there as well. That, again, I'm guessing is because of the deferment of projects, but I just want to understand this breakup that you mentioned of INR100 billion in AEML and NKTL. So AEML, my understanding is it's a INR70 billion project. And NKTL, as per your previous release, was a INR965 crores project. So is that the right number? So what is adding up to this INR100 billion that you expect?
Kunjal Mehta : You are right. INR965 crores NKTL is the correct number.
Shirom Kapur: Okay. So that means the balance that we're expecting this in the fourth quarter of FY '26 would be the Mumbai HVDC of INR70 billion, and the NKTL has already happened as of December. Is that going to happen 4Q?
Kunjal Mehta : It has already happened. Just happened in December, yes.

Shirom Kapur: Okay. Understood. And then -- so earlier in the call, you mentioned this INR240 billion to INR250 billion total. That would be including 4Q as well as FY '27, right, of 7 projects to be commissioned?
Kunjal Mehta : Correct, correct.
Moderator: Next question comes from the line of Anuj Upadhyay with Investec.
Anuj Upadhyay: Sir, one thing on the smart metering. We had given a guidance or a target to reach around 6 crores over the coming few years. Currently, we have a pipeline with installation in the range of 2.5 crores. Any target by when can we reach this 6 crore s number?
Kandarp Patel: So the 6 crores was -- we were talking about that number of a couple of years back. In last --

unfortunately, in the last entire financial year, there was no significant bidding opportunity came up. That -- as I explained to you, there were many states who initially never wanted to become a part of RDSS. They didn't come out with a bidding.

Now most of them have submitted their proposal to Ministry of Power, and we expect that bidding to happen in next year. And we will if not reach to 6 crore s, but we will at least maintain our market share, meaning thereby we would have about 5 crores of meter concession.

Kandarp Patel : Yes. But what's also important is that the capex or the capitalization got translated into the transmission projects because at that point in time, our under -construction pipeline was just around INR15,000 -odd crores, which is now close to INR80,000 -odd crores. I mean

that was the biggest shift which happened when we were talking about 6 crore s meters if you were referring to that period.

Kandarp Patel: So in fact, that is the biggest advantage that AESL has of diversity in businesses. Like many other similar players in transmission doesn't have that kind of diversity. So we could utilize opportunity in transmission to compensate that was not happening in smart metering.

Anuj Upadhyay: Got it, sir. And sir, in one of the earlier answer which you responded to someone's query, you mentioned that the smart metering segment would be self -funded through the internal accruals. Now with, say, a run rate of around 1 crore installation or slightly higher by the end of the current fiscal and my sense is our annual revenue on a per meter basis comes in the range of INR600-odd crores -- INR1,600, sorry. So that should secure revenue -- cumulative revenue somewhere in the range of INR1600 crores on a per annum basis, just on installation of 1 crore meter. By going or reaching a number 2.5 crores, which probably we are targeting by the end of next fiscal, that number would probably go up somewhere in the range of close to INR3,500 crores or INR4,000 crores. Correct me if I'm wrong, sir. By this mean, can you just help me in understanding the economics, how the incremental capex in the smart metering space would be self-funded?

Kandarp Patel: No, what I was saying is that we will not be doing debt funding into it. We would be securitizing those receivables itself. So the INR600-odd crores is over the next 7 years. So I would use the

securitization of that receivables itself to fund the new meters, which are going to come up. So I don't have to fund it through the accruals of the transmission business to fund smart meter business.

And based on that securitization of the receivables, I would be more than sufficient to fund whatever growth which is there in smart meter business or the existing projects of 2.25 crore s meters that I have.

Moderator: Next question comes from the line of Prateek Dugar with Intelsense.

Prateek Dugar: I had a question on our 9 -month EBITDA bridge. I mean if I look at the SCA addition to the EBITDA, the jump in the smart meter is understandable. And -- but can you elaborate on the transmission side as well? Because like it has also seen a INR300 crores jump. Like how do we read into this?

Kunjal Mehta : I mean, the transmission business has grown generally because of the operationalization of 3 or 4 projects that got completed, especially the Khavda -I, the KPS -I and the Sangod -I, resulting in the additional revenues and distribution business gave the steady state of INR1,200 -odd crores for the 9 -month period. So from that basis, that -- I mean, the largest part is coming from the operationalization of the new transmission projects, which are getting completed.

Prateek Dugar: So sir, if I understand that the -- like could I say that the SCA margin that we accrue or the SCA EBITDA if it jumps, like could that be a leading indicator for our operating EBITDA as well going forward?

Kandarp Patel: So SCA EBITDA does not lead to increase in the operating EBITDA. The operating EBITDA largely comes from the -- as the transmission project gets completed, that forms part of my operational revenue and the operational EBITDA. The capex that I do will give you an indication of the SCA margin that we put out in the income statement.

Prateek Dugar: Okay. That's it from my side. And one more, sir. I think if you're aware that sometimes back in December, the CEA had come out with a proposal of some critical items. There was a list of some 16 items in which there were HVDC assemblies which were imported largely. So , are you facing some challenges as per getting the procurement for HVDC valve assemblies?

Kandarp Patel: No, we are not facing any c

hallenge. In fact, for the recent HVDC project that we have won, which is Khavda -Olpad, we already finalized and closed the contract with OEM.

Prateek Dugar: Okay. And that would be a foreign OEM?

Kandarp Patel: Yes, yes. We have closed that contract with GE. And in fact, we have been able to -- sorry, we have been able to agree with them for a schedule which is far more aggressive than completion schedule given in the bid timeline.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Kunjal Mehta for closing comments.

Kunjal Mehta: I take this opportunity to thank all the participants who participated in the call. And due to paucity of time if we are not able to answer any of your questions and if you need additional clarifications, we are just a phone call away. Just would like to e nd our comment with that. We are now at a strong pedigree of completing our projects, especially the Mumbai HVDC and the 4 projects that we just mentioned. And based on that, we are looking to have a capitalization of at least INR25,000 -odd c rores in the next 12 to 15 months.

So that is something which is very important as far as the transmission business is concerned. And the smart meter pipeline, where we have already completed the installation of close to 92 lakh meters and looking to complete the balance meters in the next 12 months or so. So both of our transmission and smart meter business continue to have strong degree of revenue translation, which will happen in the next 12 to 15 months. Thank you all. Thank you for participating in the call.

Moderator: Thank you. On behalf of Adani Energy Solutions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2026

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April 30, 2026

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Scrip Code: 539254 Scrip Code: ADANIENSOL

Dear Sir,

Sub: Transcript of Earnings call pertaining to the Audited Financial Results of the Company for Q 4 & FY 26.

Transcript Link https://www.adanienergysolutions.com/ -
/media/project/transmission/investor/documents/results -
conference-call-transcripts/aesl_q4fy26_earnings -call-
transcript_vf.pdf
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Call-Audio/Q4-FY26-Investor-Call-Audio.mp3

Copy of the said transcript is also attached herewith.

Kindly take the same on your records .

Thanking you,

Yours faithfully,
For Adani Energy Solutions Limited

Jaladhi Shukla
Company Secretary

Encl: As above In continuation to our intimation dated April 24, 2026, please find below web link of transcript of the Earnings Call on Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended March 31, 2026.
Weblink to access above transcript and audio recordings are as under-:

"Adani Energy Solutions Limited
Q4 & FY '26 Earnings Conference Call"
April 24, 202 6

MANAGEMENT : MR. KANDARP PATEL – CHIEF EXECUTIVE OFFICER --
ADANI ENERGY SOLUTIONS LIMITED
MR. KUNJAL MEHTA – CHIEF FINANCIAL OFFICER --
ADANI ENERGY SOLUTIONS LIMITED
MR. PRASHANT SONI – HEAD FINANCE – ADANI
ENERGY SOLUTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call hosted by Adani Energy Solutions Limited. From the AESL side, we have the following on the call as main speakers , Mr. Kandarp Patel, CEO; Mr. Kunjal Mehta, CFO; Mr. Prashant Soni, Head Finance.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Prashant Soni from AESL. Thank you, and over to you, Mr. Soni.

Prashant Soni: Thank you. Thank you, Ryan. So thank you, and a very good day to everyone. A warm welcome to the Q4 FY '26 earnings call from AESL. We hope you had an opportunity to review the earnings presentation and final results that we shared on our website.

To outline the flow of today's call, we will begin with the opening remarks from our CEO, Mr. Kandarp Patel, following which we will open the floor for Q&A. The call will conclude with closing remarks from CFO, Mr. Kunjal Mehta. For those who wish to ask questions, we request you to start join the question queue a little in advance to help us manag e the Q&A efficiently. Thank you.

And with that, I would like to hand over to Mr. Kandarp Patel for his opening statement. Thank you. Over to you, sir.

Kandarp Patel: Good morning, everyone, and warm welcome to all investors and analyst friends on this call for Q4 and FY '26 of Adani Energy Solutions. Well, you must have received all the material in terms of our accounts and financial performance and also operational p erformance. But I would like to highlight few points that are very distinguished point, which probably may not have been emerged out very clearly from a finance.

So obviously, this year, besides many other projects, we have commissioned that Mumbai HVDC project, which is not only regulatory asset -based project -- RAB -based project, but it is also very, very important for Mumbai transmission capacity augmentation. It will also help AEML in integrating more and more renewabl e power for our distribution company.

The another significant milestone that we could complete -- achieve this year was deployment of smart meter on the ground. While we anticipated or we projected that we will be doing about 70 lakh meters this financial year, we surpassed that target, and we ended up i nstalling about 83 lakh meters on the ground. That is probably the highest number that any operator has achieved not only in India, but probably also on a global basis.

While we continue to do all this project execution on the ground, there is a significant shift or change that is happening at AESL level. You must have noted that the capex at -- AEML consolidated capex , transmission, distribution, smart metering has increased significantly over a period of time. We have now reached too close to INR15,000 crore s capex .

We will continue to improve the capex and reach about INR20 crore s capex this year. But while we are improving capex , you also must have noted that there is a significant improvement that is happening on the credit rating side. So now most of our assets are AAA+ or AAA. And there is a significant improvement in credit rating while we are scaling up the capex .

So usually, it becomes even challenging to maintain the credit rating while you are significantly stepping up a capex , but we have done it otherwise. We have improved on credit rating. And consequently, our interest cost is also going down. Now even in the challenging time, volatile time, if you are in a position to improve credit rating and reduce your interest cost, th a

t's a
significant achievement from AESL side. And that would mean that incremental return for shareholders.
Now similarly, with HVDC commissioning and the regulatory asset base capex that we continue to do at AEML. Now when we took that AEML, the RA B was about INR5,400 crores. Today, you must have seen that it has reached to INR10,500 -plus crores. Similarly, in transmission as well, the asset -- RAB -based asset was about INR 10,000 crores.
Now we have added INR7,000 crores of HVDC. And we will continue to make sure that the proportion of regulatory asset base and competitive asset base remains healthy. And that is driving our growth and cash generation. And with this, we have been able to do the refinancing of our $500 million bond and that we refinanced from Apollo, who is U.S. insurance investor.
Now that gives us confidence that even during this challenging geopolitical situation, we have been able to leverage our financial and operational strength, and do the refinancing. Similarly, on a smart metering, we will continue to scale up our operation s. We think that smart metering business is not limited to our contractual period, but it is a perpetual on e given the industry structure.
So we believe that this opportunity is going to continue even when those existing concession expires, maybe in terms of extension or new bidding opportunity. And with the capabilities that we have created, we certainly are in a much better footing to take advantage of future opportunities.
Similarly, on the transmission side as well, this year, we have improved on the market share. We have reached to now almost 29 percentage of the project that went into bidding. And there are about INR150,000 crores projects already identified for the bidd ing. Simultaneously, as I mentioned, we are scaling up our capability in deploying capex on the ground, and we will continue to do that. With the improved interest cost and with improved capability of deploying capex, that will give us an opportunity to ca pture a larger amount of opportunity -- transmission opportunity in the market.
On the operational side as well, we have been doing consistently well. This year as well, the O&M availability has been 99.7. Similarly, on the transmission side -- distribution side as well, we have been consistently been able to reduce our distribution losses. So all in all, the distribution loss has already reached to 4.2 pe rcentage.

In fact, we started with 8.5 percentage and we have reached to this level. The significant thing that is going to happen from a growth side besides transmission and smart metering will be C&I segment. So we have started that operation. We are now closely about 5,000 megawatts of renewable capacity contracted. We are already having about dozens of third -party consumers of about aggregating of about 1,400 megawatt capacity.
It will give us a great lever in capturing that market, which has a huge potential, including those data centers coming up in India. So all in all, C&I will also become one of the major growth driver in the next year. And we will have a detailed presentati on on C&I once we complete next financial year and have this call again somewhere in May next year. And we will lay out what are the kind of activity that we have been able to do it in C&I.
So all in all, in all our segments that we operate, whether it is transmission, distribution, smart meters or C&I, we see a great potential there, great opportunity. And since we are improving capability of capex deployment and discipline in capital manag ement and capex deployment, we will continue to capture those opportunities.
With this, I will hand it over to Kunjal for...
Kunjal Mehta: No, I think we can now start the questions from the analysts or the investors.
Moderator: Thank you. We take the first question fro

m the line of Mohit Kumar from ICICI Securities.
Please go ahead.
Mohit Kumar: Good afternoon, sir and thanks for the opportunity. My first question is, sir, can you help us with your expectation for capex in FY27 and FY28 for three businesses separately?
Kandarp Patel: Yes, sure. So we will have about INR22,000 crores of capex next year, of which transmission would be about 15,500, distribution about 2,350, smart metering about 3,900 and -- so these are the numbers. So we'll be around 21,000 -- between 21,000 to 22,000.
Mohit Kumar: So this is for FY27, right, sir?
Kandarp Patel: Correct.
Mohit Kumar: Is it possible to share the FY28 or is not possible as of now?
Kandarp Patel: No, no, it is possible, but that number will be a little approximate, but it will be around 23,000. So of that the transmission would be about 20,000. Distribution, again, will be about 2,000 and smart metering, given the order book, we are not assuming t he additional one. But given the order book, it will be 1,500 and whatever the additional order that will come will get added. So

somewhere between 22,000 to 25,000.
Mohit Kumar: Understood, sir. My second question is, sir, is it possible to share the expectation for capitalization or commissioning in FY27 , FY28? And can you just please, sir, help us understand whether you have included the Mumbai HVDC completely in FY26? Is that the right understanding?

Kandarp Patel: Yes. So Mumbai commissioned in FY26 only in the last month.
Mohit Kumar: Completely?
Kandarp Patel: Yes, completely. Yes, 100 percentage. And the capitalization number in FY27 would be about 21,000, 22,000. In FY28, it could be about 13,000. And thereafter, the capitalization will improve especially in transmission because those HVDC projects that will s tart getting commissioned from FY29.
Mohit Kumar: Understood, sir. Thank you and all the best, sir. Thank you.
Moderator: Thank you. We take the next question from the line of Manish Ostwal from Nirmal Bang Securities Private Limited. Please go ahead.
Manish Ostwal: Yes, sir. Thank you for the opportunity. I have a question on the balance sheet leverage. So sir, if you look at our cash flow for the year FY26, we have operating cash flow of INR10,000 crores -- almost INR11,000 crores, and we are having capex of INR14,431 crores. So effectively, our free cash flow negative INR7,500 crores. So what is your view on the balance sheet leverage, where we are comfortable? Can you guide us on that front, sir? That will be helpful for us.
Kunjal Mehta: So that's from an operating cash flow. So you would understand is that most of our assets, we generally finance it in the ratio of 70:30. So only the equity portion is funded through the internal accruals. So balance is tied up through the debts. From tha t position, we are fully comfortable to meet all our existing capex requirements in transmission, smart meter and even distribut or.
Moderator: Thank you. We move on to the next question, which is from the line of Dhruv Muchhal. Please go ahead.
Dhruv Muchhal: Yes, sir. Thank you so much. Sir, can you help me what is the capitalization for FY26? And if you can also break it up between transmission, what is in transmission?
Kandarp Patel: So '26 is about INR 15,000 -- INR15,300. Transmission is INR 10,260 ; distribution, INR1,511 and smart metering INR3,556 .
Dhruv Muchhal : All right. S ure. And sir, also one accounting thing is what would be a CWIP be in a normal accounting term at t he end of FY 26 be, overall consol e CWIP?
Kunjal Mehta: So between the SCA assets and the normal conventional assets, so if you look at the financials, the current CWIP is around INR2,053 crores, which is for the non -SCA assets and for the -- currently, we are currently having SCA assets of about I'll just give you the number.
Dhruv Muchhal: Because now t

he accounting has changed, so it will become a bit confusing?
Kunjal Mehta: Yes. So SCA assets is currently around INR6,200 crores and the CWIP is around INR2,500 crores.

Dhruv Muchhal: Sir, broadly INR8,000 crores of CWIP. And sir, just trying to combine the math and you're guiding for a capitalization of about INR15,000 crores in transmission in next year, FY 27. So what we generally see is what your CWIP is at the end of the year probably gets capitalized at the end of the next year, the typical cycle in transmission, but your guidance is much higher. For example, for your transmission guidance, is about INR15 ,000 crores next year, capitalization guidance. And assuming all the CWIP is for transmission, that's about INR8,000 crores. So I'm just trying to reconcile the math?
Kunjal Mehta: Yes. But there would be a capex which will be incurred during the current financial year as well, which will also get translated into capitalization. I mean, just to give you a perspective, especially in transmission assets, what happened is that certain types of transformers or certain types of substations are generally procured during the fag end of the asset and tha t gets capitalized immediately.
And this is exactly what happened in case if you note in HVDC project as well. So it is just at the last period when you procure heavy equipments, which gets capitalized during that financial year and which does not generally form part of CWIP or your asse ts.
Kandarp Patel: Dhruv next year also -- means in the current year, we plan to do a transmission capex of about INR15,000 crores to INR16,000 crores and INR8,000 crores of this WIP. And out of this total block, we plan to capitalize about INR14,500 crores to INR 15,000 crores.

Dhruv Muchhal: Perfect. And sir, two macro -related questions is in some of the government documents, the transmission committee meetings, what we're seeing is they've started to talk about batteries, the cost -- the higher cost of transmission, particularly it seems the HVDC lines and they've started to compare it to batteries and all those. How should we see this? Is it the cost becoming a challenge or the integration becomi ng a challenge o r I mean, why we thought? Just trying to understand how do you -- how you're seeing this?
Kandarp Patel: No, obviously, that debate is going on at a policy level as to how much of transmission capacity that country should add because it also has a cost implication, especially for renewable project. So the debate is that should we push as a sector the installa tion of more co -located BESS so that transmission costs could be optimized.
But see, what is happening is that, that's one leg of transmission, but whatever electricity is generated that also has to get distribute d and taken to the last mile to the end consumer. Now in future, what we see, while -- the interstate transmission line will continue to get crystallized and come into bidding, but we expect to see a lot more activity from a state side because all those transmission corridors, which are created or which a re being created for taking renewable energy to load center.
Now those investments are required to be made at a state level to take it to last customer. So we see a lot of opportunity coming from state side as well. And you must have seen in last year, there are a few utilities or state who has already started bidding for multiple projects like Maharashtra, Rajasthan, Uttar Pradesh and even Karnataka. So we see a lot of action coming from those states as well.

Dhruv Muchhal: So basically, just to understand this well, a larger portion of the ISTS evacuation is done. Now it is more about optimization and the activity to a larger extent shifts towards the intrastate network ?
Kandarp Patel: No, I'm not sa

ying that it is alrea dy done. There will also be – we will also continue -- if we as a country we are in a position to install base at a massive scale, then probably that quantum might come down to a certain extent, b ut it is not completely done.
Dhruv Muchhal: Yes, sure. Got it. And sir, last thing on the C&I, you mentioned about 5 gigawatt you have tied up and the data center -led demand that you can cater. Just trying to understand, it seems the government is also looking at -- state governments are looking at givi ng distribution licenses to these large hyperscalers. So how does it position us in that thing? I mean, can they still come to you for that round -the-clock power or they do it themselves? I mean, just trying to understand our positioning then, if they get operationalized?
Kandarp Patel: No certainly, even if they become a distribution licensee, they will have to source power. And because their requirement of power will be very, very peculiar, that is where we come in, especially from power infra side as well as from supply side. So now w e having got capacity of solar, wind as well as BESS with us, we are in a position to offer that kind of a solution to, whether it is a customer or the deemed distribution licensee given to a customer. So essentially, it remains a customer.
Dhruv Muchhal: Okay. And this 5 giga watt that you have tied up is, I mean you have freeze this capacity for yourselves and then you find your customers. For example, 1.54 gigawatt you have already found and the remaining you will find it now?
Kandarp Patel: Correct.
Dhruv Muchhal: Sure, great. Nice one. Will be helpful to understand more on the C&I as you shared. Thank you so much.
Moderator: Thank you. W e take the next question from the line of Manish Somaiya from Cantor Fitzgerald . Please go ahead.
Manish Somaiya : Hi, good morning. C ouple of questions. The first one is on smart metering. The installation rate was quite impressive in the fourth quarter. So I was hoping you could help us understand how we should think about 2027? And also, when I look at the book of business that you cu rrently have, which is around 24.6 million, if you could just help us get feel for when is sort of the next time you'll have an opportunity to do more tenders? And when do you expect to -- for that number to meaningfully increase?
Kandarp Patel: Manish, so next year probably we'll be doing about minimum about 1 crore s meters. Having done 83 lakh meters in the current year, we are confident that we'll be able to install another 1 crore s meter in the current financial year. As far as next opportunity is concerned, you must have seen when we started that concessions were about 2.3 crores, but now we have reached to 2. 46 crores.

Essentially, there are two ways of getting additional concessions here. One is that in the existing contract itself, it has swelled to 2.5 crores, 2.3 crores. And the balance opportunity, which remains in the market is about 9 crore s to 10 crore s meters. There are a few states who are awaiting their approval from central government under RDSS. And those states are Karnataka, Tamil Nadu -- Tami l Nadu already has an approval.
So now they have to come out with the bidding process. Probably they will come out when their elections are over. So the opportunity remains are Tamil Nadu, Karnataka whole state, Telangana whole state, Andhra Pradesh part, Gujarat part and MP part. So thes e are the opportunities which are still pending in the market.
Manish Somaiya : Okay. That's super helpful. And then on the distribution side, EBIT was down about 14%. Volumes were up. Losses obviously improved. So maybe I was just hoping to get some color from you as to how we should think about distribution in fisc al '27 from a financial measure?
Kandarp Patel: So we will continue to have that similar

amount of capex in distribution. See, distribution, what
is happening is that in AEML, we continue to harden the asset. So we continue to add about INR1,500 crores to INR2,000 crores capex every year. And we are also making sure that our tariff remains the same, almost at the same level.
And that we have been able to do and we will continue to do by improving operational efficiency. So effectively, what we are doing is that all efficiency gains are transferred for investors for incremental return bec ause we continue to add that RAB . So it's a win -win for customer as well as shareholders. So shareholders returns are improving, but customer tariffs are remaining same and service levels are also improving significantly. And that's the reason why AEML has been rated number one distribution comp any in the country since last 4 years now.
Manish Somaiya : And then just lastly on transmission, I think you talked about the Mumbai HVDC coming online fully. If you can just help us quantify the EBITDA run rate contribution from some of the projects that have come on in fiscal '26 into fiscal '27? And then just a related question to that. The tendering opportunity that you mentioned of INR1.5 billion, how should we think about the win rate as we model out?
Kandarp Patel: Sorry, Mani sh, how should we think about?
Manish Somaiya : In terms of the win rate or the tendering opportunities that you have?
Kandarp Patel: Yes, currently .
Manish Somaiya : Could be absolutely a certa in percentage?
Kandarp Patel: So Manish, currently, we are about -- in fact, we were about 20 percentage, 25 percentage. We have improved this year to close to 30 percentage. So we will continue to maintain that market share between 25 percentage to 30 percentage. While we can also incre ase market share, but we -- as I mentioned, we will make sure that we remain disciplined both in terms of capital management as well as capex deployment.

So that is the area where we don't want to compromise. So we will limit ourselves to 25 percentage to 30 percentage and that will also be conver ted into amount. It will be INR 40,000 crores, INR50,000 -odd crores of new opportunity for us in the transmission itself.
Prashant Soni: And Manish to the first question, this year, the capitalization which has happened for transmission on fully run rate basis, we will be able to add another INR1,6 00 crores of EBITDA, around INR 1,600 crores by thos e commissioning of existing the projects, which has been commissioned in this financial year. I'm talking about the INR1,600 crores is the revenue number.
Manish Somaiya : Okay. And then just maybe for Kunjal, last question in terms of leverage with capex going higher, are we still co mfortable with that 4x to 4.5x o r should we expect that to inch a little bit higher?
Kunjal Mehta: No, we'll continue to maintain that leverage in the ratio of around 4.5x to 4.7x.
Manish Somaiya : Okay. All right. Thank you so much and good luck.
Moderator : Thank you. W e take the next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Thanks for the opportunity once again. S ir, my question is on the Mumbai HVDC, which you commissioned. How do you exp ect to book revenues in the FY 27? Will it be at lower project cost, in the sense it will be booked at provisional tariff or it will be booked at the full project cost?
Kunjal Mehta: So as you know, this is a RAB -based project and once the tariff is approved by the regulator, you are entitled to start billing to the regulator. So currently, the number is INR1,300 -odd crores

which is the full year tariff from the Mumbai HVDC project, w hich we will start accruing from
next full -- next financial.
Mohit Kumar: Understood, sir. My second question is, sir, of course, it was regarding HVDC Pole 2 of Mumbai.
We understand that, of

course, the state transmission co mmittees had approved it and they
commended it to the empowered committee of state. H ave you heard anything on that a nd is it
fair to expect that HVDC Pole to start working in this -- from this fiscal?
Kandarp Patel: So as far as HVDC Pole 2 is concerned, the evaluation at MERC and STU level is going on. We
feel that Mumbai will require -- certainly require additional transmission capacity. But we can't
commit currently , because that's still under the evolution at MERC and STU level.
Mohit Kumar: Understood, sir. My second question is, sir, can you help us the progress on the 2 HVDC
projects, which we are working on right now in terms of percentage completion? And could you
also address the ROW challenges if you're facing any?
Kandarp Patel: So as far as Fatehpur -Bhadla HVDC is concerned, the construction has already begun, both at a
substation and a line level. And we haven't faced any significant ROW challenge as far as that
project is concerned. As far as Khavda -Olpad is concerned, we have finalized all the contracts,

but the construction has yet not started, it will start. So Khavda land is now already under the
possession. Land at Olpad, we expect to get possession from Power Grid in maybe a month's
time. And once we have that, we will start construction at both the p laces.
The preparative work at Khavda has already started because that land is already in possession.
And we already submitted those proposals for environment and forest clearances because that
will also become a significant part. We already started applying for ROW permission. So those
are compensation orders from state government. So currently, it's progressing as per plan. You
will see a lot of action on ground, on both the projects in the current year.
Mohit Kumar: Is it possible to share the percentage completion for Fatehpur -Bhadla? How much percentage
completed till date?
Kandarp Patel: I don't have that number ready , Mohit, but we will send you that.
Mohit Kumar: But is it fair to understand that most of the capex will happen in F Y27, F Y28 for Fatehpur -
Bhadla?
Kandarp Patel: Yes. So the capex in Fatehpur -Bhadla will start -- significant capex will start from current year.
Mohit Kumar: Understood, sir. My last question is, sir, is it possible to share the margin profile for the trading
business, especially on the 1.5 gigawatt ? And when do you expect the 1.5 gigawatt to start
contributing to the top line?
Kandarp Patel: So the 1.5 gigawatt that we have already tied up, the margins are in excess of INR0.50 per unit.
Rest we are still working. So once we tie up that capacity, either on a medium -term or long -term
contract, then those numbers will get crystallized. Currently , we are operating on a merchant
market, and that depends on the market condition, which is varying on a day -to-day basis.
Mohit Kumar: Is it right to say that the margin profile currently is lower and it will improve once we start selling
into the merchant market -- sorry, selling into the long -term C&I market?
Kandarp Patel: So I would not say it is lower, but you will get more certainty once you have a contract.
Moderator : We take the next question from the line of Shirom Kapur from Jefferies.
Shirom Kapur: Just had a small bookkeeping question. So your operational EBITDA for your smart meters
business, so 9 months FY26 in the presentation showed about INR466 crores. And for FY26 full
year, it's showing as INR452 crores, though for the fourth quarter, it's showing about INR180
crores. So has there b een some kind of restatement in your operational EBITDA? And if you
could quantify that for the past 3 quarters, like what would have changed in those numbers?
Kunjal Mehta: No. So just that the operating EBITDA is purely a function of the number of meters that gets
installed. So from that

perspective, every quarter, that number will keep on increasing. So there
is no restatement as such. It's just that we show both the numbe rs in our financials, the Ind AS
numbers as well as the non -Ind AS numbers.

Shirom Kapur: I'm referring to the non -Ind AS numbers itself. Your operational EBITDA in the 9 months of
FY26 totally was INR466 crores, but your total full year FY26 is INR452 crores. But the fourth
quarter wasn't a loss, right? Fourth quarter itself was INR180 crores of operational EBITDA. So
that's what I'm understanding. Then this number implies only about INR270 crores in 9 -month

FY26 versus INR470 crores that you mentioned in your 9 -month presentation. That's the kind of discrepancy I'm asking about, if you could share -- clarify that?

Kunjal Mehta: No. So my operating EBITDA for the full year comes to around INR593 crores for smart meter business and for the Q4, it is INR214 crores.

Shirom Kapur: I'm referring to non -Ind AS numbers, if you -- that's where I'm seeing the discrepancy. That's why?

Kunjal Mehta: So I'll have to check that as to from where you are getting 9 -month number.

Shirom Kapur: It's in your presentation, the 9 months presentation, Slide 10. We can take it offline. That's okay. Second, my next question is on the -- this INR1.5 trillion tender pipeline. So is this entirely an opportunity in the next 12 months? Or if you could give what the 12 -month pipeline number would be?

Kandarp Patel: So 12 -month would be about INR80,000 crores to INR1 lakh crores, depending on how bidding process proceeds. But we expect that bids about INR80,000 crores to INR1 lakh crores will get finalized.

Shirom Kapur: Got it. But could you give us what this 12 -month pipeline would have been at the same time last year? Has it increased?

Kandarp Patel: It has almost remained the same.

Shirom Kapur: Remained the same. Okay. And just last clarification on your -- the SCA assets that you mentioned, this INR6,200 crores of SCA assets, that would be accounting -wise part of your gross block number, right? And the INR25 billion -- INR2,500 crores you menti oned would be part of CWIP. This is not part of -- this is beyond what is your reported number. Is that understanding correct?

Kunjal Mehta: No. So SCA gets reported separately as under non -financial assets, but...

Shirom Kapur: Right. So the number you mentioned, INR6,200 crores, that would be already the operational asset and INR2,500 crores is yet to be operationalized, right? Is that understanding correct? These are both part of your other financial assets, but this would be the breakup for the SCA assets on the smart meter side?

Kunjal Mehta: So one is contracted assets and one is SCA assets. Once the asset gets commissioned, that forms part of your contracted assets. And o nce it is under construction, it forms part of your SCA assets. And b oth are part of non -financial assets.

Shirom Kapur: Sure. Could you give that number in your other financial assets right now, how much is already the contracted asset and how much is under construction?

Kunjal Mehta: INR6,200 crores and INR 7,000 crores .

Shirom Kapur: INR6,200 crores and INR7,000 crores.

Kunjal Mehta: Correct.

Moderator : We take the next question from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: First question is on the intrastate opportunity. So what do you think like annually, what's the pipeline and what kind of bidding number that we are looking at?

Kandarp Patel: So intrastate would be around INR30,000 crores to INR40,000 crores collective all state together annually.

Mahesh Patil: Okay. A nd sir, my second question is on the HVDC -- Mumbai HVDC project. So we mentioned that we commissioned it fully in FY26. So is it possible to share the date? W

as it a single date or the different elements were commissioned at different point of time?

Kunjal Mehta: It was a single date. We commissioned from 15th March.

Mahesh Patil: Okay. And sir, the cost remains as INR7,000 crores, right, for tariff and everything. No additional cost or tariff is being claimed here?

Kunjal Mehta: So INR7,000 crores is the cost of completing that project.

Moderator : We take the next question from the line of Ram Jay from JP Morgan.

Ram Jay : I have a question regarding the smart meters installed. How much is the number for the last year, smart meters?

Kandarp Patel: No, no. Last year, we installed 82.29 lakhs smart meters in '26.

Ram Jay : Okay. Sir, your media release, Page 3, it says we have deployed 1 crore s smart meters.

Kandarp Patel: It is all aggregate till today. So last year, when we began, there was about 31 lakhs smart meters, which was installed. In the current year, we installed about 82.29 lakhs meters. So the aggregate is that number.

Moderator : We take the next question from the line of Bharat C . Shah from BCS Capital Ideas Limited .

Bharat Shah : One growth question, given the fact that the opportunity on transmission now clearly seems to have widened and it is also reflected in our capex program. Our distribution assets are doing a steady progress and helped by addition of new RAB assets, but our smart meter is a high -growth opportunity, at least for some length of time. And maybe at some stage, C&I will kick in.

In that backdrop, if I look at -- and I'm focusing on operating profit, that is profit before adding any other income. So our profits for the 4 -year period have remained range bound between INR4,000 crores to INR4,500 crores each year between financial ye ar '19, '20 up to '22, '23. In that 4 -year period, it has been in the range of INR4,000 crores to INR4,500 crores. Then clearly, we made a break in the subsequent year approaching closer to INR6,000 crores, then in '25, INR7,000 crores and now '26 , about I NR8,000 crores.

While definitely there is a progress made in last 3 years, but at what stage I think more correctly reflective of opportunity and our own preparedness and strength in the area where we see far more accelerated growth in our operating profit. So from INR8,000 crores for the last year operating profit, at what stage do we see doublin g of that? And in what time period we think it will triple?

Kandarp Patel: So thank you, Bharat bhai, for this question. So this year , last year, the consolidated number was INR8, 726 crores. And see, our business other than C&I is all cape x-based business. And then the moment we capitalize, we add that profitabilit y. And as we discuss on the cape x and capitalization plan for coming year, that will directly translate to addition of EBITDA. So next year, given the capitalization plan, we expect that number could be around INR11, 500 crores.

Kunjal Mehta: So Sir, as you know, generally, as management, we would not give guidance on the EBITDA numbers. But as we mentioned is that there is a significant cape x capitalization, which is going to happen during the next 2 years itself. And if you consider that during this financial year, we have just added , I mean, we have not added any revenue numbers from the Mumbai HVDC here , which is a significant increase when the full year numbers will kick in, in FY 26.

So from that perspective, and if you consider the locked -in portfolio of Transmission by the end of 4 years when all these projects would get fully commissioned, we are at least looking 3x the size of the current Transmission EBITDA trajectory that we have.

Bharat Shah : Sorry, 3x, in what time frame?

Kunjal Mehta: Once all these , all the existing transmission project gets completed in the next 36 to 40 months the transmission EBITDA will be 3x from existing

transmission EBITDA .

Bharat Shah : I see. So in 3 to 4 years' time, what is operating profit of a bout INR 8,000 crores and E BITDA of a little less than INR 9,000 crores last year, we are seeing it should triple in 3 to 4 years' time?

Kunjal Mehta: Yes, only for transmission business , Once all these projects have the locked -in tariff, which has been indicated and all these projects on a run rate basis will start then ta ckling all these numbers that we have mentioned.

Bharat Shah : And that takes into account all of , that takes into account some amount of additional smart meter contracts that you may get or based on the current contracts only that you are estimating?

Kunjal Mehta: Based on the current smart meter contracts of 2.46 crore s meter .

Bharat Shah : All right. Which means ess entially that what is about INR 8,000 crores operating profit and less than INR9,000 to INR 8,700 -odd EBITDA s hould be in the corridor of INR25,000 to INR 27,000 in 3 to 4 years' time?

Kunjal Mehta: I would not , I mean, I'm just saying is that all the transmission tariff numbers would get stricken . I would not want to put a number today on the EBITDA because I don't , we generally do not give a guidance on the EBITDA's to , on the investors. What I'm saying is that all the transmission projects would get completed, and that itself would translate to 2 to 3x transmission numbers of the current numbers.

Bharat Shah : Okay. And Kunjal, I appreciate you being very coy about the guidance and because these are predictable assets, predictable time lines of execution, and we know , what are the rate of returns we have to earn on that. So there is a fair degree of settled clarity as to what the number should be out ? Essentially .

Kunjal Mehta: This is exactly what I think is that, sir, that INR72,000 crores of the under construction pipeline would translate to an additional tariff of IN R10,000 -odd crores once this entire project gets completed. You know that the distribution b usiness will have currently INR 2,500 crores EBITDA, which will translate to close to INR3,000, INR 3,200 numbers. And smart meter business will also start genera ting INR2,400 crores to INR 3,000 -odd crores of EBITDA trajectory once the entire smart meter , I mean the numbers , I mean that's the guidance which we have been giving to everybody, and we'll continue to give that.

Bharat Shah : Okay. I appreciate. I just wanted to basically hear and understand that finally a range bound kind

of corridor in which we were there for the length of time. Clearly, last 3 years, there have been improved progress. But takeaway progress is what I was loo king forward to. And I believe now this is the phase which is commencing for that takeaway growth, right?
Kunjal Mehta: Correct, sir.
Bharat Shah : Okay. And is the picture more shaded thereafter after these 3 to 4 year corridor is over? Or given the longevity of the transmission opportunity and hopefully, other things which will play out like you talked about C&I and hopefully, distribution game may open up, would we say that the pace of our expansion conducted by wo uld continue thereafter, is it?
Kandarp Patel: So obviously, Bharat bhai, we would like to continue that way. And you are spot on. Currently, it is a transmission which is contributing to growth. It could be C&I after some time, then it could be a distribution after some time. And the other one that w e are incubating is district cooling probably that will also start picking up in 4, 5 years' time. So, we'll continue to have that aspiration of growing, but with a financial discipline and execution discipline as well.
Bharat Shah : One last thing, Kandarp bhai. For district cooling opportunity, I believe we are doing something in Gandhinagar. But overall, the large new clusters are coming about of development across the cou

ntry, are we not looking at tying up opportunity at the earl y stage and figuring out a solution while those large mega clusters are being developed anywhere in the country?

Kandarp Patel: No, I think, Bharat bhai, that is where we are working very actively. In fact, we have just got a concession, I had mentioned in last call as well. We got a concession from one of the cluster development happening in Chennai. We are also talking to variou s state government and wherever so we see a great opportunity there. It may not be a sizable today. But going forward, Bharat bhai, we think that it is going to be a big one.
Bharat Shah : Fantastic. And hearty congratulations. I think probably the most exciting phase of this opportunity, probably as I see it has begun.
Moderator : We take the next question from the line of Nirmal from Aditya Birla Sun Life AMC.
Nirmal: I have two small questions on the transmission bottlenecks. So just wanted to understand to what extent do you see the revised compensation scheme, especially after the latest revision, positively impact in resolving the ROW issues this financial year? An d is it just the compensation that is impacting ROW issues or there are other issues as well?
Kandarp Patel: So, ROW, there are two kind of ROW. One is where you require a permission. So essentially, it is like a forest clearance or if you are encountering any wildlife sanctuary, those clearances and there is a set process around it, and we have also completely structured that particular pr ocess in a way that we now know very clearly as to when are we going to get. And our team is fully aligned to the process or the requirement of the process for getting those approvals.
And the second part is ROW from the general public, where there is an ownership of the land from farmers or individual. And there, those government policies come into play. Many a times, we see that despite having a collector order for compensation as per the government policy, a few of the individuals or group of the individuals will still create a problem.
Even now all the governments, state governments as well as central government is very serious about this particular problem, and they are also trying to systematically sort this out. We have also seen now police protection being utilized very frequently fo r getting ROW. So, these challenges are there on the ground, but we also see that timely action from various government authorities as well to sort those issues out.
Nirmal: And do you see the revised compensation impacting positively this financial year?
Kandarp Patel: So revised compensation, if it is revised by government and we have to pay that additional compensation, we are neutral to it because that gets covered into change in law. But I don't see it is getting revised significantly anytime soon.
Nirmal : No, sir, I meant the new amendments that are there. So now you need to have a committee, the market review committee is there. So whether -- do you think these new amendments will help in resolving these issues? That's what I'm trying to understand, especially this financial year?
Kandarp Patel: No, it is already there. It is not new one. The last year -- last to last year when government of India notified that policy and when all states started notifying their respective polic y, they had this provision. And, in fact, they are called DLVC Committee. So they assess what is the market

rate prevailing in that particular area and decides compensation based on that. That also gives a flexibility. Sometimes it happens that in a particular area, your ready reckoner or a Jantri rate is

low, but market price is high. And there, those committees intervention becomes very, very useful. So it certainly helps us.
Nirmal: Okay, sir. Thank you for th

e response.
Moderator : Thank you. W e take the next question from the line of Vishal Biraia from Bandhan AMC. Please go ahead.
Vishal Biraia : Hi. A ny equipment that is being sourced from China or you plan to source from China, which is in the short supply in India?
Kandarp Patel: Vishal, we can't source equipment from China
Vishal Biraia: On behalf, your EPC suppliers and equipment contractors on behalf of Adani Transmission?
Kandarp Patel: No. So as per conditions of the bid, we can't use any equipment manufactured in China if it is through TBCB. So we don't envisage any such import from China for our TBCB projects.
Vishal Biraia : Perfect. That is very helpful. And one question for Kunjal bhai.
Kandarp Patel: Just to add one thing on the supply side, the kind of challenges that we are facing as a sector in the country is easing out. In fact, a lot of new capac ity is being added as far as GIS , transformers, reactors are concerned. And all those OEM manufacturers has also started manufacturing quite a good amount of component in HVDC as well. So GEs and Hitachi 's of the world has invested in India in their manufacturing capacities.
So we see the supply -related issues g etting eased out very soon. And in fact, it has eased out to a great extent. We had a very different distinct advantage. Even in a difficult period, we were not really facing that challenge because usually, we buy through strategic procuremen t and we have that kind of relationship and we order those equipment well in advance so that we don't face those challenges of equipment getting delivered delay. In fact, no our -- no project of AESL got delayed because of delay in the equipment delivery.
Vishal Biraia : That is heartening to hear, sir. Thank you.
Moderator: Thank you. W e take the next question from the line of Bharat C Shah from BCS Capital Ideas Limited. Please go ahead.
Bharat Shah: Just one more thing, Kunjal. The borrowing level, I think for the last year in aggregate was, I think, about less than INR50,000 crores. 4 years down the line, what kind of borrowing level do you envisage?
Kunjal Mehta: Sir, I don't have an absolute number about 4 years borrowing level, but we have been always giving a guidance that our net leverage would be in the range of 4.5x to 4.7x. So we will continue to maintain that and that financial discipline, we will continue to maintain to ensure that we

always get the highest ratings for all our transmission projects. So from that perspective, we will ensure that our leverage is always in check to ensure that we have the highest ratings overall.
Bharat Shah: But Kunj al. If this is going to be high growth phase for our profit as projects will kick in. Therefore, if we assume the same 4.5x to 4.7x, then it will appear that our borrowings also would go to INR125,000 crores to INR150,000 crores, which I think based on the yearl y cash flows and other things hideout or given the capex requirement that our borrowing level will be hitting that kind of a number?
Kunjal Mehta: Sir, I'll walk you through separately about our -- the entire borrowing program for the next 4 -5 years, especially at the end of 4 years es pecially
Kandarp Patel: But Bharat bhai, two things is certain that we are not reaching that number 4.5x to 4.6x. And second thing is also certain that we have locked in c apex of INR77,000 crores.
Bharat Shah: In the 4 -year period?
Kandarp Patel: Yes.
Bharat Shah: Yes. That's what I -- that I understand. Only Kandarp bhai, given t hat kind of a pace of about INR20,000 -odd a year of capex, I would assume that borrowing probably will not rise at the same level, but I'll separately work on that with Kunjal.
Management: Perfect. Thank you.
Bharat Shah: Yes. Thank you.
Moderator: Thank you. L adies and gentlemen, we will take that as the last question and we co

nclude the
question -and-answer session. I now hand the conference over to Mr. Kunjal Mehta for his closing comments.
Kunjal Mehta: So I would just like to thank each one of you who participated in the call. In case we have not been able to answer or clarify to anyone. Happy to take any of your queries separately. Thank you all.
Moderator : Thank you. On behalf of Adani Energy Solutions, that concludes this conference call. Thank you for joining us and you may now disconnect your lines .

Call: Jul 2026

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28th July 2026

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Limited
Exchange plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400051

Scrip Code: 539254 Scrip Code: ADANIENSOL

Sub: Transcript of Earnings call pertaining to the Una udited Financial Results of the Company for Q1 FY 27.

Dear Sir/ Madam,

In continuation to our intimation dated 22nd July 2026 , please find below web link of transcript of the Earnings Call on Una udited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2026. Weblink to access above transcript is as under -:

Transcript Link https://www.adanienergysolutions.com/ -
/media/project/transmission/investor/documents/results-
conference- call-transcripts/aesl -earnings- call-transcript -
-q1fy27.pdf

Copy of the said transcript is also attached herewith.

K
indly take the same on your records.

Y
ours faithfully,
For Adani Energy Solutions Limited
J
aladhi Shukla
Company Secretary

"Adani Energy Solutions Limited

Q1FY27 Earnings Conference Call "

July 22, 2026

MANAGEMENT : MR. KANDARP PATEL – CHIEF EXECUTIVE OFFICER
MR. ASHOK JAGETIYA – CHIEF FINANCIAL OFFICER
MR. RAJ KUMAR JAIN – HEAD ENERGY SOLUTIONS PLATFORM
MR. PRASHANT SONI – HEAD OF FINANCE

Adani Energy Solutions Limited
July 22, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Adani Energy Solutions Limited Q1 FY27 Earnings Conference Call. From the AESL side, we have the following on the call as main speakers. Mr. Kandarp Patel, CEO, AESL; Mr. Ashok Jagetiya, CFO, AESL; Mr. Raj Kumar Jain, Head Energy Solutions Platform; Mr. Prashant Soni, Head of Finance, AESL.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Soni from AESL. Thank you, and over to you, Mr. Soni.
Prashant Soni : Thank you. Thank you, and a very good day to everyone. A warm welcome to the Q1 earnings call for AESL. We hope you had an opportunity to review the earnings presentation and financial results that we shared on our website.
To outline the flow of today's call , we will begin with the opening remarks from our CEO, Mr. Kandarp Patel, following which we will open the floor for Q&A session. The call will conclude with closing remarks from our C FO, Mr. Ashok Jagetiya. For those who wish to ask questions, we request you to start joining the questions to a little in advance to help us manage the Q&A efficiently.
Thank you. And with that, I would like to hand over to Mr. Kandarp Patel for his opening remarks.
Kandarp Patel : Hello. Good day, and everyone, welcome all of you on this quarter 1Q -- call. In this quarter, AESL has, in fact, now transitioned into a full -scale utility. So far, we were business -- AESL was getting a significant contribution from transmission, distribution and smart metering.
From this quarter, we have fully scaled up and operationalized our Energy Solution business.
And with all these 4 business firing on all cylinders and with all of our future growth locked in, now we are -- you will see the numbers and results consistently quarter -on-quarter.
Besides scaling up all these 4 business verticals, we continue to make sure that our execution discipline and capital discipline are maintained even in this high -growth period and thereby, reducing our cost of capital and improve consistently our credit qu ality. So , this is going to be our focus going forward.

In quarter 1, as you must have seen from the numbers, we have seen significant growth in transmission and energy solutions, and distribution and smart metering is growing at a stable pace.
So today, AESL, with all these 4 business operating it at full scale, has become most diversified utility platform, nearly with 28,000 circuit kilometers of transmission lines, leading urban distribution utilities serving Mundra and Mumbai, India's largest smart metering platform and a rapid scaling energy solutions platform across emerging customer demand.
One significant thing is that we delivered a quarterly capex of about -- close to INR3,500 crores of capex . And that is what we are focusing and we will continue to focus that we continue to deploy all those logged -in opportunity on the ground and complete these projects one by one.
We have also now completed the smart meter installation of 1.34 crore s or 13.4 million meters cumulatively on the order book of 2.46 crores or 24.6 million. In addition, you must have seen the new s that we are acquirin

g IntelliSmart. And combined IntelliS mart and AESL, we'll have a portfolio of about 4.7 crores or 47 million meters. And this contract also has provisions for natural growth of volume within the given contract. So we expect t hat volume to increase beyond 4.7.
Now the energy solutions platform, which we are talking since last couple of quarters, has now transitioned to a full -scale business, we were incubating that. So we tied up about 5,000 megawatts of capacity on a supply side. And these are mainly green ener gy supply. And we are now also tying up with various consumers. We have about 350 -megawatt of C&I customers. We are also expecting a few long -term contracts very shortly. And thereby, we will keep on scaling up this business.
So in C&I business, essentially, there are two parts. One is where we are taking a position on

the capacity on a long -term basis. So we contract those capacities on a long term and take that position, and then we sell it in the market. And we also provide energy solution in services to various consumers, like on our cement or coal, where they have developed the capacity, and we are managing that solution.

So there are two different segment in C&I business. So we continue to -- we would want to scale up both the businesses because our essential aim is to provide energy solutions to any customer that is requiring a solution. So typically, those margins on tho se capacities where we are taking the position would be higher, whereas on the services side, we'll be taking the service as is. And you will see this platform growing significantly going forward.

Now therefore, Q1 FY 27 demonstrate that AESL has arrived as a full -scale utility platform and with a structured growth opportunity, which is going to be a consistent one; and coupled with our execution record and with energy solutions, we hope that we will continue to do better in terms of results and businesse s. So we remain confident delivering sustained and compounding value for all stakeholders.

I will stop here, and we will take all the questions, and we will try and answer all the questions and queries from the investors and analyst friends.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Lavina Quadros, Jefferies. Please go ahead.

Lavina Quadros : Yes. So, firstly congratulations on a great set of results. Just wanted to check, can you throw some colo ur on the Smart Meter business, on the IntelliS mart acquisition in terms of whether a similar return profile as you extended portfolio will be there? And what are the smart meter balance tende rs that are left over the next three, four years by the Central and State Governments?

Kandarp Patel : So balanced portfolio is about 10 crores to 11 crores or 100 million to 120 million. The remaining states are Tamil Nadu, Karnataka, Telangana, a part of Andhra, and there are a few states where part quantum is also left out.

As far as IntelliS mart is concerned, we have -- we are before the CCI for approval. And once those all approvals are in place, then we will formally take over that entity. And as f ar as return profile of IntelliS mart is concerned, more or less, it will be on a similar line that we have because what we have done in the last two years that we have also reduced our capex and opex utilizing our scale.

So we will also have the a dvantage of that in the IntelliS mart volume as well. So more or less, profitability of those numbers would be very similar to what we have for AESL.

Lavina Quadros : Okay . Thank you sir . And sir, on the Energy Solutions business, longer -term strategy in terms of how much you would want to tie up and have an assured EBITDA per unit, let's say, and how much you think you might leave open? Just so that we get a good sense on the sustainability

on

the operating EBITDA that the busin ess has reported? Thank you.

Kandarp Patel : So Lavina, we will -- certainly would have a situation where most of the tied -up capacity on a purchase side has also tied up on our sales side. So we would not want to have that kind of variability on our P&L. To start with, we contracted this capacity an d now we hope to tie up the sales side very soon. So once we have done that -- so essentially long run, we would not want to have -- barring a few percentage of capacity that will remain liquid, rest, we will tie up on both sides.

Lavina Quadros : Got it sir. Thank you so much and all the best.

Kandarp Patel : Thank you.

Moderator: Thank you. Next question comes from the line of Ashish with MLP. Please go ahead.

Ashish: Hi sir. Thanks. Congrat ulation s on a good sets of numbers. And thanks for the opportunity. Sir, on the C&I segment, where you said that there will be two types of businesses which we would be doing. One is managing s olutions, where w e would have service charge or a fixed spread. So what is the amount of fixed sp read that we could generate on such type of business?

Kandarp Patel : Sorry, can you repeat the question?

Ashish: Yes. So on the C&I segment and the trading segment, we are envisaging two type of businesses. One is the managing s olution business, where you manage solution for a lot of custome r and then take a position, Yes. So what type of spread should we expect in both these type of business?

Kandarp Patel : So currently, the spread, obv iously, on the solutioning side -- service side, it can 't be seen as a

spread, but it's basically a service revenue. So unit probably may not be that relevant. But currently, given the number o f this quarter, it is about Paisa 0.3. Whereas on a contract that we will take a position, it will certainly be a much higher volume. But that will depend on a contract -to-contract basis. It will be difficult for me to put a specific number on those transactions.
Ashish: Understood. Sir, and when we take position because this would be long term, say, 20 years, so once if we say lock in a 3 ,4 gigawatt and like this quarter, we have generated around 500 crores plus; so is it fair to assume that once we lock that in that becomes your annuity business for the next 20 years?
Kandarp Patel : Correct. So our objective would be that only. It may not be -- every time you may not have the contract tenure matching to matching 100 %. But yes, we will endeavo ur to do that, then most of the capacity is back to back locked -up and we don't create much of the volatility in our numbers.
Ashish: And so you have some part which is locked in, which generates annuity type of revenue; and then you can have some open positions, which even in a worst -- even in a bad market environment, it might at the max offset the annuity profit -- but it gives us upside that we can have substantial upside?
Kandarp Patel : Correct. Essentially, we would try to convert those revenues into annuity kind of revenue with some bit of open position, which we can take or optimize, depending on the market condition.
Ashish: And there will be no capex , which would be incurred by us while generating t his annuity type of a revenue?
Kandarp Patel : So there may not be any direct capex , but we expect that some capex we might have to incur to enable those transactions. When I say enabling those transactions, mean s creating those power infra last -mile connectivity for consumer or so metime even for a generator. Yes sorry go ahead .
Ashish: Sorry go ahead.
Kandarp Patel : So it is not capex -based business, but we might incur some capex for enabling those transactions.
Ashish: Okay. And currently, in the last quarter, we sold it over an exchange, right? I mean there was no such facilitation which we have.
Kandarp

Patel : Yes. So we sold mainly -- we have about 350 megawatts of C&I customer. Rest, we sold it on an exchange and also in a bilateral contract with the different utilities.
Ashish: Understood. And if you can share the term, like tenure of the bilateral that we have?

Kandarp Patel : Sorry, come again?
Ashish: If you can share maybe the price an d the tenure of the bilateral that we are having with the.
Kandarp Patel : Yes, there are a basket of contracts. Some are from 1 month to 13 months. And even those prices are also very different because sometimes we sell it as a bundled power, sometimes we sell it as an individual. So those prices are ranging from INR3 to INR13 or INR 15 as well. Because now we also have 3.5 gigawatt -- 3,500 megawatt hour of battery storage as well. And we are also utilizing that to create a different product and then sell in the market.
Ashish: And when you say you have battery, this is our investment or we have taken the battery capacity on a fixed charge from Adani Green?
Kandarp Patel : We have taken -- like we have contracted wind and solar, we have also contracted battery storage on a long -term basis. On a fixed hire.
Ashish: Understood. Perfect. Thank you so much for that.
Kandarp Patel : Thank you.
Moderator: Thank you. Next question comes from the line of Vishal Periwal with PL Capital. Please go ahead.
Vishal Periwal : Yes sir. Thanks for the opportunity and c ongratulations on a good set of numbers. Sir, regarding this Energy S olution platform, can you.
Moderator: Mr. Periwal, sorry for interrupting. Your voice is breaking. Can you come in the range and talk? And can you speak a little louder, too? Thank you.
Vishal Periwal : Yes. Is this.
Kandarp Patel : Yes. Vishal go ahead.
Vishal Periwal : Yes sir. Is this better now?
Moderator: Yes, please go ahead .
Kandarp Patel : Yes.
Vishal Periwal : Yes, sorry. So I was saying that 590 crores EBIT that we have made in the Energy Solutions as a platform, is it possible, first, like breakup between the Energy Solutions services? What is the proportion in this and the contract that we have in terms of power, the back -to-back and in term s of megawatts? So what could be the breakup between these two?
Kandarp Patel : So the breakup is about 570 crores is from the volume that where we have taken a position, where we have a long -term contract. The balance revenue is from power trading and power solution services activity.

Vishal Periwal : Okay. So this 570, that's an EBIT number that you mentioned, right, sir?
Kandarp Patel : Yes.
Vishal Periwal : Okay. Fine. And in terms of kilowatt units or maybe like some bit of generation number or probably -- not generation, but what kind of volume that we have done for this 590 crores -- 570-odd crores, will that be.
Kandarp Patel : Yes, we have done about 3,325 million units in that segment. And in the balance segment where we are providing services, we have done about 9,800 MUs. But that -- again, in that segment, volume is not important. It is basically a services.
Vishal Periwal: Okay. And then, is this a fair statement to make that in terms of quarterly, we have done a pretty strong number. But going forward, are these like more like take -and-pay sort of contract, even when we are selling things and this number is sustainable? Or it depends -- or it's more of opportunistic, given like there has been a delayed monsoon and then we get higher margins? So how exactly to look at this particular number panning out for us?
Kandarp Patel: Vishal, this is a very relevant and very important question. Obviously, this year, because of a delayed monsoon, the demand was high and then the market prices were also high as compared to the last year. And if you are taking -- keeping your position 100

percentage open, then
obviously, all those variability will come into play.
See, not only year -to-year variability, but there will also be quarter -to-quarter variability, because the average rate in the market during summer period, obviously, would be higher as compared to the monsoon or winter. And even within winter in a few mon ths where irrigation demand will be very high, that number could be a different.
So, if you are keeping all those positions open, then you will have those kind of variability. What we are trying to achieve is that we will not want to keep that position open, and we will close it on both sides without much of the time lag.
Vishal Periwal: Okay. Sure, sir. And maybe one last thing. So in terms of back -to-back contract in this -- the MUs that we have done, what would be the share of back -to-back? And what is more of open and then we have got a high margin because of the summers?
Kandarp Patel: Yes. Currently, out of the 3,300 -odd million units, about 400 or 500 would be on a contract basis, which is with 350 megawatts of C&I customers. But you will see most of the volume getting absorbed in the long -term sale contract very soon. So our focus is to work on that, having done this long -term tie -up for purchase.
Vishal Periwal: Sure, sir. I think this is helpful, sir. I'll come back in the queue. Thank you, sir.
Raj Kumar Jain: Just to slightly add further here, see, while we have the long -term contracts tied up on our supply side, the purchase side, as Kandarp has mentioned, we have 350 megawatts. At the same time, there are long -term contracts which are in very advanced stage, which will cover up most of the capacities which we have signed up on the purchase side.

So, there is hardly a timing gap, which we are currently seeing, where you are able to see a revenue which is coming from short -term tie -ups with the distribution utilities or from markets. However, it is clearly destined for a long -term offtake contracts also on the purchase side.
Vishal Periwal: Okay. Sure, sir. Thank you so much sir.
Moderator: Thank you. Next question comes from the line of Nirmal with Aditya Birla Sun Life AMC Limited. Please go ahead.
Nirmal: Hello. Good morning. Am I audible, sir?
Kandarp Patel: Yes.
Nirmal: Thank you, sir, for the opportunity. Sir, my question is on the 13 billion units that we have -- the assurance that you have received from C&I data center and utilities, so what portion of this is from data center?
Kandarp Patel: So the data center volume today is very negligible. There is only one contract that we are doing, servicing for about 20, 25 megawatt. But on a sales side, you will see lot of long -term substantial contract coming from those big customers and utilities.
So we are working constantly towards that, having taken this position, and we will also continue to increase our position in purchase side, and we will accordingly start taking back -to-back our position on a sales side as well. But currently it is not significant. And we expect to see significant volume in time to come from data center segment.
Nirmal: Okay. Sir, just to follow up on that, so if you can share in terms of demand that is coming from

data centers, what sort of power mix are they looking for? I'm asking this, especially in context of the catering to their non -solar hours demand?
Kandarp Patel: Raj, would you want to take this question?
Raj Kumar Jain: Yes, sure. Sure. Thanks, K.P. So see, I think there is a large significant plants which you have seen from the group itself. And then obviously, there is -- from a market perspective also, there is a significant capacity additions, which is expected in the data center space.
So from the overall demand side, we are looking at a very robust pipeline, where for every gigawatt of IT loads, you are talking about 1.

5x of the consumption load. And say, for 1.5
gigawatt of consumption load, we are talking about on -- if we want to sup ply from renewables, 3.5x to 4x of renewable capacity required apart from significant storage.
Now as part of your second question, these guys vary based on their own mandates on the green side. We have seen interest ranging from not being very finicky about how much green to people who really want to adopt a very high percentages of green in their power mix. So it's a diverse market and every customer has their own choices.

Nirmal: Okay. So catering, how -- what sort of batteries -- so because if we were to install batteries for non-solar hours and maybe 4, 5 hours of battery, then would that economics be favorable for the offtakers?
Raj Kumar Jain: Yes. So see, the offtakers understand that for the kind of solutions they are asking, they would need different kind of mix. So it's a pretty mature market. So from that perspective, if someone is looking for a significantly higher share of green, then he understands that he has to pay for the cost of that kind of a storage. So I think that is there in the understanding of all our consumers.
Nirmal: Okay, sir. So just last on here. So going ahead, do you expect the data center demand mainly will be off -grid and on -site? Or it can be on -grid supplied by DISCOMs also?
Raj Kumar Jain: To our understanding, as we see the data center development in India, not many instances or not -- I don't think I have heard any instances of off -grid data centers. All of them are coming mostly on grid scale and in a lot of cases, also on the national gr id.
Nirmal: Okay, sir. Thank you so much.
Moderator: Next question comes from the line of Raman KV with Sequent Investments. Please go ahead.
Raman KV: Hello. Can you hear me, sir?
Kandarp Patel: Yes.
Raman KV: Sir, I just have one question with respect to the Adani Energy Solutions business. Sir, can you just give a brief idea about what is the -- what kind of business does Energy Solution platform cater to? And can you just walk me through how does the revenue -- like the cash flows from revenue to EBITDA? Like what are the main expenses with respect to the Energy Solution platform business?
Kandarp Patel: Sure. Raj, please go ahead.
Raj Kumar Jain: Yes, sure. Thank you. So that's a very interesting question and would set the understanding of the business in a clear manner. So as K.P. mentioned, there are two kinds of businesses which we are currently pursuing here. One is a simple services business a nd a trading business, where to a lot of companies, we provide simple services of managing their power loads and how do we bring in the optimization of their cost as well as whatever green content they may want.
That is a business where volumes are very high, but the margins are supposed to be lower, which is what was the initial number of INR0.03. However, and this also includes a lot of trading, which we are -- which is basically simply buying and selling in exchanges on behalf of the clients.
The second business, which is a larger piece here and which is more an EBITDA generator is the supply stack and the consumption stack. So supply stack, as we have mentioned until now that we have close to 5 gigawatt of supplies, which have been secured on take-or-pay basis from the generator.

Now that includes the internal generators as well as external generators, which are more like normal utility PPAs for those guys. And for us, we have to buy that power. Similarly, we have -
- as was the query of one of the earlier querist, we have also tied -up storage capacities of 3,500 megawatt hours. So, these are again all take -or-pay firm contracts.
Against these contracts, we are sourcing multiple consumers. Those consumer categories a

re, as
has been mentioned in our presentation, data centers, utilities and complex contracts as well as the normal conventional C&I contracts and as well as there is ce rtain areas where we also try to optimize the cost of group companies' cost of power.

So, these are, again, long -term contracts on a take -or-pay basis. Between the two, because we are able to provide complex solution and manage the overall flow in a sustained and certain manner, we are able to have certain margins there. So basically, my reven ue is sale to those utilities, then there is a cost of power, which I'm paying to the generator. So that is my cost. So, the gap is something which we are able to earn as revenues.

As our CEO earlier mentioned, there is expected to be both some kind of a time mismatch between the two because we tie up -- we try to tie up capacities in advance versus the consumption because that provides certainty to our consumers when they tie up wit h us. So there is expected to be certain timing mismatches, sometimes on the slightly higher capacities tied up or -- on the purchase side and sometimes even on the buy side.

And the nature could also be different between the two, which provides us the opportunities to be able to trade those capacities in short -term markets, and we are able to garner some margins within that window as well. So, this is what the business is all about. So, you have a revenue stack, which is based on supplying on a long -term contracts to buyers, augmented by certain short -term revenues; and then cost which we are paying to our suppliers on a long -term basis.

On the capex side, we do provide certain last -mile infra to some of these consumers. Being a transmission company, it is natural to us that we can do that. And when we provide that transmission infra, that basically builds in as a capex to us and there would be certain margins on that as well. So, this is how the revenue expense and the capex and the margins are stacked up in this business. I hope I could make it clear.

Raman KV: Sir, correct me if I'm wrong, the second part of the business is basically you buy the power from outside and then supply it to your end -use customer. It can be a group company or it can be a nongroup company as well, right?

Raj Kumar Jain : You're 100% right. It depends on the attractiveness of my solution, which is what will enable the consumer to be able to tie up.

Raman KV: And you have signed long -term contracts to buy the power at a fixed price, right?

Raj Kumar Jain : Yes, it's right.

Raman KV: So, your cost is fixed. The only the -- way the EBITDA will move is if the power demand is -- if the power demand for the end user is high, that time your margins will move towards the upward. And during the non -power demand season, your margins with respect to this segment will have a dip?

Raj Kumar Jain : So directionally, what I would want to clarify there is that, yes, I do tie up on a long -term basis where the rates are conventionally fixed. At the same time, on the buy side, the rates are fixed for -- directionally for longer tenure. So that is where th e spreads between the buy and sell are sustained. We take limited market exposure. And on that market exposure, we will have certain margins, which would also flow through the P&L.

Raman KV: So, if my understanding is right, only your -- the buy side, you have a fixed contract. On sell side, you can sell it in the open market as well, right?

Raj Kumar Jain : Yes. See, there is -- there is -- sorry?

Raman KV: There is no fixed contract on the selling side, right?

Raj Kumar Jain : There is no -- see, fundamentally -- again, let me clarify. I'm not looking quarter -to-quarter outcomes and variations, okay? As a business strategy, I'm fixing up on the buy side for long term. I am also selling on the sell side on long term. Ther

e would be temporary differences
because we are talking about multiple contracts and there would be differences in their timings, quantums and the nature, which gives an opportunity where some of that can be in the short -term markets with various kind of clients, including exchanges, and that is where there is an additional revenue, which will flow in. However, those numbers on a long -term basis would be minimal.

Raman KV: Understood sir. Thank you so much.

Moderator: Thank you. Next question comes from the line of Nikhil Nigania with Bernstein.

Nikhil Nigania : Hi, thank you for taking my questions. My questions are on the Energy Solutions business. So I wanted to understand this 5 gigawatts of tie -up that you have done for renewable power, how much of that is from your sister company and how much is it from other companies?

Kandarp Patel : So roughly 4,000 is from AVL, rest is from third parties.

Nikhil Nigania : Understood. And could you please shed some light on how the price discovery is happening for this 4,000 megawatts that has been tied up? Is it a tendering basis? Is it market -linked ? Or if you could share some details on that, please?

Kandarp Patel : It is essentially a market -linked . So, we evaluate when we buy as to what are the options available with us in terms of quantum and pricing, and we decide based on that.
Nikhil Nigania : Understood. And if I think from an Adani Green's perspective, why would it be more beneficial for them to go through Energy Solutions rather than directly tap the customer? Or are you also

-- put it other way, are you also competing them with Adani Green to sell to the same, let's say, data center or some other customer in the market?
Kandarp Patel : No. So Adani Green don't sell to data center. They create capacity and they tie up on a long -term basis, essentially with the utility SECI or some third -party customer, but they don't provide solutioning part. So -- and we are one of the customer of AGEL. So, they will sell it to DISCOM, they will sell it to me as well. And that is how it works. So currently, they have a contract with SECI and distribution companies as well and now they have a contract with me as well.
Nikhil Nigania : Understood. So is it fair to assume that almost all the entire C&I exposure will be through Energy Solutions entity and not directly...
Kandarp Patel : Correct.
Nikhil Nigania : Understood. And one last question I had is there is another contract with Maharashtra around the clock 2.5 -gigawatt power, which we see Adani Power has won, which involves sourcing power from Adani Green. Just wanted to clarify if Adani Energy Solutions is also part of that contract in any shape or form? Or is it only those two entities, Green and Power?
Kandarp Patel : So, group level, the solutioning is neutral to AESL. So, we will certainly be a party to that contract.
Nikhil Nigania : Okay. But the PPA signing with MSEDCL is with Adani Power and not AESL?
Kandarp Patel : Adani Power participated in the bid and LOI was issued in favor of Adani Power. And we had that understanding with Adani Power as well. So obviously, we might even buy some power to fulfill this solution from Adani Power. But eventually, AESL will have a major participant in that contract.
Nikhil Nigania : Okay. Maybe I'll take it offline to get some more color on it. Thank you. Those were my questions.
Mode rator : Thank you. Next question comes from the line of Anuj Upadhyay with Investec Capital Services India Private Limited. Since there is no reply from the line of Mr. Upadhyay, we move to the next. The next question comes from the line of Aditya Sahu with HDFC Securities.
Aditya Sahu : Hello. Hi sir, I hope I am audible.
Kandarp Patel : Hi, Aditya.
Aditya Sahu : Thanks sir for the opportunity. My question pertains to the HVDC project pipeline that we hav

e.
The two projects that we have right now, the KPS -1 and the Bhadla -Fatehpur, just wanted to check on the commissioning timelines that we have for this particular project. And also looking at the bid pipeline for the HVDC, what would be -- what is the bid pipeline that you have right now for that project?

Kandarp Patel : So, thanks, Aditya. See, this KPS HVDC would be somewhere in FY29, around December '29. And Rajasthan would be at the beginning of '29. And as far as pipeline is concerned, you must have seen all those NCT approved by -- other things. So, we expect that ev ery year, we would have an opportunity of about INR1 lakh crore s bidding combining minimum -- that is a minimum combining central as well as various state projects.
And we expect that a lot of opportunity will now arise from various STU projects. You must have seen Maharashtra is very active now. Rajasthan, UP has started. Rajasthan has started. See essentially, what has happened in last 4, 5 years, a lot of interstate line has been built to deliver power to the state. Now state will have to augment their transmission capacity within the state to deliver and take it up to the end consumer. So, we see a lot of action on STU side as well.
Aditya Sahu : Understood, sir. So, if I have to put this way, what sort of inflows are you expecting? Like if you have anything in mind from the STUs and the HVDCs? Like what would you be targeting on an annual basis for these two categories?
Kandarp Patel : See, Aditya, we have been doing a market share of about 25%. And we will at least continue that part from our side. So roughly about INR20,000 crores, INR25,000 crores of capex addition every year.
And as far as HVDC is concerned, there are two projects which are -- in fact, one is under bidding, one will go bidding very shortly. And we expect that HVDC project will keep on

continuing because fundamentally, when you have to deal with this kind of ren ewables and deliver over a longer distance, I think HVDC is the most appropriate technical solution. So, we believe that HVDC volumes will continue.

And now we see demand of HVDC project coming from load center side as well. So, like last year, we commissioned that HVDC project in Mumbai, and that has helped region per se immensely during this summer. And most of our cities are now -- they are witnessing a massive demand growth.

And if they have to meet those demand growth, they will also have to augment transmission capacity around their city centers and where you won't be able to put up those overhead lines. So obviously, that kind of opportunity will also come from various citi es, and we expect that we will gain a momentum now.

Aditya Sahu : Right, sir. You did mention STUs. So how do you see that visibility on the STUs at least in the near term?

Kandarp Patel : So, STU, I think annually, the volume would be about -- to start with about INR20,000 crores, INR25,000 crores projects. That is the least that I expect from STU side.

Aditya Sahu : On an annual basis?

Kandarp Patel : On an annual basis.

Moderator: Next question comes from the line of Darshan Parmar with Jefferies.

Darshan Parmar: I just had one question. So, as you have given the EBITDA split for the Energy Solutions platform business, can you also give the revenue break about the same , in long term as well as trading?

Prashant Soni : Energy Solutions revenue split has already been given in our Page number 12 of the results presentation. So...

Darshan Parmar: So, I mean, the long -term PPA sales, we have clocked the revenue of INR1,838 crores against the sale of 3,325 million units. And whatever -- in terms of power management services, we have managed 1,603 million units and clocked the revenue of INR16 crores. And C&I merchant and power trading ge

nerations, we have clocked the revenue of INR12 crores , and managed the units just to -- of about 8,253 million MUs. So, all in all, 13,181 MUs we handled.

Kandarp Patel : Essentially, the breakup is INR1,800 -odd crores coming from long -term PPA and balance about INR30 crores coming from those services.

Moderator: Next question comes from the line of Mahesh Patil with ICICI Securities.

Mahesh Patil : Sir my first question is on the smart metering numbers that we have reported, right? So, in the presentation, if we see operating revenue and EBITDA for this quarter and the same number for Q4 FY26, right, so there is this quarter -on-quarter, some decline is there.

So just wanted to understand because the smart meter base -- installation base would have gone up, right, so just wanted to understand, is there some change in how do we recognize this revenue and EBITDA?

Kandarp Patel : So, I'll let Prashant answer this, but just to clarify, the revenue from already commissioned meter has improved from last quarter INR68 crores to INR161 crores . The reduction is on account of reduced capex because this year, we could install 21 lakh meters. And that is where the overall reduction that...

Prashant Soni : So, Mahesh, I hope I'm audible. So, see, as sir already mentioned, if you see the operating revenue, that has gone up, okay, from INR68 crores to INR161 crores. And for a better understanding, what you can also do is , you go to our press release where we have already provided operating EBITDA for the smart meter based on the -- what you see as a conventional method, okay?

This is more accounting treatment where you have to book the construction or capex as an expense as well as revenue, okay? So that number you see is accounting treatment. Otherwise, if you see the operating revenue, that is still on the higher side compare d to the last quarter of previous year.

Mahesh Patil : In presentation there Q -o-Q, I see some decline.

Management: Yes.

Prashant Soni : Is that clear to you?

Mahesh Patil : Yes, sir, I got it. So basically, I have to look at the press release numbers versus the presentation numbers of Q4, right?

Kandarp Patel : Yes, yes. Yes. So essentially, what Prashant is saying, the revenue from commission meter, which is operating revenue, has increased to INR166 crores from last quarter of INR68 crores.
Mahesh Patil : Correct. Got it. Got it. And sir, second question is on our -- just wanted to understand the status of our parallel licenses that we had applied, right .
Management: So that matter is still pending with commission. There is no movement. And we believe that state -- Maharashtra government has given a policy advice to commission to wait till the amendment in tariff policy, which the central government is planning to do. Once that is done, then they -- we believe that it will move ahead.
Moderator: Next question comes from the line of Anuj Upadhyay with Investec Capital Services India Private Limited. Since there is no reply from the line of Mr. Upadhyay, we'll move to the next, that is from the line of Ashish with MLP.
Ashish : Just one small question. On the Energy Solution trading business, which is managing solutions and managing positions, what is the quantum that we are looking at over the next maybe 3, 4 years in terms of gigawatt or gigawatt hour and gigawatt units that yo u are trying to manage? Any target that we are looking for?
Kandarp Patel : Raj, please go ahead.
Raj Kumar Jain : Yes, sure. So, it's -- if you look at our disclosure already in the presentation, we have mentioned that the market opportunity we believe we'll be able to encash is 7.5 gigawatt plus by 2031. And it's a grind which is there. We have a lot of data centers, which are being installed, as you know, within the group itself. AE L itself has disclosed in the recent publications which they

had on their website, the kind of pipeline they have on data centers, and that's one key area.
Separately, we also have distribution companies, which are working right now in a manner where they are looking for not solar or wind or storage separately because they have seen a lot of stress in those capacities coming on time because of various issues. So, they are now mixing some of that and looking for complex solutions to be given on an RTC manner, which is again something which is aligned to the strategy of this energy solution platform. And so, there are a few things which are developing on that si de.
Similarly, the C&I space, as we understand from various reports, is a burgeoning space with close to 50 gigawatt plus market by 2030, '31. So that's a huge set of opportunity within that for us to tap in this particular portfolio. So, I think with a lot of these near -term things, we believe that we will be able to scale this business up as a large vertical within the Adani Energy Solutions Limited company.
Ashish : And sorry, sorry to ask this again, but you said 7.5 gigawatts. Is that correct?

Raj Kumar Jain : If you see our website, 7.5 -- the publication we have, our presentation has a 7.5 gigawatt, is the market opportunity we are targeting.
Ashish : Yes. Because the reason I ask this is because you've already secured 4 gigawatt across solar, wind and 1 more gigawatt of BESS across C&I ?
Raj Kumar Jain : Okay. Perfect. So let me clarify. So, when we said that there are two parts of the opportunity, one part of the opportunity is how do we tie up the generation side and second is how do we tie up the consumption side. So, as I had answered to one of the queries earlier, every gigawatt of opportunity we tie up on the data center needs roughly 3.5 gigawatt of renewable capacity to be available for that. So is the case with any RTC tender, which any distribution or utility will bring in.
So 5 gigawatt tie -up on an RE basis is not huge in terms of end use, okay? And these are RTC loads which we are looking to serve. So from the market perspective, there's a huge space available for us, both on the side of tying up capacities as well as on t he commission side as well as on the load to be serviced in a customized bespoke manner for our consumers.
Ashish : Understood. So, 7.5 gigawatt we are trying is RTC?
Raj Kumar Jain : Yes, broadly. So...
Ashish : 7.5 gigawatt hour?
Raj Kumar Jain : No, no. There is nothing about 7.5 gigawatt hour. That is -- we mentioned as the capacity which is available in the market, as a market potential, which we believe we can easily tap. So, it will have different kinds of consumer stack. As I have said, the current stack easily is distribution companies as well as data centers and the conventional C&I consumers, which can be tapped for this.
Ashish : Okay. So, 7.5 into 24 into 365 units -- million units is what we would be targeting. Is that the right way to think about it? And then whatever capacity on the input side is required?
Raj Kumar Jain : That is not the way you should interpret a number. It is going to be a mix.
Moderator: The next question comes from the line of Mohit Pandey with Citi.
Mohit Pandey : Just wanted to get a sense on the right -of-way challenges that were there in the transmission side

of things last year. So, any sense you can share on where we are on that?
Kandarp Patel : Yes. So, Mohit, right -of-way challenge certainly are there on the ground, and it is an industry -specific issue. But as we have been mentioning and -- so we deal with this problem very differently. We make sure that those ROW decisions are taken at a ground level, and we remain practical.

So, we don't 100% depend on a state machinery or administration support to clear the ROW. So, we wor

k in parallel. And therefore, we have been able to show a little better effectiveness as far as managing ROW is concerned.
And second is that you must have seen most of our projects are concentrated in a region and -- where we already have a good amount of presence. So, we are fully aware about what are the kind of challenges that we are going to face on the ground when we go to implement the project. And therefore, we have the ability to prepare ourselves better with advance and execute the work.
Mohit Pandey : Got it, sir. And just second question was on incremental STU pipeline on transmission. So how would the payment mechanism work there compared to the central...
Kandarp Patel : So, it is identical one. The role that the CTU plays in central project in the payment mechanism, the same role plays is being played by STU. So, they will collect revenue from all the distribution companies.
Like in Maharashtra, so there are multiple distribution companies. Those distribution company is being built by STU on a monthly basis, depending on their usage of the transmission network. All the distribution company pays to STU, and STU pays to all the transmission companies on the other side, which could be MSEDCL , there are multiple other players as well. So, it is identical, but at the state level, that is at the central level.
Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I now hand the conference over to Mr. Ashok Jagetiya for closing comments.
Ashok Jagetiya : Thank you, everyone, for taking time out and attending this call. I hope we are able to answer all your questions and queries. If anything remains pending unanswered, we are happy to take it offline. Thank you.
Moderator: Thank you. On behalf of Adani Energy Solutions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.